SET 1 · Money, Banking, and Financial Institutions

Banks, credit unions, and what they do

MAIN skill: Explain what banks and credit unions do with deposits and loans

Outcome FL.BANK.01 · National topic: Saving · NJSLS 9.1.12: FI

Learning target: Financial institutions: role of banks and credit unions; insured deposit accounts

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Deposits, withdrawals, and loans (5 questions)

Why: The MAIN questions describe what institutions do with deposits and loans; students who mix up these three words cannot follow them.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Online banks, apps, and partner banks (5 questions)

Go Deeper 2: Comparing financial institutions (5 questions)

Practical skills beyond the standards: Fintech apps and partner banks

Content status: time-sensitive

Source: FDIC — Deposit insurance covers up to $250,000 per depositor, per insured bank, for each account ownership category. (This page supports the insurance limit only, not membership or other claims about how banks operate.) https://www.fdic.gov/resources/deposit-insurance

Source: NCUA — Credit union share insurance covers up to $250,000 per member, per insured credit union, for each ownership category. https://ncua.gov/consumers/share-insurance-coverage

MAIN — Explain what banks and credit unions do with deposits and loans

Question 1 of 5 · Learn and Apply

LEARN

A bank is a business that accepts deposits (money people put in accounts) and makes loans (money it lends and expects to be paid back with interest). Banks keep only part of their deposits as cash and lend much of the rest. The interest borrowers pay helps the bank pay its costs, earn a profit, and pay interest to savers.

Maya deposits $500 of her summer earnings at a bank. What does the bank usually do with much of the money while it sits in her account?

A. Lends part of it to other customers, such as car buyers or businesses

B. Keeps her exact bills in a locked box with her name on it

C. Sends it to the government until she withdraws it

D. Invests all of it in the stock market on Maya's behalf, and she keeps any gains

MAIN — Explain what banks and credit unions do with deposits and loans

Question 2 of 5 · Learn and Apply

LEARN

A credit union offers many of the same services as a bank: checking and savings accounts, debit cards, and loans. The difference is ownership. A credit union is a not-for-profit cooperative owned by its members, who are its account holders. To join, you must meet its membership rules, such as living in an area, working for an employer, or belonging to a group.

Which statement best describes a credit union?

A. A not-for-profit financial cooperative owned by its members

B. A government office that issues credit cards

C. A company that only sells stocks and bonds

D. A bank owned by outside investors who buy its stock and are not its customers

MAIN — Explain what banks and credit unions do with deposits and loans

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Every credit union has a "field of membership": the group of people it is allowed to serve. It might be employees of certain companies, people who live or work in a county, or members of an organization. Family members of members can often join too. Check the rules before applying.

Riverside Teachers Credit Union serves employees of local schools and their family members. Jordan is not a school employee and has no family member who works at a school. What should Jordan conclude?

A. Credit unions do not offer checking accounts

B. Jordan must buy stock in the credit union on a stock exchange

C. Credit unions only accept customers who already have a credit card

D. Jordan does not meet this credit union's membership rules

MAIN — Explain what banks and credit unions do with deposits and loans

Question 4 of 5 · Learn and Apply

LEARN

Banks come in different types. National and regional banks are large and have many branches. Community banks are smaller and local. Online banks have no branches; customers use an app, a website, ATMs, and mobile deposit. Deposits at federally insured banks are protected by the FDIC, and deposits at federally insured credit unions by the NCUA, up to legal limits.

A city has a large national bank, a local community bank, a credit union, and an online-only bank. Which feature is TRUE of all four kinds of institutions?

A. They can offer federally insured deposit accounts

B. They are all owned by the customers who keep accounts there

C. They all have branches where you can deposit cash in person

D. They all guarantee a profit on money you invest with them

MAIN — Explain what banks and credit unions do with deposits and loans

Question 5 of 5 · Knowledge Check

Priya keeps $1,200 in cash in a shoebox. Which risk would a federally insured bank account reduce?

A. The money buying less in the future because prices rise

B. Having to pay sales tax when she spends the money

C. Spending the money on things she does not need

D. Losing the money to a fire or theft at home

BACKWARD B1 · concept review — Deposits, withdrawals, and loans

Question 1 of 5 · Learn and Apply

LEARN

A deposit is money you put into an account. A withdrawal is money you take out. A loan is money a lender gives you that you must pay back, usually with interest.

Aiden puts $40 into his savings account. What is this called?

A. A withdrawal

B. A loan

C. A fee

D. A deposit

BACKWARD B1 · concept review — Deposits, withdrawals, and loans

Question 2 of 5 · Learn and Apply

LEARN

When you take money out of your own account, by cash at an ATM, a debit card purchase, or a check, it is a withdrawal. The money was already yours.

Sofia takes $60 in cash out of her checking account at an ATM. What is this called?

A. A withdrawal

B. A deposit

C. A loan from the ATM company

D. Interest

BACKWARD B1 · concept review — Deposits, withdrawals, and loans

Question 3 of 5 · Learn and Apply

LEARN

A loan is borrowed money. The borrower promises to repay the amount borrowed, called the principal, plus interest, which is the price of borrowing.

A bank gives Luis $8,000 to buy a used car, and Luis agrees to pay it back over four years with interest. What did Luis receive?

A. A loan

B. A deposit

C. A gift from the bank

D. A withdrawal from his savings

BACKWARD B1 · concept review — Deposits, withdrawals, and loans

Question 4 of 5 · Learn and Apply

LEARN

Interest works in two directions. A borrower pays interest to a lender for using the lender's money. A saver earns interest from a bank, because the bank uses the saver's deposits to make loans.

Which choice describes interest from a SAVER'S point of view?

A. Money you pay the bank each month to keep your savings account open

B. The amount you first deposited

C. A tax on savings accounts

D. Money the bank pays you for keeping your money in an account

BACKWARD B1 · concept review — Deposits, withdrawals, and loans

Question 5 of 5 · Knowledge Check

Why can a bank afford to pay interest to savers?

A. It charges borrowers a higher interest rate than it pays savers

B. The federal government pays the interest on every insured savings account

C. It charges savers a fee equal to the interest

D. It prints new money to pay interest

GO DEEPER 1 — Online banks, apps, and partner banks

Question 1 of 5 · Learn and Apply

LEARN

Many apps that hold money are not banks. They are financial technology ("fintech") companies that partner with a bank. Money may be FDIC insured only if it is actually deposited at the partner bank in the customer's name and the records are kept properly. If the fintech company itself fails, getting access to money can take time.

A payment app advertises "bank-level" accounts. Its fine print says, "We are a financial technology company, not a bank. Banking services are provided by Harbor Bank, Member FDIC." What does this mean?

A. The app company is itself an FDIC-insured bank, so it is fully protected

B. No money in the app can ever be insured

C. Harbor Bank guarantees the app company's profits

D. Harbor Bank holds the deposits; the app company itself is not a bank

GO DEEPER 1 — Online banks, apps, and partner banks

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Deposit insurance covers money in deposit accounts at insured banks. A balance kept in a payment app may not be a bank deposit at all, depending on how the app holds it. The app's terms explain where the money is held.

Which question is MOST useful to ask before keeping a large balance in a payment app?

A. Is my balance held at an FDIC-insured bank in my name?

B. How many millions of people already use and trust the app?

C. Does the app have a nice design?

D. Can I send money to friends instantly?

GO DEEPER 1 — Online banks, apps, and partner banks

Question 3 of 5 · Learn and Apply

LEARN

Online banks often pay higher savings rates and charge fewer fees because they have no branches to run. The trade-off is access: depositing cash can be hard or impossible, and help is by phone or chat. The best choice depends on how you use your money.

An online bank pays 4.0% on savings and charges no monthly fee, but it has no branches. A local bank pays 0.5% and has a branch near Ana's job. Ana is paid in cash tips each night. Which drawback of the online bank matters MOST for Ana?

A. The online bank's savings rate is too high

B. Online banks are not allowed to give customers debit cards

C. Online banks are never insured

D. Depositing cash may be difficult without a branch

GO DEEPER 1 — Online banks, apps, and partner banks

Question 4 of 5 · Knowledge Check

A bank's website shows the FDIC logo. What does this tell a customer?

A. The bank's stock price is guaranteed

B. Every product the bank sells is insured, including investments

C. The bank charges no fees

D. Its deposits are insured up to the legal limit

GO DEEPER 1 — Online banks, apps, and partner banks

Question 5 of 5 · Knowledge Check

Which situation shows the main risk of keeping money with a non-bank app?

A. The app company fails and customers wait months to reach their money
B. The partner bank pays interest into each customer's account every month
C. The app sends a monthly statement
D. The customer uses the app's debit card at a store

GO DEEPER 2 — Comparing financial institutions

Question 1 of 5 · Learn and Apply

LEARN

Fees add up. A monthly fee costs 12 times that amount in a year. Many banks waive a monthly fee if you meet a condition, such as a minimum balance or a direct deposit. If you will not meet the condition, plan to pay the fee.

Two banks are similar except: Bank A charges a $12 monthly fee unless the balance stays above $1,500; Bank B charges no monthly fee. Kai's checking balance stays around $400, below $1,500, every month of the year. How much more would Bank A cost Kai per year?

A. $0

B. $12

C. $48

D. $144

GO DEEPER 2 — Comparing financial institutions

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

When comparing institutions, start with how you will use the account: fees, ATM access, branch or app access, minimum balances, and the savings rate. A feature that matters to one person may not matter to another.

Which comparison is MOST important for a student who will make frequent ATM withdrawals?

A. Whether the bank sponsors a local sports team or event

B. The color of the debit card

C. The bank's auto loan rate

D. How many fee-free ATMs are near home and school

GO DEEPER 2 — Comparing financial institutions

Question 3 of 5 · Learn and Apply

LEARN

To compare savings rates, find the interest each account pays. For one year, interest ≈ balance × rate (with the rate written as a decimal). Then subtract.

A credit union and a bank both offer free checking. The credit union pays 2.5% on savings; the bank pays 0.1%. On a $2,000 savings balance for one year (simple interest), how much more would the credit union pay?

A. $2

B. $4.80

C. $48

D. $50

GO DEEPER 2 — Comparing financial institutions

Question 4 of 5 · Knowledge Check · Practical how-to

Which document lists every fee an account can charge, such as overdraft, wire, and paper statement fees?

A. The account's fee schedule

B. The bank's home page advertisement

C. A monthly statement from last year

D. The debit card itself

GO DEEPER 2 — Comparing financial institutions

Question 5 of 5 · Knowledge Check

Leo picks a bank only because it gave him a $200 bonus for opening an account. Six months later he notices $15 monthly fees. What step did he skip?

A. Reading the fee conditions before choosing

B. Asking the bank for a larger bonus before opening

C. Opening the account online

D. Getting a credit card from the same bank first

SET 2 · Money, Banking, and Financial Institutions

Checking accounts and debit cards

MAIN skill: Use a checking account and debit card and track the available balance

Outcome FL.BANK.02 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Payment methods: compare debit cards, credit cards, and other payment methods

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Debit versus credit (5 questions)
  Why: The MAIN skill assumes students know that a debit card spends their own money and a credit card borrows; this is the most common confusion.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Every balance question subtracts amounts in dollars and cents.
- B3 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  Why: Deposits are added to the balance in dollars and cents.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: ATM networks and fees (5 questions)
- Go Deeper 2: Pending transactions, available balance, and posting (5 questions)

Practical skills beyond the standards: Holds, pending transactions, available balance

Content status: time-sensitive

Source: CFPB (Regulation E, 12 CFR 1005.6) — Consumer liability for unauthorized electronic transfers: up to $50 if the institution is told within 2 business days after learning of a lost or stolen card; up to $500 if told later; transfers after the 60-day statement window that would have been prevented by timely notice can be unlimited (earlier protected amounts are not removed). https://www.consumerfinance.gov/rules-policy/regulations/1005/6/

Source: CFPB (Regulation CC threshold adjustments) — For most check deposits, banks must make the first $275 available by the next business day (amount effective July 1, 2025); the rest generally follows the regular hold schedule, with exceptions such as new accounts and large deposits.
https://www.consumerfinance.gov/rules-policy/final-rules/availability-funds-and-collection-checks-regulation-cc-threshold-adjustments/

MAIN — Use a checking account and debit card and track the available balance

Question 1 of 5 · Learn and Apply

LEARN

A checking account is a bank or credit union account for everyday money: receiving pay, paying bills, buying things with a debit card, and writing checks. Checking accounts usually pay little or no interest. Money you are setting aside for later usually goes in a savings account.

Tia's paycheck is deposited into her checking account. Which use is a checking account designed for?

A. Earning high interest on long-term savings

B. Buying shares of stock

C. Borrowing money for a car

D. Paying rent, bills, and everyday purchases

MAIN — Use a checking account and debit card and track the available balance

Question 2 of 5 · Learn and Apply

LEARN

A debit card is linked to your checking account. When you pay with it, the money comes out of your account, usually within a day or two. A credit card is different: the card company lends you the money, and you pay it back later.

Noah buys groceries for $46.30 with his debit card. Where does the money come from?

A. Directly from Noah's checking account

B. From a loan that Noah repays next month

C. From the store's bank account

D. From Noah's savings account automatically, every time

MAIN — Use a checking account and debit card and track the available balance

Question 3 of 5 · Learn and Apply

LEARN

Your balance is the money in your account. Each withdrawal, debit card purchase, or bill payment is subtracted; each deposit is added. Keeping a running balance helps you avoid spending money you do not have.

Ella's checking balance is $312.40. She pays a $95.25 phone bill and makes a $40.00 ATM withdrawal. What is her new balance?

A. $177.15

B. $217.15

C. $272.40

D. $447.65

MAIN — Use a checking account and debit card and track the available balance

Question 4 of 5 · Learn and Apply

LEARN

Some merchants, such as gas stations, hotels, and car rentals, place a temporary "hold" on a debit card before they know the final amount. The hold lowers your AVAILABLE balance (what you can spend now) until the final charge posts and the extra is released, often within a few days.

At a gas pump, Sam's debit card is approved, and the bank places a $100 hold, even though Sam pumps only $38 of gas. What is the effect until the hold is released?

A. Sam is charged $100 permanently

B. Sam's account balance goes up by $62

C. Nothing changes, because holds only apply to credit cards

D. Sam's available balance is $100 lower for a short time

MAIN — Use a checking account and debit card and track the available balance

Question 5 of 5 · Learn and Apply

LEARN

Federal law limits what you owe when a card is used without permission. For credit cards, the most you can owe for unauthorized charges is $50. For debit cards, the limit depends on how quickly you report the loss: $50, $500, or more if you wait over 60 days after your statement. Debit card fraud also removes your own money until the bank investigates.

A thief steals Ava's wallet and uses both her debit card and her credit card. Which card generally gives her stronger legal protection against the thief's charges?

A. The debit card, because it spends her own money

B. The debit card, because banks must refund theft the same day

C. Both cards always have identical protection

D. The credit card

BACKWARD B1 · concept review — Debit versus credit

Question 1 of 5 · Learn and Apply

LEARN

A debit card takes money from your checking account; when there is no overdraft, it spends money you already have. A credit card is a way to borrow: the card company pays the store, and you owe the card company.

Which card spends money that is ALREADY in your bank account?

A. A debit card

B. A credit card

C. A store gift card from a friend

D. A library card

BACKWARD B1 · concept review — Debit versus credit

Question 2 of 5 · Learn and Apply

LEARN

With a credit card, the card company pays the merchant for you. The amount is added to your card balance, which is a debt you must pay back. If you do not pay the full balance by the due date, you may owe interest.

Owen pays for a $25 meal with a credit card. Who pays the restaurant first?

A. The credit card company, and Owen owes it $25

B. Owen's checking account, immediately

C. The restaurant pays itself

D. Nobody pays the restaurant until Owen gets his monthly bill

BACKWARD B1 · concept review — Debit versus credit

Question 3 of 5 · Learn and Apply

LEARN

A debit card can only spend the money in your account. If a purchase is larger than your balance, the bank may decline it. If you opted in to overdraft coverage, the bank may pay it and charge an overdraft fee.

What happens if you try to spend more with a debit card than your account holds?

A. The extra amount becomes a free gift

B. The store lowers the price to your balance

C. Your credit card is charged automatically, every time

D. It is declined, or covered for an overdraft fee

BACKWARD B1 · concept review — Debit versus credit

Question 4 of 5 · Learn and Apply

LEARN

A credit card purchase is borrowing. A debit card purchase spends deposits you already have. If overdraft coverage is on, though, a debit purchase can overdraw the account and leave you owing the bank.

Which statement is TRUE when the debit card has no overdraft coverage and purchases above the balance are declined?

A. A credit card purchase creates a debt; the debit purchase does not

B. A debit card purchase creates a debt; a credit card purchase does not

C. Both cards always create a debt

D. Neither card is ever connected to money you owe

BACKWARD B1 · concept review — Debit versus credit

Question 5 of 5 · Learn and Apply

LEARN

If you do not opt in to overdraft coverage, a bank generally cannot charge you an overdraft fee for an ATM withdrawal or a one-time debit card purchase, and it usually declines the purchase instead. A credit card lets you borrow up to a credit limit, which is not your money.

Mia wants a card that will stop her from spending more than she has. Which card fits that goal better?

A. A credit card with a high limit

B. A credit card that she uses only for large purchases

C. A debit card with overdraft coverage turned on

D. A debit card with overdraft coverage turned off

GO DEEPER 1 — ATM networks and fees

Question 1 of 5 · Learn and Apply

LEARN

An ATM network is a group of machines your bank lets you use without a fee. At an "out-of-network" ATM you can be charged twice: once by your own bank and once by the ATM's owner (a "surcharge").

Rosa uses an out-of-network ATM. Her bank charges $2.50 and the ATM owner charges $3.00. She withdraws $40. How much leaves her account in total?

A. $40.00

B. $42.50

C. $43.00

D. $45.50

GO DEEPER 1 — ATM networks and fees

Question 2 of 5 · Learn and Apply

LEARN

Small fees repeated often add up. Multiply the fee per use by the number of uses in a year.

Each out-of-network withdrawal costs Rosa $5.50 in fees: $2.50 from her bank and $3.00 from the ATM owner. She makes two such withdrawals a week. About how much does she pay in ATM fees in a year (52 weeks)?

A. $5.50

B. $286

C. $572

D. $4,732

GO DEEPER 1 — ATM networks and fees

Question 3 of 5 · Knowledge Check · Practical how-to

Rosa pays $5.50 in fees each time she withdraws cash at an out-of-network ATM. Which choice would cut her ATM fees the MOST?

A. Use in-network ATMs or get cash back at stores

B. Withdraw $20 each time instead of $40

C. Use a different out-of-network ATM each time she needs cash

D. Check her balance at the ATM before each withdrawal

GO DEEPER 1 — ATM networks and fees

Question 4 of 5 · Learn and Apply

LEARN

Some accounts refund ATM fees up to a monthly limit. The refund lowers what you pay, but only up to that limit.

A bank refunds up to $10 of other banks' ATM fees each month. Rosa pays $22 in out-of-network fees this month. How much does she pay after the refund?

A. $10

B. $12

C. $22

D. $32

GO DEEPER 1 — ATM networks and fees

Question 5 of 5 · Knowledge Check

Which statement about an ATM "balance inquiry" at an out-of-network machine is MOST accurate?

A. It is always free, because no money leaves the account

B. It moves money to savings

C. It counts as a deposit

D. It can carry a fee even though no money is withdrawn

GO DEEPER 2 — Pending transactions, available balance, and posting

Question 1 of 5 · Learn and Apply

LEARN

A transaction is "pending" when the bank knows about it but has not finished processing it ("posting" it). Your available balance is the money you can spend now: roughly your posted balance minus pending charges and holds. Spending based on the larger number can cause overdrafts.

Kim's app shows: current balance $250; pending transactions −$80. What is her available balance?

A. $80

B. $170

C. $250

D. $330

GO DEEPER 2 — Pending transactions, available balance, and posting

Question 2 of 5 · Learn and Apply

LEARN

Bank apps show what the bank knows. A check you wrote that the payee has not cashed yet does not appear at all. Your own record of payments, called a register, catches those.

Which balance should Kim use to decide whether she can afford a $150 purchase today?

A. The highest balance she had this month

B. Her balance from last month's statement

C. Her current balance, without counting pending items

D. Her available balance minus uncleared checks

GO DEEPER 2 — Pending transactions, available balance, and posting

Question 3 of 5 · Learn and Apply

LEARN

When you deposit a check, the bank may hold part of it until it clears. Federal rules set the longest normal holds: for most checks, the first $275 is available the next business day and the rest by the second business day. Exceptions, such as new accounts or very large deposits, allow longer holds, and the bank must tell you when money will be available.

Ben deposits an ordinary $600 check in person on Monday before the cutoff, into an account he has had for years. The bank follows the standard federal schedule: $275 on Tuesday and the rest on Wednesday. How much can he safely spend from this deposit on Tuesday?

A. $0

B. $275

C. $325

D. $600

GO DEEPER 2 — Pending transactions, available balance, and posting

Question 4 of 5 · Knowledge Check

If a deposited check "bounces" (is returned unpaid) after you spent the money, what usually happens?

A. The bank takes the amount back from your account, possibly with a fee

B. The bank keeps the money in your account because it was already available

C. The person who wrote the check pays your fee

D. Nothing, because the deposit was already posted

GO DEEPER 2 — Pending transactions, available balance, and posting

Question 5 of 5 · Knowledge Check · Practical how-to

Which habit best prevents spending based on the wrong balance?

A. Recording each purchase as you make it

B. Checking the balance once a month

C. Using only the current balance on the bank app

D. Keeping your PIN on the card

SET 3 · Money, Banking, and Financial Institutions

Opening a checking account

MAIN skill: Compare checking accounts and complete the steps to open one

Outcome FL.BANK.03 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Financial institutions and payment methods: choosing and opening a deposit account

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Account fees and fee waivers (5 questions)
  Why: Choosing and opening an account depends on understanding what a monthly fee and a waiver condition are.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Comparing accounts means multiplying monthly fees by months and comparing dollar totals.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reading account disclosures and fee schedules (5 questions)
- Go Deeper 2: Account screening and second-chance accounts (5 questions)

Practical skills beyond the standards: Step-by-step account opening; Direct deposit setup; ChexSystems and second-chance accounts

Content status: time-sensitive

Source: FinCEN / federal banking agencies (Customer Identification Program rule, 31 CFR 1020.220) — Banks must collect at least name, date of birth, address, and an identification number before opening an account.
https://www.ecfr.gov/current/title-31/subtitle-B/chapter-X/part-1020/subpart-B/section-1020.220

Source: CFPB — Checking account screening companies (such as ChexSystems) report past account problems; consumers can get a free copy of their report every 12 months.
https://www.consumerfinance.gov/ask-cfpb/what-is-a-checking-account-screening-company-en-1083/

MAIN — Compare checking accounts and complete the steps to open one

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

Banks and credit unions usually require an adult (18 or older) to open an account alone, because a minor generally cannot be held to a contract. Many offer teen or student checking accounts that a minor opens jointly with a parent or guardian. The adult co-owner can see the account and shares responsibility for it.

Jordan is 17 and wants a first checking account. Which plan matches how most banks handle an applicant under 18?

A. Open an individual account online using only a student ID card

B. Wait until age 21, the legal minimum age for any bank account

C. Deposit paychecks into a friend's account until Jordan turns 18

D. Open a joint teen account with a parent or guardian

MAIN — Compare checking accounts and complete the steps to open one

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Federal rules require banks to verify who opens an account. Before opening one, a bank collects at least your name, date of birth, address, and an identification number: a Social Security number for U.S. citizens, or another number, such as an ITIN or passport number, for others. Most banks also ask for a government-issued photo ID.

Which information will a bank most likely require to open a checking account?

A. Your report card, a teacher's reference, and your school's address

B. Your credit card number and its PIN, to link the two accounts

C. Only a signature, because banks do not verify who customers are

D. Name, birth date, address, and an ID number such as an SSN

MAIN — Compare checking accounts and complete the steps to open one

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Many checking accounts charge a monthly maintenance fee that is waived if you meet a condition: a minimum balance, a minimum direct deposit, or being a student. Compare accounts by the fees YOU would actually pay, based on how you will use the account.

Tess will receive about $800 a month by direct deposit and usually keeps about $300 in checking.
Account X: $10 monthly fee, waived with a direct deposit of $500 or more each month.
Account Y: $5 monthly fee, waived if the balance stays at $1,000 or more.
What would each account cost Tess in monthly fees over a year?

A. Account X: $0; Account Y: $60

B. Account X: $120; Account Y: $60

C. Account X: $0; Account Y: $0

D. Account X: $120; Account Y: $0

MAIN — Compare checking accounts and complete the steps to open one

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Direct deposit sends pay electronically into your account. Your employer needs two numbers: the routing number, a 9-digit number that identifies your bank, and your account number, which identifies your account at that bank. Both appear on checks and in the bank's app. Never share a PIN or password to set up a deposit.

Tess wants her paycheck deposited directly into her new account. What does her employer need from her?

A. Her debit card number and its PIN

B. Her online banking username and password

C. Only the name of her bank and the branch's street address

D. Her bank's routing number and her account number

MAIN — Compare checking accounts and complete the steps to open one

Question 5 of 5 · Knowledge Check

Ahmed's new account requires a $25 opening deposit and has a $6 monthly fee that is waived only when the balance stays at $300 or more. Ahmed's balance stays below $300 (around $150) every month. Assuming no other fees, how much will the account charge him in fees over 6 months?

A. $0

B. $6

C. $36

D. $61

BACKWARD B1 · concept review — Account fees and fee waivers

Question 1 of 5 · Learn and Apply

LEARN

A fee is a charge the bank takes from your account. A "monthly maintenance fee" (also called a service fee) is charged every month just for having the account, unless you meet a waiver condition.

A checking account has a "$12 monthly maintenance fee." What does this mean?

A. The bank takes $12 each month unless a waiver applies

B. The bank pays you $12 each month for keeping the account

C. You must deposit $12 every month to keep the account open

D. You pay $12 one time, when you first open the account

BACKWARD B1 · concept review — Account fees and fee waivers

Question 2 of 5 · Learn and Apply

LEARN

A waiver condition is a rule that, if you meet it, cancels a fee. A "minimum daily balance" rule means your balance must stay at or above the amount every day of the statement period.

An account waives its $8 monthly fee "with a minimum daily balance of $500." In March, Lena's balance stays above $600 every day. What fee does she pay for March?

A. $0

B. $4

C. $8

D. $500

BACKWARD B1 · concept review — Account fees and fee waivers

Question 3 of 5 · Learn and Apply

LEARN

With a minimum daily balance rule, one day below the minimum is enough to lose the waiver for that month, even if the balance is high on other days.

An account waives its $8 monthly fee "with a minimum daily balance of $500." In April, Lena's balance drops to $450 for one day, then goes back above $600. What fee does she pay for April?

A. $0

B. $4

C. $8

D. $50

BACKWARD B1 · concept review — Account fees and fee waivers

Question 4 of 5 · Knowledge Check

Which statement about a minimum opening deposit is TRUE?

A. It is your own money, deposited into your new account

B. It is a fee the bank keeps to open the account

C. It is a loan the bank gives you to start the account

D. It must be paid again every month you keep the account

BACKWARD B1 · concept review — Account fees and fee waivers

Question 5 of 5 · Knowledge Check

Two accounts are identical except for fees. Which would cost a student nothing?

A. One with a $3 fee, because the fee is small

B. One with a $15 fee waived at a $5,000 balance, for a student with $200

C. One with a fee charged only every other month, at $6

D. One whose fee is waived for students, if the student qualifies

GO DEEPER 1 — Reading account disclosures and fee schedules

Question 1 of 5 · Learn and Apply

LEARN

When you open an account, the bank gives you disclosures: documents that list the account's interest rate, fees, and rules. Federal law (the Truth in Savings Act) requires banks to disclose this information. Small optional fees, like paper statement fees, are easy to miss.

A disclosure says: "Paper statement fee: $2 per month. Free with e-statements." Rafael wants paper statements. Over two years, how much will this choice cost?

A. $2

B. $4

C. $24

D. $48

GO DEEPER 1 — Reading account disclosures and fee schedules

Question 2 of 5 · Learn and Apply

LEARN

A fee schedule is a list of every fee the account can charge: monthly fees, overdraft and returned item fees, wire transfer fees, stop payment fees, out-of-network ATM fees, and fees for extras like paper statements or cashier's checks.

Which item would you expect to find in an account's fee schedule?

A. The charge for an incoming or outgoing wire transfer

B. The bank's current interest rate on 30-year home mortgages

C. The FDIC insurance limit for your account

D. The interest rate on your credit card

GO DEEPER 1 — Reading account disclosures and fee schedules

Question 3 of 5 · Knowledge Check

An account advertises "No monthly fee!" Its fee schedule lists a $35 overdraft fee, a $3 out-of-network ATM fee, and a $30 wire fee. Which conclusion is correct?

A. The account has no fees of any kind

B. The account will cost exactly $68 every month, since all three fees apply

C. Every one of those fees is illegal for a free account

D. The account can still be costly, depending on how it is used

GO DEEPER 1 — Reading account disclosures and fee schedules

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Banks can change account terms. They must tell existing customers in advance about changes that could hurt them, such as a higher fee. That notice gives you time to compare and decide.

A bank sends a notice that a fee will change in 30 days. What is a reasonable response?

A. Compare the new terms with other accounts

B. Ignore it, because fees cannot change after an account is opened

C. Close the account the same day without checking alternatives

D. Pay the new fee now to lock in the old rate

GO DEEPER 1 — Reading account disclosures and fee schedules

Question 5 of 5 · Knowledge Check · Practical how-to

Which question is MOST useful when comparing two accounts' disclosures?

A. Which bank has the larger headquarters building?

B. Which disclosure document is longer?

C. Which bank's advertising do I see most often on social media?

D. Which fees will I realistically pay, given how I bank?

GO DEEPER 2 — Account screening and second-chance accounts

Question 1 of 5 · Learn and Apply

LEARN

Before opening an account, many banks check a consumer report from a checking account screening company, such as ChexSystems or Early Warning Services. These reports list problems with past accounts, such as unpaid overdrafts, accounts closed by a bank, or suspected fraud. Negative information can stay on these reports for years.

Devon's application for a checking account is denied because of a report from a checking account screening company. What kind of history does such a report usually show?

A. Unpaid overdrafts or fraud at past banks

B. Grades and attendance from high school

C. Devon's medical history and doctor visits

D. Every purchase Devon has made with cash

GO DEEPER 2 — Account screening and second-chance accounts

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Checking account screening companies are consumer reporting agencies. Under federal law you can get a free copy of your report every 12 months and dispute information you believe is wrong; the company must investigate.

Devon was denied a checking account because of a checking account screening report that he believes contains a mistake. What can he do?

A. Nothing, because screening reports cannot be corrected

B. Pay the screening company to delete it

C. Open new accounts under a friend's name instead of his own

D. Request a free copy of the report and dispute the error

GO DEEPER 2 — Account screening and second-chance accounts

Question 3 of 5 · Knowledge Check · Practical how-to

Devon's checking account screening report correctly shows a $90 negative balance he left at an old bank. Which step would most likely help him open an account in the future?

A. Pay off the $90 and ask the old bank to update the report

B. Wait one week, because reports clear automatically

C. Open many applications at once to find one bank that says yes

D. Avoid banks and keep all of his money in cash

GO DEEPER 2 — Account screening and second-chance accounts

Question 4 of 5 · Learn and Apply

LEARN

Some banks and credit unions offer second-chance accounts to people who were denied regular accounts. They may have a monthly fee, no overdraft feature, or lower limits. After a period of good use, some can be changed to a regular account.

What is a "second-chance" checking account?

A. A second account that the bank opens automatically for every customer

B. A loan that pays off your old bank's balance

C. A savings account that pays double interest

D. An account for people with past account problems, often with limits

GO DEEPER 2 — Account screening and second-chance accounts

Question 5 of 5 · Knowledge Check

Devon cannot open a regular account, but a credit union offers him a second-chance checking account (an account for people with past account problems, often with a small fee). Why might it be better than using check-cashing stores for every paycheck?

A. Check-cashing stores are always free

B. Second-chance accounts pay much higher interest than savings accounts

C. A bank account means Devon can never overdraw again

D. Check-cashing fees on every paycheck can cost far more over a year

SET 4 · Money, Banking, and Financial Institutions

Account registers and bank statements

MAIN skill: Track a running balance and read a bank statement

Outcome FL.BANK.04 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Managing a checking account: record transactions and reconcile statements

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Money in and money out (5 questions)
  - Why: Running-balance and statement problems require knowing which transactions add and which subtract.
- B2 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  - Why: Deposits are added in dollars and cents.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Purchases and payments are subtracted in dollars and cents.
- B4 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  - Why: An overdrawn account has a negative balance; students must read and compute with negative amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reconciling a statement (5 questions)
- Go Deeper 2: Spotting errors and unauthorized charges (5 questions)

Practical skills beyond the standards: Reconciling a bank statement

Content status: time-sensitive

Source: CFPB (Regulation E, 12 CFR 1005.6) — Report unauthorized electronic transfers within 60 days after the statement showing them is sent; after that, liability can be unlimited for later transfers that timely notice would have prevented. https://www.consumerfinance.gov/rules-policy/regulations/1005/6/

MAIN — Track a running balance and read a bank statement

Question 1 of 5 · Learn and Apply

LEARN

An account register (or a budgeting app) records every transaction and keeps a running balance. Add each deposit (money in). Subtract each withdrawal, payment, or purchase (money out). Recording each item as it happens shows what you truly have.

Nina starts with $215.60 in checking. She deposits $84.25, buys shoes for $59.99, and pays a $42.00 bill. What is her balance?

A. $113.61

B. $155.86

C. $197.86

D. $316.84

MAIN — Track a running balance and read a bank statement

Question 2 of 5 · Learn and Apply

LEARN

A bank statement summarizes one period, usually a month: the balance at the start, every deposit and withdrawal, any fees or interest, and the balance at the end. Ending balance = beginning balance + deposits − withdrawals.

A bank statement shows: beginning balance $640.00; total deposits $1,120.00; total withdrawals $1,395.50. What is the ending balance?

A. $275.50

B. $364.50

C. $915.50

D. $1,914.50

MAIN — Track a running balance and read a bank statement

Question 3 of 5 · Learn and Apply

LEARN

The statement equation (beginning + deposits − withdrawals = ending) can be used to find any missing amount. Substitute what you know and solve for the unknown.

A statement shows a beginning balance of $410.00, withdrawals of $760.00, and an ending balance of $300.00. What were the total deposits?

A. $110.00

B. $350.00

C. $650.00

D. $1,470.00

MAIN — Track a running balance and read a bank statement

Question 4 of 5 · Learn and Apply

LEARN

If more money leaves an account than it holds, the balance becomes negative: the account is "overdrawn." A negative balance is money owed to the bank, often with a fee added. It must be repaid by depositing money.

Carlos's balance is $42.10. A $55.00 automatic payment goes through anyway. What does his account show afterward?

A. −$12.90

B. $0.00

C. $12.90

D. $97.10

MAIN — Track a running balance and read a bank statement

Question 5 of 5 · Learn and Apply

LEARN

A check you write is paid only when the person you paid deposits or cashes it, which can take days or weeks. Until then, the money is still in your account, but it is already promised.

Ivy wrote a $75 check to her landlord on May 30. Her May 31 bank statement does not show it. Why?

A. The landlord had not yet deposited the check when the statement closed

B. The bank forgot to charge the check, so Ivy gets to keep the $75

C. Checks never appear on bank statements

D. The check was paid from Ivy's savings account automatically

BACKWARD B1 · concept review — Money in and money out

Question 1 of 5 · Learn and Apply

LEARN

Money coming into an account (deposits, direct deposits, transfers in, interest) is a credit and increases the balance. Money going out (purchases, withdrawals, bill payments, fees) is a debit and decreases it.

Which transaction INCREASES a checking account balance?

A. A paycheck deposited by direct deposit

B. A debit card purchase at a store

C. An ATM cash withdrawal

D. An automatic payment for this month's phone bill

BACKWARD B1 · concept review — Money in and money out

Question 2 of 5 · Learn and Apply

LEARN

On a bank statement, "debit" means money taken out of the account, and "credit" means money added. Fees are debits; interest earned and refunds are credits.

On a bank statement, which item is a debit?

A. $0.42 of interest earned

B. A $200 transfer in from savings

C. A $50 refund from a store

D. A $3.00 ATM fee

BACKWARD B1 · concept review — Money in and money out

Question 3 of 5 · Learn and Apply

LEARN

Each purchase with a debit card lowers your balance by the purchase amount.

Zoe's balance is $120. She buys a $30 jacket. What happens to her balance?

A. It goes down to $90

B. It goes up to $150

C. It stays at $120 until the end of the month

D. It goes down to $30

BACKWARD B1 · concept review — Money in and money out

Question 4 of 5 · Knowledge Check

Why should you record a purchase in your register right away?

A. Because the bank charges a fee each month if you do not record it

B. Because unrecorded purchases are free

C. Because the store needs a copy of your register

D. So your balance shows what you really have left to spend

BACKWARD B1 · concept review — Money in and money out

Question 5 of 5 · Knowledge Check

Which list contains ONLY items that lower a balance?

A. A check you wrote, a bill payment, and a monthly fee

B. A deposit, a check you wrote, and a refund

C. Interest earned, a monthly fee, and a transfer in from savings

D. A paycheck, a gift deposited, and interest

GO DEEPER 1 — Reconciling a statement

Question 1 of 5 · Learn and Apply

LEARN

Reconciling means checking that your records match the bank's. Start with the statement's ending balance, add deposits the bank has not recorded yet ("deposits in transit"), and subtract checks and payments that have not cleared ("outstanding"). The result should equal your register balance.

Sam's statement ending balance is $520. He has a $150 deposit the bank had not received yet and two outstanding checks of $60 and $45. What is his adjusted (true) balance?

A. $415

B. $520

C. $565

D. $775

GO DEEPER 1 — Reconciling a statement

Question 2 of 5 · Learn and Apply

LEARN

When the adjusted statement balance and the register do not match, look for items on the statement that are missing from the register, such as fees, interest, or automatic payments, and for math mistakes in the register.

Sam reconciles his account. After he adds deposits in transit and subtracts outstanding checks, the statement shows $565, but his register shows $575. Which is the most likely explanation?

A. The bank always makes small $10 errors in its own favor

B. Sam's deposit in transit was $10 smaller than he thought

C. Interest earned is never shown on statements

D. A $10 charge on the statement was never recorded in his register

GO DEEPER 1 — Reconciling a statement

Question 3 of 5 · Knowledge Check

Sam finds a $4 monthly "service fee" on his statement that he did not record. What should he do in his register?

A. Subtract $4 from his register balance

B. Add $4 to his register balance

C. Ignore it, since the bank already recorded it

D. Subtract $8, once for the bank and once for him

GO DEEPER 1 — Reconciling a statement

Question 4 of 5 · Knowledge Check

Which reason BEST explains why reconciling monthly matters?

A. It raises the interest rate on the account

B. It is legally required for every account holder

C. It removes any fees the bank charged that month

D. It catches errors and unauthorized charges early

GO DEEPER 1 — Reconciling a statement

Question 5 of 5 · Knowledge Check

Amy's statement ending balance is $310. Outstanding checks: $25 and $40. No deposits in transit. Her register shows $245. Do her records agree?

A. Yes: $310 − $25 − $40 = $245

B. No: her register should show $310

C. No: her register should show $375

D. Yes, because the two numbers are close

GO DEEPER 2 — Spotting errors and unauthorized charges

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

An unauthorized transaction is one you did not make or allow. Federal rules (Regulation E) limit your liability for unauthorized electronic transfers, but the protection depends on how fast you report. Contact your bank as soon as you notice one.

Lucas sees a $129 charge from an online store he has never used. What should he do FIRST?

A. Wait until next month to see if it happens again

B. Email the online store his full account number to ask about the charge

C. Ignore it, because small banks cannot reverse charges

D. Contact his bank right away to report the unauthorized charge

GO DEEPER 2 — Spotting errors and unauthorized charges

Question 2 of 5 · Learn and Apply

LEARN

For unauthorized electronic transfers that appear on a statement, you generally have 60 days after the statement is sent to report them. After that, you may be liable for later transfers the bank could have stopped.

Mia's statement dated March 31 shows an unauthorized online debit charge; her card was never lost or stolen. She reports it on May 20. Is she within the window for full protection?

A. Yes; it is within 60 days of the statement

B. No; the limit is 2 business days

C. No; charges must be reported the same day they post

D. Yes, because there is no time limit at all

GO DEEPER 2 — Spotting errors and unauthorized charges

Question 3 of 5 · Knowledge Check

A store charged Ana twice for one $45 purchase. Which statement is accurate?

A. Duplicate charges are legal if the store says so

B. She must accept it because she used her card

C. She can only fix it by closing her account

D. This is an error she can dispute with the bank or the store

GO DEEPER 2 — Spotting errors and unauthorized charges

Question 4 of 5 · Knowledge Check · Practical how-to

Which habit catches unauthorized charges the fastest?

A. Transaction alerts and frequent app checks

B. Reading paper statements once a year

C. Checking only the ending balance on each statement

D. Using the card less often

GO DEEPER 2 — Spotting errors and unauthorized charges

Question 5 of 5 · Learn and Apply

LEARN

For a lost or stolen debit card, if you report within 2 business days of learning of the loss, your liability for unauthorized transfers is capped at $50. After 2 business days, the cap rises to $500. Many banks voluntarily offer $0 liability, but the law sets these limits.

Ben lost his debit card on Monday, noticed it Tuesday, and reported it Tuesday. A thief spent $300 before he reported it. What is the most Ben can be held responsible for under federal rules?

A. $300

B. $500

C. $0, in every case

D. $50

SET 5 · Money, Banking, and Financial Institutions

Overdrafts and bank fees

MAIN skill: Explain overdrafts and compute the cost of overdraft and related fees

Outcome FL.BANK.05 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Payment methods and the costs of financial services: overdraft and account fees

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What "overdrawn" means (5 questions)
  - Why: Students must understand a negative balance as money owed before they can reason about overdraft fees.
- B2 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  - Why: Overdraft problems require adding and subtracting with negative balances.
- B3 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  - Why: Multi-step fee problems combine several operations with money amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: The yearly cost of fee habits (5 questions)
- Go Deeper 2: Linked accounts and overdraft lines of credit (5 questions)

Practical skills beyond the standards: Overdraft opt-in decision; Low-balance alerts and buffers

Content status: time-sensitive

Source: CFPB — Banks must get the customer's opt-in before charging overdraft fees on ATM withdrawals and one-time debit card purchases; checks and recurring payments may be paid into overdraft without that opt-in. https://www.consumerfinance.gov/ask-cfpb/what-is-overdraft-coverage-en-1015/

MAIN — Explain overdrafts and compute the cost of overdraft and related fees

Question 1 of 5 · Learn and Apply

LEARN

An overdraft happens when a payment or purchase is larger than the money in the account and the bank pays it anyway. The account goes negative, and the bank may charge an overdraft fee. If the bank refuses the payment instead, the item is returned unpaid, and a returned-item ("NSF") fee may apply.

What is an overdraft?

A. Taking out a loan with a fixed monthly payment

B. Keeping a balance above the minimum required

C. Transferring money from checking to savings

D. Spending more than the account holds

MAIN — Explain overdrafts and compute the cost of overdraft and related fees

Question 2 of 5 · Learn and Apply

LEARN

Each item paid while the account is overdrawn can trigger its own fee. Track the balance item by item. A small purchase can cost far more than its price once a fee is added.

Mason's balance is $30. His bank charges $35 per overdraft. He makes three debit card purchases: $12, then $25, then $8, and he has opted in to overdraft coverage. If each purchase that makes the balance negative (or more negative) gets a fee, how much will he pay in fees?

A. $15

B. $35

C. $70

D. $105

MAIN — Explain overdrafts and compute the cost of overdraft and related fees

Question 3 of 5 · Learn and Apply

LEARN

Federal rules say a bank must get your permission (your "opt-in") before charging overdraft fees on ATM withdrawals and one-time debit card purchases. If you do not opt in, those transactions are usually declined. Checks and automatic bill payments are treated differently and can still be overdrawn.

Without opting in to overdraft coverage, what usually happens when Leah tries a one-time debit card purchase larger than her balance?

A. The purchase is declined, with no overdraft fee

B. The purchase is approved, and she pays a $35 fee

C. The store gives her the item for free

D. Her account is closed immediately

MAIN — Explain overdrafts and compute the cost of overdraft and related fees

Question 4 of 5 · Learn and Apply

LEARN

Overdraft protection links checking to another account, such as savings or a line of credit. When checking runs short, money is moved automatically to cover the item. Banks often charge a transfer fee, but it is usually smaller than an overdraft fee.

Hana links her savings account to checking for overdraft protection. The bank charges $10 per automatic transfer instead of a $35 overdraft fee. She overdraws twice this month. How much does linking save her this month?

A. $20

B. $25

C. $50

D. $70

MAIN — Explain overdrafts and compute the cost of overdraft and related fees

Question 5 of 5 · Knowledge Check

Ray's $80 electric bill payment is returned unpaid because his account is short. Which result is MOST likely?

A. He may owe a returned-item fee, and the bill is still unpaid

B. The bill is paid, and no one charges any fee

C. The electric company cancels the bill

D. His bank pays the bill from its own funds and never charges him for it

BACKWARD B1 · concept review — What "overdrawn" means

Question 1 of 5 · Learn and Apply

LEARN

When spending is larger than the balance and the bank pays anyway, the balance becomes negative. A negative balance means you owe the bank that amount.

Rina's balance is $20. She spends $26. If the bank pays it, what is her balance (before any fee)?

A. −$6

B. $0

C. $6

D. $46

BACKWARD B1 · concept review — What "overdrawn" means

Question 2 of 5 · Learn and Apply

LEARN

A negative account balance is a debt to the bank. You must deposit enough to bring the balance back to zero or above.

What does a balance of −$6 mean?

A. The bank owes Rina $6

B. Rina has $6 left to spend

C. The account has been closed

D. Rina owes the bank $6

BACKWARD B1 · concept review — What "overdrawn" means

Question 3 of 5 · Learn and Apply

LEARN

A fee is subtracted from the balance, even when the balance is already negative, which makes it more negative.

Rina's balance is −$6, and the bank adds a $35 overdraft fee. What is her new balance?

A. −$41

B. −$35

C. −$29

D. $29

BACKWARD B1 · concept review — What "overdrawn" means

Question 4 of 5 · Knowledge Check

How much must Rina deposit to bring a −$41 balance back to exactly $0?

A. $0

B. $6

C. $35

D. $41

BACKWARD B1 · concept review — What "overdrawn" means

Question 5 of 5 · Learn and Apply

LEARN

The available balance already subtracts pending transactions. Checking it helps only if you then act on it: wait, spend less, or add cleared money first.

Rina had $20 available in checking and made a $26 debit purchase, overdrawing her account. Which choice would have prevented this?

A. Making the purchase on a different day of the week instead

B. Using the card at a larger store

C. Checking her balance the day after the purchase

D. Checking her available balance and skipping or shrinking the purchase

GO DEEPER 1 — The yearly cost of fee habits

Question 1 of 5 · Learn and Apply

LEARN

A habit that causes a fee every month becomes a large yearly cost. Multiply the monthly cost by 12 to see the yearly impact.

Jae overdraws his account exactly once every month for a year and pays a $34 fee each time. How much do the fees cost him in that year?

A. $34

B. $136

C. $340

D. $408

GO DEEPER 1 — The yearly cost of fee habits

Question 2 of 5 · Learn and Apply

LEARN

When a purchase overdraws the account, its true cost is the purchase price plus the overdraft fee.

Jae pays a $34 overdraft fee about once a month, each time on a $9 debit purchase. What does each of those purchases really cost?

A. $9

B. $25

C. $34

D. $43

GO DEEPER 1 — The yearly cost of fee habits

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Low-balance alerts warn you before you overspend. A buffer, a small amount you treat as untouchable, absorbs timing surprises such as a bill that posts a day early.

Jae overdraws about once a month because he buys things without checking his balance. Which step would MOST directly prevent his overdrafts?

A. Use a different debit card from the same account

B. Make purchases late at night

C. Ask the bank for paper statements instead of e-statements

D. Set a low-balance alert and keep a small buffer in checking

GO DEEPER 1 — The yearly cost of fee habits

Question 4 of 5 · Knowledge Check

Jae pays $408 a year in overdraft fees (12 × $34). Keeping a $100 buffer, money he leaves in checking and never spends, would have prevented all 12 overdrafts. Compare keeping the buffer with paying the fees.

A. The buffer saves $408 and stays his money

B. The buffer costs him $100 per month

C. The buffer and the fees cost the same

D. The buffer saves $100 and costs $408

GO DEEPER 1 — The yearly cost of fee habits

Question 5 of 5 · Knowledge Check · Practical how-to

Some banks have reduced or ended overdraft fees, and others still charge them. What is the best way to learn your own bank's current policy?

A. Read the current fee schedule or ask the bank directly

B. Assume every bank charges exactly $35

C. Assume overdraft fees are banned everywhere

D. Rely on what a friend's bank charged for overdrafts five years ago

GO DEEPER 2 — Linked accounts and overdraft lines of credit

Question 1 of 5 · Learn and Apply

LEARN

An overdraft line of credit is a small loan account linked to checking. When checking runs short, it lends the difference, and you pay interest (and sometimes a fee) until you repay it. Interest for part of a year ≈ principal × annual rate × fraction of a year.

An overdraft line of credit covers shortfalls with a loan that charges 18% interest (APR 18%; no other finance charges). Kim borrows $200 through it and repays it after one month. About how much interest does she pay (simple interest for 1/12 of a year)?

A. $0.30

B. $3

C. $18

D. $36

GO DEEPER 2 — Linked accounts and overdraft lines of credit

Question 2 of 5 · Knowledge Check

Kim compares two ways to cover a $200 shortfall for one month: a $35 overdraft fee, or about $3 of interest plus a $5 transfer fee on her line of credit. Which costs less and by how much?

A. The overdraft fee, by $27

B. The line of credit, by $32

C. They cost the same

D. The line of credit, by $27

GO DEEPER 2 — Linked accounts and overdraft lines of credit

Question 3 of 5 · Knowledge Check

Which risk applies to an overdraft line of credit but NOT to a savings-linked transfer?

A. Unpaid amounts keep collecting interest
B. It moves your own savings into checking
C. It can never be used more than once
D. It is covered by FDIC insurance if unpaid

GO DEEPER 2 — Linked accounts and overdraft lines of credit

Question 4 of 5 · Knowledge Check

Which account would a bank usually check before approving an overdraft line of credit?

A. Your school transcript

B. Nothing, since it is part of a checking account you already have

C. Your savings account interest rate

D. Your credit history, because it is a loan

GO DEEPER 2 — Linked accounts and overdraft lines of credit

Question 5 of 5 · Knowledge Check

Kim leaves $200 unpaid on the 18% line of credit for a full year (simple interest). How much interest accrues?

A. $3

B. $18

C. $36

D. $236

SET 6 · Money, Banking, and Financial Institutions

Savings accounts and deposit insurance

MAIN skill: Choose a savings account and explain how deposit insurance protects deposits

Outcome FL.BANK.06 · National topic: Saving · NJSLS 9.1.12: FI

Learning target: Savings options: interest rates, APY, and deposit insurance

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Saving versus spending money (5 questions)
  Why: The MAIN questions assume students separate money for later from money for now and know what interest on savings is.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Interest for a year is a percent of the balance.
- B3 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Rates written as decimals are multiplied by balances.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Interest rate versus APY (5 questions)
- Go Deeper 2: Deposit insurance limits and ownership categories (5 questions)

Practical skills beyond the standards: Checking whether an institution is insured (FDIC BankFind)

Content status: time-sensitive

Source: FDIC — Deposit insurance covers up to $250,000 per depositor, per insured bank, for each account ownership category; investment products are not deposits and are not FDIC insured.
https://www.fdic.gov/resources/deposit-insurance

MAIN — Choose a savings account and explain how deposit insurance protects deposits

Question 1 of 5 · Learn and Apply

LEARN

A savings account is a deposit account for money you are setting aside. It usually pays more interest than checking, and keeping savings separate makes it less likely you will spend it by accident. You can generally withdraw when you need to, though some banks limit how often.

Why do people usually keep money for a goal six months away in a savings account rather than in checking?

A. Savings usually earns more and stays apart from spending money

B. Savings accounts cannot be withdrawn from until the goal date

C. Checking accounts are not insured by the FDIC

D. Savings accounts guarantee the money will double

MAIN — Choose a savings account and explain how deposit insurance protects deposits

Question 2 of 5 · Learn and Apply

LEARN

Interest for one year ≈ balance × annual rate (as a decimal). To write a percent as a decimal, divide by 100: 3.5% = 0.035.

A savings account pays 3.5% interest per year. About how much interest will $1,600 earn in one year?

A. $5.60

B. $56

C. $560

D. $1,656

MAIN — Choose a savings account and explain how deposit insurance protects deposits

Question 3 of 5 · Learn and Apply

LEARN

The FDIC insures deposits at insured banks up to $250,000 per depositor, per insured bank, for each account ownership category (such as individual or joint). Credit union deposits have the same coverage through the NCUA. No depositor has lost insured funds since the FDIC began in 1934.

Grace has $300,000 in one individual savings account at a single FDIC-insured bank. If the bank failed, how much of her deposit would be above the standard insurance limit?

A. $0

B. $50,000

C. $250,000

D. $300,000

MAIN — Choose a savings account and explain how deposit insurance protects deposits

Question 4 of 5 · Learn and Apply

LEARN

FDIC insurance covers deposits: checking, savings, money market deposit accounts, and certificates of deposit. It does not cover stocks, bonds, mutual funds, crypto assets, annuities, or life insurance, even if a bank sells them. It also does not protect against investment losses.

Leo buys shares of a stock mutual fund through an investment desk inside his bank's branch. The fund loses value. Does FDIC insurance cover the loss?

A. Yes: anything bought at an FDIC-insured bank is insured

B. Yes, up to $250,000 of investment losses

C. Only if Leo paid for the fund with money from his checking account

D. No: investments are not deposits, even when sold at a bank

MAIN — Choose a savings account and explain how deposit insurance protects deposits

Question 5 of 5 · Knowledge Check

Ava needs money she can reach quickly for unexpected costs and does not want it to lose value. Which place fits best?

A. A stock fund that has risen sharply this year

B. A 5-year certificate of deposit with a penalty for early withdrawal

C. Cash hidden in her bedroom

D. An insured savings account

BACKWARD B1 · concept review — Saving versus spending money

Question 1 of 5 · Learn and Apply

LEARN

Checking is for money you will spend soon: bills and everyday purchases. Savings is for money you are setting aside for later: goals and emergencies.

Which money belongs in savings rather than checking?

A. Money set aside for a laptop you plan to buy next spring

B. Money for this week's groceries

C. Money to pay this month's phone bill when it arrives next week

D. Cash for lunch tomorrow

BACKWARD B1 · concept review — Saving versus spending money

Question 2 of 5 · Learn and Apply

LEARN

Interest on savings is money the bank pays you for keeping your money there. It is added to your balance.

Leila earns 2% interest on her $500 savings for a year. What does "earning interest" mean here?

A. The bank adds money to her account

B. The bank charges her 2% to hold her money

C. She owes the bank $10

D. Her $500 is locked until she turns 18

BACKWARD B1 · concept review — Saving versus spending money

Question 3 of 5 · Learn and Apply

LEARN

Percent means "per hundred." To write a percent as a decimal, divide by 100 (move the decimal point two places left).

What is 2% written as a decimal?

A. 0.002

B. 0.02

C. 0.2

D. 2.0

BACKWARD B1 · concept review — Saving versus spending money

Question 4 of 5 · Knowledge Check

Using 0.02 for 2%, how much interest does $500 earn in one year?

A. $1

B. $10

C. $100

D. $510

BACKWARD B1 · concept review — Saving versus spending money

Question 5 of 5 · Knowledge Check

Which statement is TRUE about money in an insured savings account?

A. It always grows faster than prices rise

B. It can be withdrawn with no limits of any kind at every bank in the country

C. It earns the same interest at every bank

D. Its value in dollars does not go down because of market changes

GO DEEPER 1 — Interest rate versus APY

Question 1 of 5 · Learn and Apply

LEARN

The interest rate is the yearly rate before compounding. APY (annual percentage yield) shows what you actually earn in a year once interest is added to your balance and itself earns interest (compounding). Banks must show APY for savings, so use APY to compare accounts.

Two savings accounts show:
Bank A: interest rate 4.00%, compounded monthly; APY 4.07%
Bank B: APY 4.05%
Which number should Mo use to compare them fairly?

A. The APY of each account

B. The interest rate of Bank A and the APY of Bank B

C. The interest rate of each, ignoring APY

D. Whichever number is printed larger in the ad

GO DEEPER 1 — Interest rate versus APY

Question 2 of 5 · Learn and Apply

LEARN

APY is the actual percent your money grows in one year, so one year of earnings ≈ balance × APY.

An account has an APY of 4.07%. About how much will $2,000 earn in one year if the rate stays the same and nothing is withdrawn?

A. $8.14

B. $81.40

C. $814.00

D. $2,081.40

GO DEEPER 1 — Interest rate versus APY

Question 3 of 5 · Learn and Apply

LEARN

APY (annual percentage yield) is the percent your money actually grows in one year. The stated interest rate is the yearly rate before compounding.

Why is APY usually a little higher than the stated interest rate?

A. Banks add a bonus to every account

B. APY includes extra deposits you plan to make later in the year

C. APY is the rate before taxes are added

D. Interest that is added during the year also earns interest

GO DEEPER 1 — Interest rate versus APY

Question 4 of 5 · Learn and Apply

LEARN

Most savings accounts have variable rates: the bank can raise or lower them, often when market interest rates change. A certificate of deposit usually locks a rate for its term.

A savings rate is "variable." What does that mean?

A. The bank can change the rate over time

B. The rate is fixed until the account is closed

C. The rate depends on how many times you log in

D. The rate is negative in some months

GO DEEPER 1 — Interest rate versus APY

Question 5 of 5 · Knowledge Check

An ad shows "5.00% APY*", and the fine print says "*on balances up to $1,000; 0.50% APY on the amount above $1,000." Sara deposits $5,000. About how much interest will she earn in one year?

A. $25

B. $50

C. $70

D. $250

GO DEEPER 2 — Deposit insurance limits and ownership categories

Question 1 of 5 · Learn and Apply

LEARN

The $250,000 limit applies per depositor, per insured bank, per ownership category. Money at two different banks is insured separately. (Two "brands" of the same bank are one bank for insurance purposes.)

Marcus has $200,000 in an individual account at Bank A and $200,000 in an individual account at Bank B. Both banks are FDIC insured and separate. How much of his money is insured?

A. $0

B. $200,000

C. $250,000

D. $400,000

GO DEEPER 2 — Deposit insurance limits and ownership categories

Question 2 of 5 · Learn and Apply

LEARN

Joint accounts are a separate ownership category from individual accounts. Each co-owner's share of joint accounts at one bank is insured up to $250,000.

Sam and Pat own a joint account with $500,000 at one insured bank. Joint accounts are insured up to $250,000 per co-owner. How much is insured?

A. $125,000

B. $250,000

C. $500,000

D. $1,000,000

GO DEEPER 2 — Deposit insurance limits and ownership categories

Question 3 of 5 · Knowledge Check

Which product is covered by FDIC insurance when bought at an insured bank?

A. Shares of an index fund

B. A cryptocurrency purchase

C. The contents of a safe deposit box

D. A 12-month certificate of deposit

GO DEEPER 2 — Deposit insurance limits and ownership categories

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Only deposits at FDIC-insured banks (or NCUA-insured credit unions) are covered by deposit insurance. The FDIC warns consumers about companies that misrepresent their products as FDIC insured.

A website for a company that sells crypto says, "Your funds are safe — like a bank." What should a careful saver conclude?

A. The funds must be FDIC insured

B. The company is a federally chartered bank

C. The NCUA insures every crypto platform that operates in the United States

D. That claim does not mean the funds are FDIC insured

GO DEEPER 2 — Deposit insurance limits and ownership categories

Question 5 of 5 · Knowledge Check · Practical how-to

Ella has $260,000 in one individual account at an insured bank and wants all of it insured. Which change would accomplish that most directly?

A. Move $10,000 or more to an account at a different insured bank

B. Split it into two individual accounts at the same bank

C. Ask the bank to raise her personal limit

D. Withdraw the extra $10,000 and invest it in stocks for added safety

SET 7 · Money, Banking, and Financial Institutions

Checks, transfers, and payment apps

MAIN skill: Choose and use payment methods safely: checks, electronic transfers, and payment apps

Outcome FL.BANK.07 · National topic: Spending · NJSLS 9.1.12: FI

Learning target: Payment methods: checks, electronic payments, and payment apps; consumer protections

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Ways to pay (5 questions)
  - Why: Choosing a payment method safely requires knowing what each method is and where the money comes from.
- B2 · Math link → G5-S12-M (Grade 5 5.NBT.A.3.a): Read and write decimals to thousandths using numerals and words
  - Why: Writing check amounts requires reading decimals and writing cents as hundredths.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Wires, ACH transfers, and official checks (5 questions)
- Go Deeper 2: Payment app safety (5 questions)

Practical skills beyond the standards: Writing and endorsing checks; Mobile check deposit; Verifying wire instructions

Content status: time-sensitive

Source: CFPB (Regulation E, 12 CFR 1005.6) — Report unauthorized electronic transfers within 60 days after the statement showing them is sent; after that, liability can be unlimited for later transfers that timely notice would have prevented. https://www.consumerfinance.gov/rules-policy/regulations/1005/6/

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

A check is a written order telling your bank to pay someone from your account. You write the date, the payee (who gets paid), the amount in numbers, the amount in words with cents as a fraction of 100, and your signature. The words are the legal amount if the two differ.

Nora writes a check for $1,254.07. How should she write the amount in words on the check?

A. One thousand two hundred fifty-four and 07/100 dollars

B. One thousand two hundred fifty-four and 7/10 dollars

C. Twelve hundred fifty-four point zero seven

D. One thousand two hundred forty-five and 07/100 dollars

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

To deposit or cash a check made out to you, you "endorse" it by signing the back. Adding "For deposit only" (a restrictive endorsement) means the check can only be deposited, which protects it if it is lost. For mobile deposit, banks often require "For mobile deposit only" too.

Ben receives a paycheck made out to him and wants to deposit it at an ATM. What should he write on the back?

A. Nothing; endorsing a check is optional

B. His PIN, so the ATM can verify him

C. His account balance, so the bank can update it

D. His signature and "For deposit only"

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps

Question 3 of 5 · Learn and Apply

LEARN

Peer-to-peer (P2P) payment apps move money quickly between people. Money you send yourself, even when tricked, is usually treated as authorized and is often hard to get back. Federal error protections are strongest for transfers you did not authorize, such as when someone takes over your account. Use P2P apps mainly with people you know and trust.

Mia sends $60 through a payment app to someone selling concert tickets online. The tickets never arrive. Which statement is most accurate about getting the payment back?

A. The app must refund every payment that goes wrong

B. Her bank will reverse the payment automatically within one business day

C. The money is protected exactly like a stolen-card charge

D. Payments she authorized are often hard or impossible to reverse

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Mobile check deposit lets you photograph a signed check in your bank's app. The bank may hold part of the money for a few days. Keep the paper check until the deposit is final, then destroy it securely so it cannot be deposited twice or misused.

After depositing a check with his phone, what should Kai do with the paper check?

A. Keep it until the deposit is final, then destroy it

B. Deposit the same check again at the bank to be safe

C. Throw it in the trash right after taking the photo

D. Give it back to the person who wrote it

MAIN — Choose and use payment methods safely: checks, electronic transfers, and payment apps

Question 5 of 5 · Knowledge Check

Zara's landlord asks for rent in a way that leaves a record of payment. Which method fits BEST?

A. A check or an electronic transfer from her bank account

B. Cash handed over without a receipt

C. A gift card code sent by text

D. A wire transfer to an account number she has never verified

BACKWARD B1 · concept review — Ways to pay

Question 1 of 5 · Learn and Apply

LEARN

Common ways to pay: cash; debit cards and checks (from your account); electronic transfers such as online bill pay and automatic payments (from your account, electronically); credit cards (borrowed money); and prepaid or gift cards (money loaded in advance).

Which payment method moves money directly from your bank account electronically on a date you set?

A. A paper check that the store mails to you each month

B. A credit card

C. A store gift card

D. An online bill payment or automatic transfer

BACKWARD B1 · concept review — Ways to pay

Question 2 of 5 · Learn and Apply

LEARN

A payment record proves you paid. Bank statements, cleared checks, and confirmation numbers are records. Cash leaves no record unless you get a receipt.

Which method gives the LEAST proof that you paid?

A. A check that the bank later shows as cleared

B. A debit card purchase listed on the statement

C. An online bill payment with a confirmation number

D. Cash with no receipt

BACKWARD B1 · concept review — Ways to pay

Question 3 of 5 · Learn and Apply

LEARN

A prepaid or gift card holds a set amount of money. Each purchase is subtracted until the card reaches $0.

A gift card loaded with $50 is used to buy a $12 item. What is left on the card?

A. $12

B. $38

C. $50

D. $62

BACKWARD B1 · concept review — Ways to pay
Question 4 of 5 · Knowledge Check

Who is the "payee" on a check?

A. The person or business that receives the money
B. The account holder who signs and writes the check
C. The bank that prints the check
D. The cashier who accepts the check

BACKWARD B1 · concept review — Ways to pay

Question 5 of 5 · Knowledge Check

Which situation makes a payment app MOST risky to use?

A. Paying a stranger online before receiving the item

B. Splitting a dinner bill with a close friend

C. Paying a family member back for groceries

D. Sending rent money to a roommate you have lived with for a year

GO DEEPER 1 — Wires, ACH transfers, and official checks

Question 1 of 5 · Learn and Apply

LEARN

A wire transfer moves money between banks quickly, often the same day, and is generally final once sent. ACH transfers (used for direct deposit and online bill pay) move money between bank accounts more slowly and have some ways to return errors. Scammers often ask for wires because they are fast and hard to reverse.

Which payment is generally the hardest to reverse once sent?

A. A credit card purchase

B. A check that has not been cashed yet

C. A debit card purchase you did not authorize

D. A wire transfer

GO DEEPER 1 — Wires, ACH transfers, and official checks

Question 2 of 5 · Learn and Apply

LEARN

A cashier's check is drawn on the bank's own funds, so a real one is very reliable. But fake cashier's checks are common. The bank may make the money available before discovering the check is fake; when it bounces, you owe the bank the full amount.

A buyer sends Liam a cashier's check for $1,500 for a $500 phone and asks him to wire back the extra $1,000. What is most likely happening?

A. A fake-check scam

B. A generous buyer making an honest mistake

C. A normal practice for cashier's checks

D. A bank error that the bank will cover

GO DEEPER 1 — Wires, ACH transfers, and official checks

Question 3 of 5 · Learn and Apply

LEARN

The ACH (Automated Clearing House) network moves money electronically between bank accounts in batches. It is cheaper and slower than a wire transfer.

Which is a typical use of an ACH transfer?

A. Buying groceries with cash

B. Paying a bill with a paper money order bought at a store

C. Swiping a credit card at a store

D. An employer's direct deposit of paychecks

GO DEEPER 1 — Wires, ACH transfers, and official checks

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Criminals hack or fake emails and send new "updated" wire instructions so money goes to their account. Because wires are hard to reverse, verify instructions through a trusted phone number, not one in the suspicious email.

Before wiring money for a home or apartment deposit, what is the safest step?

A. Use the instructions in the most recent email, even if they changed

B. Wire the money quickly so you do not lose the apartment

C. Ask the sender to text you the account number again

D. Call a phone number you already know is real to confirm the instructions

GO DEEPER 1 — Wires, ACH transfers, and official checks

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Until a check is paid by your bank, you can ask the bank not to pay it. Banks usually charge a fee for this service, and it does not work on a check that has already cleared.

Ruth wrote a check and then learned it was lost in the mail before it was cashed. What service could stop it?

A. A stop payment order through her bank

B. A wire recall, which works on all checks

C. Reporting the check to the IRS

D. Writing a second check for the same amount

GO DEEPER 2 — Payment app safety

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

A common scam claims you received money "by mistake" and asks you to send it back. Sometimes the original payment was made with stolen information and is later reversed, leaving you with the loss. Verify inside your own app or bank, never through a link or message.

Someone texts Ava: "I sent you $200 by mistake — please send it back!" Her app shows no new money in her account. What should she do?

A. Check her own account directly and send nothing

B. Send $200 back right away to be polite

C. Reply with her bank login so they can fix it

D. Send $100 as a compromise

GO DEEPER 2 — Payment app safety

Question 2 of 5 · Knowledge Check · Practical how-to

Which setting adds the most protection to a payment app?

A. Sharing your login with a parent and a friend so they can watch for fraud

B. Using the same password as your email

C. Turning off notifications

D. Multi-factor authentication and a passcode on the app

GO DEEPER 2 — Payment app safety

Question 3 of 5 · Learn and Apply

LEARN

Real banks and payment apps do not ask you to move money to a "safe account" to protect it. Imposters pretend to be bank staff, tech support, or government officials and create urgency.

A "customer support" caller says your payment app is hacked and asks you to send your balance to a "safe account." What is this?

A. A standard security procedure

B. A government requirement

C. A normal account-security check

D. An imposter scam

GO DEEPER 2 — Payment app safety

Question 4 of 5 · Knowledge Check

Which payment is generally protected under federal error rules (Regulation E)?

A. A transfer someone else made from your account without permission

B. A payment you chose to send to an online seller who never shipped

C. A payment you sent to the wrong person after typing their name

D. Money you lost gambling with an app

GO DEEPER 2 — Payment app safety

Question 5 of 5 · Knowledge Check · Practical how-to

Before sending money with a payment app to someone new, which step lowers the risk the MOST?

A. Sending a small test payment to a stranger

B. Checking that the stranger's profile has a photo and many friends

C. Asking the stranger to promise to deliver

D. Confirming who the recipient is through a source you trust

SET 8 · Earning Income, Employment, and Paychecks

Hourly wages and overtime

MAIN skill: Calculate gross pay for hourly work, including overtime

Outcome FL.INCOME.08 · National topic: Earning Income · NJSLS 9.1.12: PB

Learning target: Calculate gross pay for hourly work; overtime and tipped wages

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Wages, hours, and gross pay (5 questions)
  Why: Gross pay and overtime problems require knowing that a wage is pay per hour and how hours convert to decimals.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Gross pay multiplies a decimal wage by decimal hours.
- B3 · Math link → G6-S03-M (Grade 6 6.RP.A.2): Find and describe a unit rate
  Why: An hourly wage is a unit rate (dollars per hour).

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Overtime rules in detail (5 questions)
- Go Deeper 2: Tips and tipped wages (5 questions)

Practical skills beyond the standards: Reading a timecard

Content status: time-sensitive

Source: U.S. Department of Labor — Under the FLSA, covered nonexempt employees receive overtime pay of at least 1.5 times the regular rate for hours over 40 in a workweek; some states set a higher minimum wage than the federal one. https://www.dol.gov/agencies/whd/overtime

Source: IRS (Publication 531) — Employees who receive $20 or more in cash and charged tips in a month from one employer must report them to that employer; all tips, including noncash tips, are income. https://www.irs.gov/publications/p531

Source: IRS (No tax on tips deduction) — A new deduction for qualified tips (tax years 2025-2028, with limits) lowers income tax only; tips still must be reported, and Social Security and Medicare taxes still apply. https://www.irs.gov/newsroom/what-the-no-tax-on-tips-deduction-means-for-you

MAIN — Calculate gross pay for hourly work, including overtime

Question 1 of 5 · Learn and Apply

LEARN

An hourly wage is the amount paid for each hour of work. Gross pay is the total earned before taxes or any other deductions are taken out. For hourly work: gross pay = hourly wage × hours worked.

Jada earns $16.50 per hour and works 24 hours this week. What is her gross pay for the week?

A. $40.50

B. $384.00

C. $396.00

D. $3,960.00

MAIN — Calculate gross pay for hourly work, including overtime

Question 2 of 5 · Learn and Apply

LEARN

Federal law (the Fair Labor Standards Act) requires covered, nonexempt employees to be paid at least 1.5 times their regular rate for hours over 40 in a workweek: "time and a half." Hours up to 40 are paid at the regular rate. Some jobs are exempt from overtime.

Malik is a covered, nonexempt hourly employee who earns $18 per hour. He works 46 hours in one workweek. Under the federal overtime rule, what is his gross pay?

A. $828

B. $855

C. $882

D. $1,242

MAIN — Calculate gross pay for hourly work, including overtime

Question 3 of 5 · Learn and Apply

LEARN

Paychecks show two key amounts. Gross pay is everything earned for the period. Net pay ("take-home pay") is what is left after deductions such as taxes and benefit costs, and it is what is actually deposited.

Malik's pay stub shows "Gross pay: $882." What does gross pay mean?

A. His total earnings before any deductions

B. The amount deposited into his bank account

C. His pay after taxes but before his retirement contribution

D. The overtime portion of his paycheck only

MAIN — Calculate gross pay for hourly work, including overtime

Question 4 of 5 · Learn and Apply

LEARN

Timecards often record hours in decimals: 15 minutes is 0.25 hour, 30 minutes is 0.5 hour, and 45 minutes is 0.75 hour. Add the hours first, then multiply by the hourly wage.

Ana's timecard shows Monday 6.5 hours, Wednesday 4.25 hours, and Saturday 8 hours. She earns $15.20 per hour. What is her gross pay?

A. $28.50

B. $273.60

C. $285.00

D. $296.40

MAIN — Calculate gross pay for hourly work, including overtime

Question 5 of 5 · Knowledge Check

Two summer jobs require 30 hours a week. Job A pays $17.25 per hour. Job B pays a flat $500 per week. Which pays more per week, and by how much?

A. Job A, by $17.50

B. Job B, by $17.50

C. Job A, by $17.25

D. They pay the same amount

BACKWARD B1 · concept review — Wages, hours, and gross pay

Question 1 of 5 · Learn and Apply

LEARN

A wage is a rate: dollars per hour. The more hours you work, the more you earn.

A job pays $14 per hour. What does that mean?

A. The worker earns $14 for the whole day

B. The worker earns $14 per week no matter the hours

C. The worker pays $14 for each hour of training

D. The worker earns $14 for each hour worked

BACKWARD B1 · concept review — Wages, hours, and gross pay

Question 2 of 5 · Learn and Apply

LEARN

Earnings for hourly work = wage × hours.

Rina earns $14 per hour and works 10 hours. How much does she earn?

A. $1.40

B. $14

C. $24

D. $140

BACKWARD B1 · concept review — Wages, hours, and gross pay

Question 3 of 5 · Learn and Apply

LEARN

An hour has 60 minutes. To change minutes to part of an hour, divide by 60: 15 ÷ 60 = 0.25.

How many hours is 7 hours and 15 minutes, written as a decimal?

A. 7.15 hours

B. 7.5 hours

C. 7.75 hours

D. 7.25 hours

BACKWARD B1 · concept review — Wages, hours, and gross pay

Question 4 of 5 · Learn and Apply

LEARN

"Gross" pay is the full amount earned. "Net" pay, also called take-home pay, is what remains after deductions.

Which number on a paycheck shows earnings BEFORE taxes are taken out?

A. Gross pay

B. Net pay

C. Take-home pay

D. Direct deposit amount

BACKWARD B1 · concept review — Wages, hours, and gross pay

Question 5 of 5 · Learn and Apply

LEARN

A raise in the hourly wage adds that amount for every hour worked.

Leo's wage rises from $15 to $16 per hour. He works 20 hours a week. How much more does he earn each week?

A. $1

B. $16

C. $20

D. $320

GO DEEPER 1 — Overtime rules in detail

Question 1 of 5 · Learn and Apply

LEARN

Federal overtime is based on hours in a WORKWEEK (any fixed, repeating 7-day period), not hours in a day. A few states also require daily overtime, so state law can add protection.

Jon works 10 hours a day, Monday through Thursday, and no other hours that week. Under the federal rule, how many overtime hours does he earn?

A. 8 hours

B. 2 hours

C. 10 hours

D. 0 hours

GO DEEPER 1 — Overtime rules in detail

Question 2 of 5 · Learn and Apply

LEARN

Some salaried employees are "exempt" from overtime because they are paid at least a minimum salary and their main duties are executive, administrative, or professional. Being paid a salary alone does not make someone exempt; the duties test also matters.

A salaried store manager meets the legal tests for an "exempt" employee and works 50 hours one week. What overtime pay does federal law require?

A. No overtime pay is required

B. Time and a half for the 10 extra hours

C. Double time for every hour over 40

D. One extra day off for each hour over 40

GO DEEPER 1 — Overtime rules in detail

Question 3 of 5 · Knowledge Check

Pia is a covered, nonexempt employee who earns $20 per hour and works 52 hours in one workweek. Under the federal overtime rule, what is her gross pay?

A. $1,040

B. $1,160

C. $1,280

D. $1,560

GO DEEPER 1 — Overtime rules in detail

Question 4 of 5 · Learn and Apply

LEARN

The federal overtime law does not require extra pay for holidays or weekends. Many employers offer holiday pay as a policy, and union contracts may require it, but that is not the federal rule.

Does federal law require employers to pay time and a half for working on a holiday, when the week totals 32 hours?

A. No; it depends on employer policy

B. Yes, for every federal holiday

C. Yes, but only on weekends

D. Yes, if the employee asks for it in writing

GO DEEPER 1 — Overtime rules in detail

Question 5 of 5 · Knowledge Check

Job A pays $19 per hour and usually schedules 45 hours a week (overtime applies). How much does Job A pay for a typical week?

A. $855.00

B. $902.50

C. $950.00

D. $1,282.50

GO DEEPER 2 — Tips and tipped wages

Question 1 of 5 · Learn and Apply

LEARN

In many restaurant jobs, pay has two parts: an hourly cash wage from the employer and tips from customers. Some states allow a lower cash wage for tipped workers (a "tip credit"), and others require the full minimum wage before tips.

Kai, a server, worked 25 hours at a cash wage of $5.00 per hour and earned $410 in tips. What were his total earnings for the week?

A. $125

B. $410

C. $440

D. $535

GO DEEPER 2 — Tips and tipped wages

Question 2 of 5 · Knowledge Check

Kai earned $535 in wages and tips for 25 hours of work. What were his average earnings per hour?

A. $5.00

B. $16.40

C. $21.40

D. $22.40

GO DEEPER 2 — Tips and tipped wages

Question 3 of 5 · Learn and Apply

LEARN

Tips are taxable income. An employee who receives $20 or more in cash and charged (card) tips in a month at one job must report them to that employer, who includes them in payroll and withholding. Noncash tips (such as tickets) are not reported to the employer but are still income. A deduction for some qualified tips, available in recent tax years, can lower income tax, but tips must still be reported, and Social Security and Medicare taxes still apply.

Kai, a restaurant employee, received $410 in cash and card tips this month at one job. What does the IRS require?

A. Nothing; tips are gifts and never taxed

B. He reports tips only in months when they exceed $1,000 in total

C. Nothing, because a tip deduction means tips are no longer reported

D. He reports them to his employer; they are taxable income

GO DEEPER 2 — Tips and tipped wages

Question 4 of 5 · Learn and Apply

LEARN

When an employer pays a lower cash wage and counts tips toward the minimum wage, the employer must make up the difference if wages plus tips fall below the applicable minimum wage for the hours worked. Minimum wages and tip-credit rules differ by state; the federal minimum is lower than many state minimums.

Lia works in a state whose applicable minimum wage is $15.00 per hour and that allows a tip credit. She works 20 hours at a $5.00 cash wage and earns $150 in tips. Her wages plus tips must reach at least the minimum wage for those hours. How much must her employer add?

A. $0

B. $50

C. $150

D. $200

GO DEEPER 2 — Tips and tipped wages

Question 5 of 5 · Knowledge Check

Kai's tips vary from $250 to $500 a week. Which budgeting approach is safest?

A. Plan around a lower weekly amount and save the extra

B. Plan around his best week ever

C. Plan around the average and spend any extra right away

D. Ignore tips completely and skip budgeting

SET 9 · Earning Income, Employment, and Paychecks

Salaries, hourly pay, and pay periods

MAIN skill: Convert between annual salary, hourly pay, and pay per paycheck

Outcome FL.INCOME.09 · National topic: Earning Income · NJSLS 9.1.12: PB

Learning target: Compare compensation: hourly wages, salaries, and pay periods

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Weeks, months, and years in pay (5 questions)
  Why: Converting pay requires knowing how many weeks and months are in a year and that a month is about 4.33 weeks, not 4.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: Pay-per-period problems divide yearly pay by the number of paychecks.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Converting between hourly, weekly, monthly, and yearly pay chains several rates.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing job offers by yearly pay (5 questions)
- Go Deeper 2: Raises and percent changes in pay (5 questions)

Practical skills beyond the standards: Comparing job offers by yearly pay

Content status: stable

MAIN — Convert between annual salary, hourly pay, and pay per paycheck

Question 1 of 5 · Learn and Apply

LEARN

A salary is a fixed yearly amount, often paid in equal paychecks. To compare a salary with an hourly wage, use the number of hours worked in a year. A common full-time estimate is 40 hours × 52 weeks = 2,080 hours.

A full-time job pays a salary of $41,600 per year. Full-time is 40 hours a week for 52 weeks (2,080 hours). What is the equivalent hourly rate?

A. $10.00

B. $20.00

C. $800.00

D. $3,466.67

MAIN — Convert between annual salary, hourly pay, and pay per paycheck

Question 2 of 5 · Learn and Apply

LEARN

Pay frequency affects each paycheck's size: weekly = 52 paychecks per year; biweekly (every two weeks) = 26; semimonthly (twice a month, such as the 1st and 15th) = 24; monthly = 12.

Ryan earns $41,600 a year, paid biweekly (every two weeks). What is his gross pay per paycheck?

A. $800.00

B. $1,600.00

C. $1,733.33

D. $3,466.67

MAIN — Convert between annual salary, hourly pay, and pay per paycheck

Question 3 of 5 · Knowledge Check

Erin earns $41,600 a year, paid semimonthly (twice a month, 24 paychecks a year). What is her gross pay per paycheck (to the nearest cent)?

A. $1,600.00

B. $1,733.33

C. $1,840.00

D. $3,466.67

MAIN — Convert between annual salary, hourly pay, and pay per paycheck

Question 4 of 5 · Knowledge Check

Dev earns $22 per hour and works 40 hours a week for 52 weeks. What is his yearly gross pay?

A. $880

B. $3,813.33

C. $42,240

D. $45,760

MAIN — Convert between annual salary, hourly pay, and pay per paycheck

Question 5 of 5 · Learn and Apply

LEARN

A year has 12 months but 52 weeks. Schedules based on weeks do not line up evenly with months, while schedules based on dates in the month always do.

Which pay schedule gives a worker three paychecks in two months of most years?

A. Semimonthly (twice a month)

B. Monthly

C. Annual

D. Biweekly (every two weeks)

BACKWARD B1 · concept review — Weeks, months, and years in pay

Question 1 of 5 · Learn and Apply

LEARN

A year has 52 weeks (and a day or two more). Since 52 ÷ 12 ≈ 4.33, a month is about 4.33 weeks, not exactly 4.

How many weeks are in a year?

A. 12

B. 48

C. 52

D. 365

BACKWARD B1 · concept review — Weeks, months, and years in pay

Question 2 of 5 · Learn and Apply

LEARN

To turn weekly pay into monthly pay accurately, find yearly pay first (× 52), then divide by 12.

Tom earns $500 a week. Which is the best estimate of his MONTHLY pay?

A. About $2,167

B. $2,000

C. $6,000

D. $125

BACKWARD B1 · concept review — Weeks, months, and years in pay

Question 3 of 5 · Learn and Apply

LEARN

To turn monthly pay into yearly pay, multiply by 12.

A job pays $2,400 per month. What is the yearly pay?

A. $200

B. $9,600

C. $28,800

D. $124,800

BACKWARD B1 · concept review — Weeks, months, and years in pay

Question 4 of 5 · Learn and Apply

LEARN

Hourly workers are paid for each hour worked. Salaried workers are paid a set amount per year, usually split evenly across paychecks, regardless of small changes in hours.

What is a "salary"?

A. Pay that changes with every hour worked

B. Money earned only from tips

C. A bonus paid at the end of the year

D. A set yearly amount, paid in paychecks

BACKWARD B1 · concept review — Weeks, months, and years in pay

Question 5 of 5 · Knowledge Check

How many hours does a full-time worker at 40 hours a week work in 52 weeks?

A. 160

B. 480

C. 2,000

D. 2,080

GO DEEPER 1 — Comparing job offers by yearly pay

Question 1 of 5 · Learn and Apply

LEARN

To compare offers, put them on the same basis, usually yearly gross pay. Count only weeks that are actually paid.

Offer A: $21 per hour, 40 hours a week, 50 paid weeks a year. Offer B: salary of $43,000. Which pays more per year, and by how much?

A. Offer A, by $1,000

B. Offer A, by $680

C. They pay the same

D. Offer B, by $1,000

GO DEEPER 1 — Comparing job offers by yearly pay

Question 2 of 5 · Knowledge Check

Offer C pays $19 per hour, but expected overtime adds 5 hours at time and a half every week for 50 weeks. What is the yearly pay from the overtime alone?

A. $142.50

B. $4,750

C. $7,125

D. $9,500

GO DEEPER 1 — Comparing job offers by yearly pay

Question 3 of 5 · Knowledge Check

Why should expected overtime be treated cautiously when comparing offers?

A. Overtime hours may not be guaranteed and can change

B. Overtime is illegal in most jobs

C. Overtime pay is never taxed

D. Overtime always lowers your hourly rate

GO DEEPER 1 — Comparing job offers by yearly pay

Question 4 of 5 · Knowledge Check

Two offers both pay $45,000. Offer D is paid monthly; Offer E is paid biweekly. Which statement is TRUE?

A. Offer E pays more because there are more paychecks

B. Offer D pays more because each paycheck is larger

C. Offer E pays less because of extra processing

D. They pay the same per year

GO DEEPER 1 — Comparing job offers by yearly pay

Question 5 of 5 · Knowledge Check

Offer F: $40,000 salary plus an expected $3,000 yearly bonus that is not guaranteed. Offer G: $42,500 salary. If the bonus is paid, which pays more and by how much?

A. Offer F, by $500

B. Offer G, by $500

C. Offer G, by $2,500

D. Offer F, by $3,000

GO DEEPER 2 — Raises and percent changes in pay

Question 1 of 5 · Learn and Apply

LEARN

A raise given as a percent is a percent of current pay: raise = pay × rate (as a decimal). New pay = pay × (1 + rate).

Noor earns $45,000 and receives a 3% raise. What is the raise in dollars?

A. $135

B. $1,350

C. $13,500

D. $46,350

GO DEEPER 2 — Raises and percent changes in pay

Question 2 of 5 · Knowledge Check

Noor earns $45,000 and receives a 3% raise. What is her new salary?

A. $45,135

B. $46,350

C. $48,000

D. $58,500

GO DEEPER 2 — Raises and percent changes in pay

Question 3 of 5 · Learn and Apply

LEARN

Purchasing power is what your money can buy. If prices rise faster than your pay, your pay buys less, even though the number of dollars went up.

Prices rose 4% the same year Noor got a 3% raise. What happened to what her pay can buy?

A. It rose by 3%

B. It rose by 7%

C. It stayed exactly the same

D. It fell slightly

GO DEEPER 2 — Raises and percent changes in pay

Question 4 of 5 · Learn and Apply

LEARN

Percent change = (new − old) ÷ old × 100.

Noor's pay rose from $46,350 to $48,204. What percent raise was this?

A. 0.4%

B. 3%

C. 4%

D. 1,854%

GO DEEPER 2 — Raises and percent changes in pay

Question 5 of 5 · Knowledge Check

Which is worth more over the next year: a one-time $1,000 bonus, or a 2% raise on a $40,000 salary?

A. The bonus: $1,000 vs $800

B. The raise: $2,000 vs $1,000

C. The raise: $8,000 vs $1,000

D. Neither; both are worth $1,000

SET 10 · Earning Income, Employment, and Paychecks

Reading a pay stub

MAIN skill: Read a pay stub and calculate deductions and net pay

Outcome FL.INCOME.10 · National topic: Earning Income · NJSLS 9.1.12: PB, EG

Learning target: 12-6a calculate the taxes likely to be withheld from pay; read a pay statement

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Gross pay versus net pay (5 questions)
  Why: Students who confuse gross and net pay cannot read a pay stub or budget correctly.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: FICA and other deductions are percents of gross pay.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Net pay is gross pay minus deductions in dollars and cents.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Pre-tax and after-tax deductions (5 questions)
- Go Deeper 2: Year-to-date totals and checking for errors (5 questions)

Practical skills beyond the standards: Checking a pay stub for errors

Content status: time-sensitive

Source: IRS (Topic 751) — Employee Social Security tax is 6.2% (up to the annual wage base) and Medicare tax is 1.45% of wages. https://www.irs.gov/taxtopics/tc751

MAIN — Read a pay stub and calculate deductions and net pay

Question 1 of 5 · Learn and Apply

LEARN

A pay stub (pay statement) shows: gross pay; deductions, which are amounts taken out for taxes, retirement, insurance, and more; net pay, which is gross pay minus deductions; and year-to-date (YTD) totals. Net pay is your take-home pay.

Which amount on a pay stub is the money actually deposited into the worker's bank account?

A. Net pay

B. Gross pay

C. Year-to-date gross

D. Total deductions

MAIN — Read a pay stub and calculate deductions and net pay

Question 2 of 5 · Learn and Apply

LEARN

FICA taxes fund Social Security and Medicare. Employees pay 6.2% of wages for Social Security (up to a yearly wage limit) and 1.45% for Medicare. The employer pays a matching amount.

Gabriel's gross pay is $1,200.00. The Social Security tax rate for employees is 6.2%. How much Social Security tax is withheld?

A. $7.44

B. $17.40

C. $74.40

D. $744.00

MAIN — Read a pay stub and calculate deductions and net pay

Question 3 of 5 · Knowledge Check

Gabriel's gross pay is $1,200.00. The Medicare tax rate for employees is 1.45%. How much Medicare tax is withheld?

A. $1.74

B. $17.40

C. $74.40

D. $174.00

MAIN — Read a pay stub and calculate deductions and net pay

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

To find net pay, add all the deductions, then subtract the total from gross pay. Retirement contributions are deductions too, even though the money is still yours in a retirement account.

Pay stub (biweekly): Gross pay $1,200.00 | 401(k) contribution (pre-tax) $60.00 | Federal income tax $88.00 | Social Security $74.40 | Medicare $17.40 | State income tax $22.80
What is Gabriel's net pay?

A. $262.60

B. $937.40

C. $997.40

D. $1,200.00

MAIN — Read a pay stub and calculate deductions and net pay

Question 5 of 5 · Learn and Apply

LEARN

Deductions go to different places. Income taxes and Social Security and Medicare taxes are sent to the government. Retirement plan contributions are deposited into an account in the worker's name.

Pay stub (biweekly): Gross pay $1,200.00 | 401(k) contribution (pre-tax) $60.00 | Federal income tax $88.00 | Social Security $74.40 | Medicare $17.40 | State income tax $22.80

Which deduction is money Gabriel still owns after it leaves his paycheck?

A. The federal income tax

B. The Social Security tax

C. The state income tax

D. The 401(k) contribution

BACKWARD B1 · concept review — Gross pay versus net pay

Question 1 of 5 · Learn and Apply

LEARN

Many workers have their paychecks deposited into bank accounts. The amount deposited is net pay: gross pay minus deductions such as taxes and benefit costs. Gross pay is what you earned; net pay is what you receive.

Ivy's job offer says "$18 per hour." Her first paycheck is smaller than 18 × her hours. Why?

A. Deductions were taken from her gross pay

B. Her employer made an error by paying less than promised

C. The bank charged a fee for depositing her paycheck

D. Her hourly wage was lowered in her first week

BACKWARD B1 · concept review — Gross pay versus net pay

Question 2 of 5 · Learn and Apply

LEARN

Net pay = gross pay − total deductions.

Gross pay $500. Deductions $85. What is net pay?

A. $85

B. $415

C. $500

D. $585

BACKWARD B1 · concept review — Gross pay versus net pay

Question 3 of 5 · Learn and Apply

LEARN

Gross pay = net pay + deductions.

Net pay is $640 and deductions are $160. What was gross pay?

A. $160

B. $480

C. $640

D. $800

BACKWARD B1 · concept review — Gross pay versus net pay

Question 4 of 5 · Knowledge Check

Ivy earns $18 per hour, but her take-home pay is less after deductions. Which amount should she use to plan her monthly spending?

A. Her gross pay

B. Her hourly wage times 40

C. Her yearly salary divided by 4

D. Her net pay

BACKWARD B1 · concept review — Gross pay versus net pay

Question 5 of 5 · Knowledge Check

Which item is a deduction, NOT part of gross pay?

A. Overtime pay

B. Hourly wages

C. A sales commission

D. Federal income tax withheld

GO DEEPER 1 — Pre-tax and after-tax deductions

Question 1 of 5 · Learn and Apply

LEARN

A pre-tax deduction is taken out before income tax is figured, which lowers taxable wages. A traditional 401(k) contribution is pre-tax for income tax, but Social Security and Medicare taxes still apply to it.

Pay stub (biweekly): Gross pay $1,200.00 | 401(k) contribution (pre-tax) $60.00 | Federal income tax $88.00 | Social Security $74.40 | Medicare $17.40 | State income tax $22.80
The 401(k) contribution is pre-tax for federal income tax. What are Gabriel's federal taxable wages for this paycheck?

A. $937.40

B. $1,140.00

C. $1,200.00

D. $1,260.00

GO DEEPER 1 — Pre-tax and after-tax deductions

Question 2 of 5 · Knowledge Check

Pay stub (biweekly): Gross pay $1,200.00 | 401(k) contribution (pre-tax) $60.00 | Federal income tax $88.00 | Social Security $74.40 | Medicare $17.40 | State income tax $22.80

Why are Social Security and Medicare figured on $1,200.00, not on $1,140.00 (gross pay minus the pre-tax 401(k) contribution)?

A. 401(k) deferrals are still subject to FICA

B. The payroll system made an error

C. FICA taxes are figured on net pay

D. Social Security is optional for young workers

GO DEEPER 1 — Pre-tax and after-tax deductions

Question 3 of 5 · Learn and Apply

LEARN

Because pre-tax contributions lower taxable income, they also lower income tax. Contributing $60 pre-tax reduces take-home pay by less than $60.

Gabriel's federal tax rate on his last dollars of income is 12%. If he contributes $60 pre-tax, about how much does his take-home pay drop?

A. $7.20

B. $52.80

C. $60.00

D. $67.20

GO DEEPER 1 — Pre-tax and after-tax deductions

Question 4 of 5 · Learn and Apply

LEARN

After-tax deductions are taken out after income tax is figured. Roth retirement contributions are after-tax: no tax break now, but qualified withdrawals in retirement are tax-free.

A Roth 401(k) contribution is an after-tax deduction. Compared with a traditional (pre-tax) 401(k) contribution of the same amount today, it...

A. lowers today's take-home pay more, but qualified withdrawals later are tax-free

B. lowers today's take-home pay less and is taxed again later

C. has no effect on take-home pay

D. is not allowed for workers under 25

GO DEEPER 1 — Pre-tax and after-tax deductions

Question 5 of 5 · Knowledge Check

Which deduction is usually AFTER-tax?

A. A traditional 401(k) contribution

B. A health insurance premium through a cafeteria plan

C. A health savings account (HSA) payroll contribution

D. Union dues taken from pay

GO DEEPER 2 — Year-to-date totals and checking for errors

Question 1 of 5 · Learn and Apply

LEARN

Year-to-date (YTD) amounts add up everything since January 1. They help you check totals and match your Form W-2 at year end.

Gabriel has received 10 biweekly paychecks of $1,200.00 gross this year. What should his YTD gross pay show?

A. $1,200.00

B. $9,374.00

C. $12,000.00

D. $31,200.00

GO DEEPER 2 — Year-to-date totals and checking for errors

Question 2 of 5 · Knowledge Check · Practical how-to

Gabriel worked 84 hours in a two-week period, including 4 overtime hours in the second week, but his stub shows 84 regular hours and no overtime. What should he do?

A. Ask payroll to correct it, bringing his own record of hours

B. Ignore it; pay stubs cannot contain mistakes

C. Wait for his tax refund to fix it

D. Work fewer hours next week to even it out

GO DEEPER 2 — Year-to-date totals and checking for errors

Question 3 of 5 · Knowledge Check

Gabriel's YTD Social Security is $744.00 on YTD gross of $12,000.00. Is that consistent with a 6.2% rate?

A. No; it should be $7,440

B. No; it should be $174

C. Yes, because any amount under $1,000 is fine

D. Yes; 6.2% of $12,000 is $744

GO DEEPER 2 — Year-to-date totals and checking for errors

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Each January, employers send Form W-2, which reports the year's wages and taxes withheld. Its totals should match your last pay stub of the year (for wages subject to each tax).

Gabriel's final pay stub shows year-to-date federal tax withheld of $2,140, but Box 2 of his W-2 shows $2,410. What should he do?

A. Ask payroll which amount is correct

B. Use whichever number gives a bigger refund

C. Ignore it; the two forms never match

D. Add the two amounts together on his return

GO DEEPER 2 — Year-to-date totals and checking for errors

Question 5 of 5 · Knowledge Check · Practical how-to

Why keep pay stubs until you have checked your W-2?

A. Because banks require them to deposit paychecks

B. Because they can be exchanged for cash

C. Because the IRS requires mailing them in each year

D. To confirm the W-2's wages and withholding are correct

SET 11 · Earning Income, Employment, and Paychecks

Form W-4, withholding, and Form W-2

MAIN skill: Explain how Form W-4 sets withholding and what Form W-2 reports

Outcome FL.INCOME.11 · National topic: Earning Income · NJSLS 9.1.12: EG, PB

Learning target: 12-6a calculate taxes likely withheld; tax forms used by employees

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Why taxes are withheld from pay (5 questions)
  - Why: Understanding withholding as pay-as-you-go tax payment explains what the W-4 and W-2 do.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  - Why: Yearly withholding totals multiply per-paycheck amounts by the number of pay periods.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Getting withholding about right (5 questions)
- Go Deeper 2: Claiming exemption from withholding (5 questions)

Practical skills beyond the standards: Filling out Form W-4; Using the IRS Tax Withholding Estimator

Content status: time-sensitive

Source: IRS (Form W-4) — Employees give Form W-4 to their employer to set federal income tax withholding; claiming exempt requires no tax liability last year and none expected this year. https://www.irs.gov/forms-pubs/about-form-w-4

Source: IRS (Form W-2) — Employers generally furnish Form W-2 (wages and taxes withheld) to employees by January 31, or the next business day if that date falls on a weekend or legal holiday. https://www.irs.gov/forms-pubs/about-form-w-2

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

Form W-4 (Employee's Withholding Certificate) tells your employer how much federal income tax to withhold from each paycheck. You fill it out when you start a job and can update it any time, such as after a second job begins or your situation changes.

Kayla starts her first job. Her employer asks her to fill out Form W-4. What is it used for?

A. To apply for a Social Security number

B. To report her yearly wages to the IRS

C. To sign up for health insurance

D. To set her federal income tax withholding

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

You give Form W-4 to your employer, not the IRS. The employer's payroll system uses it to calculate withholding.

Where does Kayla send her completed Form W-4?

A. To her employer

B. To the IRS by mail

C. To her bank

D. To her state's motor vehicle agency

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports

Question 3 of 5 · Learn and Apply

LEARN

Step 4(c) of Form W-4 lets you request extra withholding each pay period. Multiply by the number of paychecks in a year to see the yearly effect.

On her W-4, Kayla asks for $20 of extra withholding per paycheck. She is paid biweekly. How much extra will be withheld over a full year?

A. $240

B. $480

C. $520

D. $1,040

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Form W-2 (Wage and Tax Statement) reports a worker's wages for the year and the taxes withheld. Employers generally must send it by January 31 (or the next business day if that falls on a weekend or holiday), and employees use it to file their tax returns.

It is February 15, and Ana still has not received last year's Form W-2 from her employer. What is true?

A. It is late; she should contact the employer

B. It is on time; W-2s are due by April 15

C. It is on time; W-2s are due by June 30

D. She should skip filing this year without it

MAIN — Explain how Form W-4 sets withholding and what Form W-2 reports

Question 5 of 5 · Knowledge Check

Which statement about income tax withholding is TRUE?

A. It is an extra tax on top of what is owed

B. It is money the employer keeps

C. It is optional for every employee

D. It prepays the year's tax

BACKWARD B1 · concept review — Why taxes are withheld from pay

Question 1 of 5 · Learn and Apply

LEARN

Federal income tax is collected throughout the year. For employees, the employer withholds part of each paycheck and sends it to the government on the employee's behalf.

The U.S. income tax is "pay-as-you-go." What does this mean for employees?

A. Tax is paid once, only when you retire

B. Only people who ask to pay tax have to pay it

C. Tax is paid only by employers, never employees

D. Tax is paid gradually through paycheck withholding during the year

BACKWARD B1 · concept review — Why taxes are withheld from pay

Question 2 of 5 · Learn and Apply

LEARN

Withholding means the tax is taken out of a paycheck before the worker receives it.

Who sends the withheld tax to the government?

A. The employer

B. The employee mails cash each week

C. The employee's bank

D. Nobody until tax filing day

BACKWARD B1 · concept review — Why taxes are withheld from pay

Question 3 of 5 · Learn and Apply

LEARN

When you file a tax return, you calculate your actual tax for the year and compare it with what was withheld.

If too much tax is withheld during the year, what happens after filing a tax return?

A. The extra is lost

B. The extra is added to next year's salary

C. The employer pays the employee a bonus

D. The extra is returned as a refund

BACKWARD B1 · concept review — Why taxes are withheld from pay

Question 4 of 5 · Knowledge Check

If too little tax is withheld, what happens?

A. The employee owes the rest when filing

B. The government forgives the difference

C. The employer pays the difference

D. Nothing, because withholding is final

BACKWARD B1 · concept review — Why taxes are withheld from pay

Question 5 of 5 · Knowledge Check

Which document tells the employer how much to withhold?

A. Form W-4

B. Form W-2

C. A pay stub

D. Form 1040

GO DEEPER 1 — Getting withholding about right

Question 1 of 5 · Learn and Apply

LEARN

A refund is the amount by which your payments and refundable credits are more than your tax. Payments include withholding and estimated tax. When a refund comes only from withholding, it is your own overpaid tax coming back, not extra income, and you could have had more in each paycheck.

Last year Kayla received a $1,300 refund. She had no refundable credits or other tax payments; her refund came only from paycheck withholding. What does that tell her?

A. She earned a $1,300 bonus from the IRS

B. Her employer underpaid her by $1,300

C. She owes $1,300 more next year

D. She had $1,300 more withheld than her tax

GO DEEPER 1 — Getting withholding about right

Question 2 of 5 · Knowledge Check

Kayla's $1,300 tax refund came from tax withheld beyond what she owed. If that amount had stayed in her 26 biweekly paychecks instead, about how much more would each paycheck have been?

A. $25

B. $50

C. $108.33

D. $1,300

GO DEEPER 1 — Getting withholding about right

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

The IRS offers a free online Tax Withholding Estimator. Using recent pay stubs, it suggests how to fill out a new W-4 to get closer to the right amount.

Which free tool helps workers check whether their withholding is about right?

A. The IRS Tax Withholding Estimator

B. A credit score app that tracks her accounts

C. Her W-2 from last year, without any changes

D. A social media poll of coworkers

GO DEEPER 1 — Getting withholding about right

Question 4 of 5 · Learn and Apply

LEARN

When you have more than one job, each employer's payroll may assume its pay is your only income, so total withholding can fall short. Step 2 of Form W-4 addresses multiple jobs.

Kayla starts a second part-time job. Why might her withholding now be too low?

A. Two jobs always get the correct combined withholding automatically

B. Part-time jobs are not taxed

C. Her first employer stops withholding

D. Each employer withholds as if that job were her only income

GO DEEPER 1 — Getting withholding about right

Question 5 of 5 · Knowledge Check

Kayla expects to owe $200 more than will be withheld this year. She has 10 paychecks left. How much extra per paycheck should she request?

A. $2

B. $10

C. $20

D. $200

GO DEEPER 2 — Claiming exemption from withholding

Question 1 of 5 · Learn and Apply

LEARN

You may claim "exempt" on Form W-4 only if you had no federal income tax liability last year and expect none this year. Exemption affects federal income tax withholding only, not Social Security or Medicare.

Under IRS rules, who may claim exemption from federal income tax withholding on Form W-4?

A. Someone who owed no tax last year and expects none this year

B. Anyone under age 21

C. Anyone who works part time while attending high school

D. Anyone who wants a larger paycheck

GO DEEPER 2 — Claiming exemption from withholding

Question 2 of 5 · Knowledge Check

A student claims exempt on Form W-4, so no federal income tax is withheld, but earns enough to owe tax. What is the likely result?

A. No tax is ever owed

B. The employer pays the tax

C. A larger refund when filing next spring

D. A tax bill when filing, and possibly a penalty

GO DEEPER 2 — Claiming exemption from withholding

Question 3 of 5 · Knowledge Check

If a worker claims exempt from federal income tax withholding on Form W-4, which taxes are still withheld?

A. Social Security and Medicare

B. Federal income tax only

C. No taxes at all

D. Only sales tax

GO DEEPER 2 — Claiming exemption from withholding

Question 4 of 5 · Learn and Apply

LEARN

A claim of exemption from withholding expires and must be renewed with a new Form W-4 each year.

How long does a claim of exemption on Form W-4 last?

A. Forever, once claimed

B. Until the worker turns 18

C. Five years

D. One year; a new W-4 is needed to continue it

GO DEEPER 2 — Claiming exemption from withholding

Question 5 of 5 · Knowledge Check

IRS rules allow claiming exempt only with no income tax liability last year and none expected this year. Jamal owed no federal income tax last year. This year, with a full-time job, he expects to have a positive federal income tax liability. Should he claim exempt?

A. Yes, because he owed nothing last year

B. Yes, because he is a new worker

C. Yes, so that he can get a bigger refund next spring

D. No; he expects to owe income tax this year

SET 12 · Earning Income, Employment, and Paychecks

Employee benefits and comparing job offers

MAIN skill: Value employee benefits and compare job offers by total compensation

Outcome FL.INCOME.12 · National topic: Earning Income · NJSLS 9.1.12: PB

Learning target: 12-1a research potential income and employee benefit packages likely to be offered to new employees

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Compensation: pay plus benefits (5 questions)
  Why: Comparing offers requires seeing benefits as part of what a job pays.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Employer match and contribution rates are percents of salary.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Comparing offers combines monthly and yearly amounts and percents.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Valuing a full benefits package (5 questions)
- Go Deeper 2: The hidden costs of a job (5 questions)

Practical skills beyond the standards: Comparing job offers with benefits; Counting job-related costs

Content status: stable

MAIN — Value employee benefits and compare job offers by total compensation

Question 1 of 5 · Learn and Apply

LEARN

Total compensation is everything an employer provides for your work: wages or salary plus benefits. Common benefits include health insurance (the employer often pays part of the cost), retirement plans with matching contributions, paid time off, and sometimes tuition help or transit passes.

Which item is an employee BENEFIT rather than wages?

A. Employer-paid health insurance

B. Overtime pay at time and a half

C. A commission on each sale the worker makes

D. Hourly pay for a Saturday shift

MAIN — Value employee benefits and compare job offers by total compensation

Question 2 of 5 · Learn and Apply

LEARN

Many employers match retirement contributions, for example "50% of what you contribute, up to 6% of pay." The match is extra money for your retirement, but you only receive it if you contribute.

Zoe earns $50,000. Her employer matches 50% of her 401(k) contributions, up to 6% of salary. Zoe contributes 6% ($3,000). How much does the employer add?

A. $300

B. $1,500

C. $3,000

D. $4,500

MAIN — Value employee benefits and compare job offers by total compensation

Question 3 of 5 · Knowledge Check

Zoe's coworker earns $50,000 under the same match (50% of contributions, up to 6% of salary) but contributes only 2% ($1,000). How much potential match does the coworker give up each year?

A. $500

B. $1,000

C. $1,500

D. $2,000

MAIN — Value employee benefits and compare job offers by total compensation

Question 4 of 5 · Learn and Apply

LEARN

To compare offers fairly, subtract the costs you would pay (such as your share of health premiums) and add the value of benefits you would receive (such as a retirement match).

Offer A: $48,000 salary; the employee pays $100 per month for health insurance. Offer B: $50,000; the employee pays $250 per month for the same coverage. After subtracting health premiums, which pays more per year, and by how much?

A. Offer B, by $2,000

B. Offer A, by $1,800

C. Offer A, by $200

D. Offer B, by $200

MAIN — Value employee benefits and compare job offers by total compensation

Question 5 of 5 · Knowledge Check

A job gives 10 paid vacation days. Lin earns $200 per day. What is the dollar value of that paid time off?

A. $2,000

B. $200

C. $20

D. $0, since she is not working

BACKWARD B1 · concept review — Compensation: pay plus benefits

Question 1 of 5 · Learn and Apply

LEARN

Compensation is everything you receive for work. Wages are the pay; benefits are the extras, such as health insurance, retirement contributions, and paid time off, which have real dollar value.

What does "total compensation" include?

A. Only the hourly wage or salary

B. Only the take-home pay after taxes

C. Only bonuses earned at year end

D. Pay plus the value of benefits

BACKWARD B1 · concept review — Compensation: pay plus benefits

Question 2 of 5 · Learn and Apply

LEARN

Paid time off means days you are paid for even though you do not work, such as vacation, sick days, or holidays.

Which choice is paid time off (PTO)?

A. Paid vacation days

B. Unpaid leave

C. Overtime hours

D. A lunch break you are not paid for

BACKWARD B1 · concept review — Compensation: pay plus benefits

Question 3 of 5 · Knowledge Check

An employer pays $400 per month toward an employee's health insurance. What is that worth per year?

A. $33.33

B. $400

C. $1,600

D. $4,800

BACKWARD B1 · concept review — Compensation: pay plus benefits

Question 4 of 5 · Learn and Apply

LEARN

A 401(k) is a retirement savings plan offered by many private employers. Workers contribute part of each paycheck, often with tax benefits, and some employers add a match. (Public schools and many nonprofits offer a similar 403(b).)

What is a 401(k)?

A. A type of bank checking account for paying monthly bills

B. A government health insurance program

C. A form used to apply for a job

D. A retirement savings plan offered through an employer

BACKWARD B1 · concept review — Compensation: pay plus benefits

Question 5 of 5 · Knowledge Check

Two jobs pay the same salary. Job X pays the entire premium for health coverage. Job Y offers none, so the worker must buy the same coverage for $300 a month. How much more does Job Y effectively cost the worker per year?

A. $0

B. $25

C. $300

D. $3,600

GO DEEPER 1 — Valuing a full benefits package

Question 1 of 5 · Learn and Apply

LEARN

A fair comparison adds the value of benefits you will actually use and subtracts costs you will actually pay. A match counts only if you contribute enough to earn it.

Offer C: $52,000 salary, no retirement match, employee health premium $150 per month.
Offer D: $50,000 salary, 401(k) match worth $2,000 per year if you contribute, employee health premium $100 per month.
If you contribute enough to get the full match, which offer is worth more per year, and by how much?

A. Offer D, by $600

B. Offer C, by $2,000

C. Offer C, by $1,400

D. Offer D, by $2,600

GO DEEPER 1 — Valuing a full benefits package

Question 2 of 5 · Learn and Apply

LEARN

Vesting is ownership over time. Your own 401(k) contributions are always yours. An employer's contributions may vest gradually, and if you leave before you are fully vested, you can lose the unvested part.

A 401(k) match "vests" over 3 years. Ali leaves after 1 year. What does vesting mean for him?

A. He may forfeit the unvested part of the employer's match

B. He loses his own contributions as well as the match

C. He keeps everything because matches always vest at once

D. He must repay his salary

GO DEEPER 1 — Valuing a full benefits package

Question 3 of 5 · Knowledge Check

Under a plan where the match vests 20% per year of service, how much of a $1,500 match has Ali earned after 1 year?

A. $0

B. $300

C. $1,200

D. $1,500

GO DEEPER 1 — Valuing a full benefits package

Question 4 of 5 · Knowledge Check

Which benefit is easiest to overlook when comparing jobs?

A. The posted salary

B. The job title

C. The company logo

D. A tuition assistance program

GO DEEPER 1 — Valuing a full benefits package

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Researching typical income and benefits before choosing a career or job helps you negotiate and plan. The Bureau of Labor Statistics publishes pay data and job outlooks by occupation; job postings show current offers.

Which source is MOST reliable for typical pay and benefits in an occupation?

A. Government labor data and job postings

B. A single viral social media post about a high salary

C. A friend's guess

D. An advertisement for a training course

GO DEEPER 2 — The hidden costs of a job

Question 1 of 5 · Learn and Apply

LEARN

A job's real value can depend on costs it creates: commuting (fuel, parking, transit), uniforms, tools, or child care. Subtracting them gives a clearer comparison.

Job E pays $20 per hour, 40 hours a week. The commute costs $12 per day for 5 days. What is the weekly pay after commuting costs?

A. $60

B. $740

C. $788

D. $800

GO DEEPER 2 — The hidden costs of a job

Question 2 of 5 · Knowledge Check

Job E pays $740 a week after $60 of commuting costs, for 40 hours of work. The commute also takes 1 unpaid hour each day, 5 days a week. Counting commute time, what are the weekly earnings after commuting costs per hour of time spent (work + commute)?

A. $16.44

B. $17.78

C. $18.50

D. $20.00

GO DEEPER 2 — The hidden costs of a job

Question 3 of 5 · Knowledge Check

Job E pays $20 per hour, but commuting costs $12 a day for 5 days. Job F pays $19 per hour, fully remote, with no commuting costs. Which earns more per week for 40 hours of work, after commuting costs?

A. Job E, by $40

B. Job E, by $20

C. Neither; they are equal

D. Job F, by $20

GO DEEPER 2 — The hidden costs of a job

Question 4 of 5 · Knowledge Check

Which cost should be subtracted when comparing two jobs?

A. Required uniforms the worker must buy

B. Groceries the worker would buy anyway

C. Rent the worker pays either way

D. A phone bill the worker pays either way

GO DEEPER 2 — The hidden costs of a job

Question 5 of 5 · Knowledge Check

A parent compares a $22 per hour job requiring $160 per week of child care with an $18 per hour job with a work-site child care benefit (no cost). For 40 hours, which leaves more per week after child care, and by how much?

A. The $22 job, by $160

B. The $18 job, by $160

C. The $22 job, by $40

D. Neither; both leave $720

SET 13 · Earning Income, Employment, and Paychecks

Gig work and independent contractors

MAIN skill: Compare employee and independent contractor work and estimate gig income after expenses and taxes

Outcome FL.INCOME.13 · National topic: Earning Income · NJSLS 9.1.12: EG, PB
Learning target: 12-11a benefits and costs of gig employment; 12-8a earned income

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Employee or independent contractor? (5 questions)
  Why: Gig tax and income questions depend on knowing how contractors differ from employees.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Self-employment tax and set-aside amounts are percents of earnings.
- B3 · Math link → G7-S65-M (Grade 7 7.RP.A.3): Find a percent fee and the total with the fee
  Why: Gig platforms deduct percent-based fees from earnings.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: True hourly earnings after expenses (5 questions)
- Go Deeper 2: Records and taxes for gig workers (5 questions)

Practical skills beyond the standards: Mileage logs; Setting aside tax money

Content status: time-sensitive

Source: IRS (Self-Employment Tax, Topic 554) — Self-employment tax is 15.3% (12.4% Social Security + 2.9% Medicare) on 92.35% of net earnings; a return is required when net self-employment earnings are $400 or more.
https://www.irs.gov/businesses/small-businesses-self-employed/self-employment-tax-social-security-and-medicare-taxes
Source: IRS (Gig Economy Tax Center) — Gig income is taxable whether or not the worker receives a Form 1099.
https://www.irs.gov/businesses/gig-economy-tax-center
Source: IRS (Am I required to file a Form 1099?) — For payments made after 2025, the general Form 1099-NEC reporting threshold for business payers is $2,000; income is taxable whether or not a form is issued.
https://www.irs.gov/businesses/small-businesses-self-employed/am-i-required-to-file-a-form-1099-or-other-information-return

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes

Question 1 of 5 · Learn and Apply

LEARN

An independent contractor works for himself or herself, not as an employee. Payers usually do not withhold taxes, overtime laws generally do not apply, and there are usually no employer benefits. Contractors may receive a Form 1099-NEC (or a 1099-K from a payment platform) instead of a W-2.

Ravi drives for a delivery app as an independent contractor. Which statement is TRUE for him but NOT for a typical employee?

A. No taxes are withheld from his pay; he must pay them himself

B. He is guaranteed overtime pay after 40 hours

C. His employer pays half of his Social Security tax

D. He receives a Form W-2 each January

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes

Question 2 of 5 · Learn and Apply

LEARN

For self-employed work, net earnings (profit) = income − business expenses. Taxes are figured on net earnings, so tracking expenses matters.

Ravi earned $900 in delivery fees this month and spent $180 on gas and other business expenses. What were his net earnings?

A. $180

B. $720

C. $900

D. $1,080

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes

Question 3 of 5 · Learn and Apply

LEARN

Self-employment tax is the self-employed person's Social Security and Medicare tax. With no employer to pay half, the rate is 15.3% (12.4% + 2.9%), figured on 92.35% of net profit. It is owed in addition to income tax. (Very high earners and people who also have wages can face other rules.)

Self-employment tax is 15.3% of 92.35% of net earnings. Ravi has $720 of net self-employment profit, no wages anywhere else, and owes no Additional Medicare Tax. Estimate his self-employment tax (to the nearest cent).

A. $50.87

B. $101.73

C. $110.16

D. $137.70

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes

Question 4 of 5 · Learn and Apply

LEARN

Federal income tax applies to income from all sources unless a specific rule excludes it. Forms such as the 1099 report income to the IRS, but they do not decide whether income is taxable.

Ravi receives no Form 1099 from one small client who paid him $350. Is the $350 taxable?

A. No; income without a form is tax-free

B. Only if the client reports it first

C. Only if the total from that client is over $10,000

D. Yes; income is taxable even without a form

MAIN — Compare employee and independent contractor work and estimate gig income after expenses and taxes

Question 5 of 5 · Knowledge Check

Which is a benefit of gig work compared with a typical job, and which is a cost?

A. Benefit: guaranteed minimum hours. Cost: fixed schedule

B. Benefit: employer health insurance. Cost: overtime pay

C. Benefit: no taxes owed. Cost: lower pay

D. Benefit: flexibility. Cost: no benefits or withholding

BACKWARD B1 · concept review — Employee or independent contractor?

Question 1 of 5 · Learn and Apply

LEARN

Employees usually work under an employer's control (schedule, methods) and get a W-2. Independent contractors run their own work, often for several clients, and are paid per job.

Which worker is MOST likely an independent contractor?

A. A freelance designer who bills several clients

B. A cashier scheduled by a store manager each week

C. A teacher paid a salary by a school district

D. A warehouse worker paid hourly with a W-2

BACKWARD B1 · concept review — Employee or independent contractor?

Question 2 of 5 · Learn and Apply

LEARN

Businesses that pay a contractor may report the payments on Form 1099-NEC. Payment apps and platforms may send Form 1099-K.

Which form might a contractor receive instead of a W-2?

A. Form 1099-NEC

B. Form W-4

C. Form I-9

D. Form 1040-ES

BACKWARD B1 · concept review — Employee or independent contractor?

Question 3 of 5 · Learn and Apply

LEARN

Employers withhold income tax from employees' paychecks. Clients generally pay independent contractors the full amount billed.

Who withholds income tax from an independent contractor's pay?

A. The client, just as an employer would for a worker

B. The bank where the money is deposited

C. The IRS automatically

D. Usually no one; the contractor pays it

BACKWARD B1 · concept review — Employee or independent contractor?

Question 4 of 5 · Learn and Apply

LEARN

Profit (net earnings) = income − expenses.

A contractor earns $1,000 and has $250 of business expenses. What is her profit?

A. $250

B. $750

C. $1,000

D. $1,250

BACKWARD B1 · concept review — Employee or independent contractor?
Question 5 of 5 · Knowledge Check

Which benefit do contractors usually NOT receive from a client?

A. Employer-paid health insurance
B. Payment for completed work
C. The ability to choose clients
D. Control over how they do the work

GO DEEPER 1 — True hourly earnings after expenses

Question 1 of 5 · Learn and Apply

LEARN

Gig apps show gross pay per trip. Your real hourly earnings subtract the costs of doing the work, such as fuel, vehicle wear, phone data, and insurance, then divide by all hours worked, including waiting time.

Mia drove 30 hours and earned $750 in app payments. She drove 400 miles, and her costs (gas, wear, insurance) are about $0.30 per mile. What were her earnings per hour after these costs?

A. $4

B. $18.75

C. $21

D. $25

GO DEEPER 1 — True hourly earnings after expenses

Question 2 of 5 · Knowledge Check

A platform takes a 25% service fee from each $40 job. How much does the worker receive per job?

A. $10

B. $30

C. $39.75

D. $50

GO DEEPER 1 — True hourly earnings after expenses

Question 3 of 5 · Knowledge Check

Mia earns $630 a week after driving costs for 30 hours of driving, and she also waits 10 unpaid hours a week for orders. What is her net pay per hour of total time?

A. $15.75

B. $18.75

C. $21.00

D. $63.00

GO DEEPER 1 — True hourly earnings after expenses

Question 4 of 5 · Knowledge Check

Mia earns $630 a week after driving costs and sets aside 25% of it for taxes. How much does she keep for the week?

A. $157.50

B. $472.50

C. $562.50

D. $630.00

GO DEEPER 1 — True hourly earnings after expenses

Question 5 of 5 · Knowledge Check

Which comparison is fair when deciding between gig driving and a $17 per hour employee job?

A. Gig gross per trip vs the job's hourly wage

B. The busiest gig hour vs the job's average hour

C. Gig tips only vs the job's full pay

D. Gig net per hour after costs and taxes vs the job's pay after taxes

GO DEEPER 2 — Records and taxes for gig workers

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

Self-employed workers can deduct ordinary and necessary business expenses, such as business miles driven. The IRS expects records that support each deduction: logs, receipts, and statements.

Which record is MOST useful for a delivery driver at tax time?

A. A mileage log with dates, miles, and business purpose

B. Screenshots of favorite customers' reviews

C. A list of restaurants visited for personal meals

D. The app's advertising emails

GO DEEPER 2 — Records and taxes for gig workers

Question 2 of 5 · Learn and Apply

LEARN

Self-employment tax (Social Security and Medicare for self-employed people) applies once net self-employment earnings reach a small threshold set by law, even if no income tax is owed.

Self-employed people generally must file a federal return if net self-employment earnings reach what amount?

A. $400

B. $4,000

C. $10,000

D. $1,000,000

GO DEEPER 2 — Records and taxes for gig workers

Question 3 of 5 · Learn and Apply

LEARN

Taxes are pay-as-you-go. People who expect to owe $1,000 or more after withholding and credits usually make quarterly estimated payments (Form 1040-ES). "Safe harbor" rules can prevent a penalty, for example by paying enough based on this year's or last year's tax.

A gig worker has no withholding and expects to owe $2,000 in tax for the year. She paid no tax last year because she had no income, so no safe harbor protects her. She pays nothing until April. What risk does this create?

A. No risk; all taxes are due in April

B. The IRS cancels taxes under $5,000

C. Her tax refund will be larger than usual

D. An underpayment penalty, plus one large bill

GO DEEPER 2 — Records and taxes for gig workers

Question 4 of 5 · Knowledge Check

Mia sets aside 25% of each week's $630 net in a separate savings account. How much is set aside over a 13-week quarter?

A. $157.50

B. $630.00

C. $2,047.50

D. $8,190.00

GO DEEPER 2 — Records and taxes for gig workers

Question 5 of 5 · Knowledge Check · Practical how-to

Why keep gig tax money in a separate account?

A. So it is not spent before taxes are due

B. Because the IRS requires a separate account by law

C. Because separate accounts earn no interest

D. Because keeping it separate lowers the tax owed

SET 14 · Earning Income, Employment, and Paychecks

Education, careers, and lifetime income

MAIN skill: Evaluate how education, skills, and the labor market affect lifetime income

Outcome FL.INCOME.14 · National topic: Earning Income · NJSLS 9.1.12: PB, FP

Learning target: 12-5a how labor market conditions affect income; 12-5b how technology affects employment and income

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Opportunity cost and trade-offs (5 questions)
  - Why: Comparing career and education choices depends on recognizing what is given up.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Comparing career paths multiplies yearly pay by years and subtracts totals.
- B3 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  - Why: Multi-year earnings multiply yearly pay by years.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: When does more education pay off? (5 questions)
- Go Deeper 2: Paths to a career (5 questions)

Practical skills beyond the standards: Break-even analysis for education; Evaluating training programs

Content status: time-sensitive

Source: U.S. Bureau of Labor Statistics (Employment Projections) — Median weekly earnings rise and unemployment rates fall with higher educational attainment (figures update yearly).
https://www.bls.gov/emp/chart-unemployment-earnings-education.htm

MAIN — Evaluate how education, skills, and the labor market affect lifetime income

Question 1 of 5 · Learn and Apply

LEARN

Human capital is the knowledge, skills, and experience that make a person productive and able to earn income. Education, training, apprenticeships, and work experience build human capital, often raising future earnings.

Which is an example of investing in your "human capital"?

A. Buying a new phone

B. Opening a savings account

C. Leasing a car

D. Completing an electrician apprenticeship

MAIN — Evaluate how education, skills, and the labor market affect lifetime income

Question 2 of 5 · Learn and Apply

LEARN

Opportunity cost is the value of the next-best choice you give up. The cost of school includes tuition and also the income you could have earned while studying.

Pat can work now at $32,000 per year, or attend a 4-year program first. What is the opportunity cost in earnings of the 4 years in school (ignoring raises)?

A. $0

B. $32,000

C. $96,000

D. $128,000

MAIN — Evaluate how education, skills, and the labor market affect lifetime income

Question 3 of 5 · Learn and Apply

LEARN

Comparing career paths over many years shows the trade-off: a later start can be outweighed by higher yearly earnings, depending on the numbers and costs.

Path A: start work at 18 earning $32,000 a year. Path B: start at 22 earning $52,000 a year. Ignoring raises and costs, which path has earned more by age 40, and by how much?

A. Path B, by $232,000

B. Path A, by $232,000

C. Path B, by $20,000

D. Path B, by $360,000

MAIN — Evaluate how education, skills, and the labor market affect lifetime income

Question 4 of 5 · Learn and Apply

LEARN

Wages are influenced by supply and demand in the labor market. When employers need more workers with a skill than are available, wages for that skill tend to rise. When many people have a skill employers need less, wages tend to fall.

Demand for wind turbine technicians rises sharply, but few people have the training. What usually happens to their wages?

A. Wages tend to fall

B. Wages stay fixed by law

C. Wages drop to minimum wage

D. Wages tend to rise

MAIN — Evaluate how education, skills, and the labor market affect lifetime income

Question 5 of 5 · Knowledge Check

Software that automates routine bookkeeping becomes common. Which outcome is MOST likely?

A. All accounting jobs disappear within a single year

B. No effect on jobs, because technology never changes work

C. Higher pay for every routine data-entry job

D. Fewer routine jobs, more need for analysis skills

BACKWARD B1 · concept review — Opportunity cost and trade-offs

Question 1 of 5 · Learn and Apply

LEARN

Every choice has an opportunity cost: the value of the next-best option you give up. A "free" activity can still cost the money or time you could have used otherwise.

Lia can work a Saturday shift for $120 or go to a free concert. If she goes to the concert, what is the opportunity cost?

A. The $120 she would have earned

B. $0, because the concert is free

C. The price of a ticket she did not buy

D. The concert itself

BACKWARD B1 · concept review — Opportunity cost and trade-offs

Question 2 of 5 · Knowledge Check

Which is the opportunity cost of spending $50 on a video game?

A. What else the $50 could have done

B. The time it takes to drive to the store

C. The sales tax on the game

D. Nothing, because games are fun

BACKWARD B1 · concept review — Opportunity cost and trade-offs

Question 3 of 5 · Learn and Apply

LEARN

Specialized skills take time and money to gain, so fewer people have them. When employers need those skills, they compete for workers by offering higher pay.

Why do many careers that require more training pay more?

A. The law requires higher pay for degrees

B. Training programs set the wages their graduates earn

C. Higher pay is random

D. The skills are scarce and valued

BACKWARD B1 · concept review — Opportunity cost and trade-offs

Question 4 of 5 · Knowledge Check

Earning $15 per hour for 2 hours vs studying for 2 hours: what is the cost of studying, in income?

A. $0

B. $15

C. $17

D. $30

BACKWARD B1 · concept review — Opportunity cost and trade-offs

Question 5 of 5 · Knowledge Check

Which choice is MOST likely to raise long-term earning power?

A. Buying a more expensive car

B. Switching to a new phone plan

C. Taking a weekend trip

D. Earning an industry certification in a growing field

GO DEEPER 1 — When does more education pay off?

Question 1 of 5 · Learn and Apply

LEARN

A "break-even point" is when two options have produced the same total. Write each option's total as an expression in t (years), set them equal, and solve.

Path A earns $32,000 a year starting now. Path B costs $40,000 for a 4-year program, then earns $52,000 a year. Let t = years from now (t ≥ 4). Which equation finds when their total earnings (B net of the program cost) are equal?

A. $32{,}000t = 52{,}000(t - 4) - 40{,}000$

B. $32{,}000t = 52{,}000t - 40{,}000$

C. $32{,}000(t - 4) = 52{,}000t - 40{,}000$

D. $32{,}000t + 40{,}000 = 52{,}000t$

GO DEEPER 1 — When does more education pay off?

Question 2 of 5 · Knowledge Check

Solve 32,000t = 52,000(t − 4) − 40,000. After how many years from now do the paths break even?

A. 12.4 years

B. 4 years

C. 2 years

D. 10.4 years

GO DEEPER 1 — When does more education pay off?

Question 3 of 5 · Knowledge Check

Path B requires a $40,000 program before its higher pay begins. If the program were paid with student loans that charge interest, how would Path B's break-even point change?

A. It would come sooner

B. It would not change

C. Path B would never cost anything

D. It would come later

GO DEEPER 1 — When does more education pay off?

Question 4 of 5 · Knowledge Check

Path B (a 4-year, $40,000 program, then higher pay) is compared with working now at lower pay (Path A). Which factor would make Path B pay off SOONER?

A. A more expensive program

B. Taking 6 years instead of 4 to finish the program

C. Lower demand for Path B's field

D. Higher starting pay for Path B's career

GO DEEPER 1 — When does more education pay off?

Question 5 of 5 · Knowledge Check

Earnings estimates are uncertain. What is a sensible way to use them?

A. Compare paths with low, middle, and high estimates

B. Use only the highest salary estimate you can find online

C. Ignore estimates because they are uncertain

D. Assume every graduate earns the same

GO DEEPER 2 — Paths to a career

Question 1 of 5 · Learn and Apply

LEARN

Registered apprenticeships combine paid on-the-job training with classroom learning, often leading to a nationally recognized credential. Pay usually rises as skills increase.

Which path lets a person earn wages while training for a skilled trade?

A. A full-time unpaid internship

B. A four-year degree with no job

C. A gap year of travel

D. A registered apprenticeship

GO DEEPER 2 — Paths to a career

Question 2 of 5 · Knowledge Check

An apprentice starts at 50% of a journeyworker's $36 hourly wage and rises to 80% in the last year. What is the last-year hourly wage?

A. $7.20

B. $18.00

C. $28.80

D. $36.00

GO DEEPER 2 — Paths to a career

Question 3 of 5 · Knowledge Check · Practical how-to

Which question is MOST useful before enrolling in a paid career-training program?

A. What share of graduates get jobs in the field, and at what pay?

B. How attractive is the program's website?

C. How modern does the school's building look?

D. Does the program have a catchy slogan?

GO DEEPER 2 — Paths to a career

Question 4 of 5 · Knowledge Check

Military service, community college, and certifications are all ways to build skills. What do they have in common financially?

A. Each trades time (and sometimes money) now for higher future earning power

B. Each is always completely free for every student

C. Each guarantees a high salary right after finishing

D. Each requires a student loan

GO DEEPER 2 — Paths to a career

Question 5 of 5 · Knowledge Check

Data show workers with more education tend to have lower unemployment rates. How should a student use this fact?

A. As proof that any degree guarantees a job in any field

B. As a reason to ignore program costs

C. As a reason to avoid all training

D. As one input among costs, interests, and demand

SET 15 · Budgeting and Managing Expenses

Needs, wants, and types of expenses

MAIN skill: Classify expenses as needs or wants and as fixed, variable, or periodic

Outcome FL.BUDGET.15 · National topic: Spending · NJSLS 9.1.12: PB, FP

Learning target: Develop a budget: needs and wants, fixed and variable expenses

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Income and expenses (5 questions)
  Why: Classifying expenses requires knowing what income and expenses are.
- B2 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  Why: Budget totals add many expenses.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Money left subtracts total expenses from income.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Tracking spending by category (5 questions)
- Go Deeper 2: Values, goals, and gray areas (5 questions)

Practical skills beyond the standards: Tracking a month of spending

Content status: stable

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic

Question 1 of 5 · Learn and Apply

LEARN

A need is something required to live and work: basic food, housing, utilities, transportation to work, and necessary medical care. A want is something that makes life more enjoyable but is not essential. Many items have a need part and a want part: you need food, but restaurant meals are mostly a want.

Ella is building her first budget. Which expense is a NEED for most people living on their own?

A. A premium streaming subscription with no ads

B. Concert tickets with friends next month

C. A newer phone model to replace a working one

D. Groceries for basic meals

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic

Question 2 of 5 · Learn and Apply

LEARN

Fixed expenses stay the same each month, such as rent under a lease or a car payment. Variable expenses change from month to month, such as groceries, gas, and utilities. Periodic expenses happen less often than monthly, such as car registration or yearly fees.

Which expense is FIXED (the same amount each month)?

A. Rent of $950 under a one-year lease

B. Groceries, which change with what you buy each week

C. Electricity, which changes with the weather and usage

D. Gasoline, which depends on how much you drive and the price

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic

Question 3 of 5 · Learn and Apply

LEARN

A budget compares income with expenses. Add all expenses, then subtract the total from income. A positive result is a surplus; a negative result is a deficit.

Omar's monthly take-home pay is $2,150. His expenses: rent $875, food $340, transportation $210, phone $55, utilities $120, and entertainment $150. How much is left?

A. $400

B. $550

C. $1,750

D. $3,900

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic
Question 4 of 5 · Knowledge Check

Omar's phone plan costs $55: $35 is the basic plan and $20 is for unlimited premium data he rarely uses. How should he think about this expense?

A. About $35 is a need and $20 is a want

B. The whole $55 is a need because phones are essential

C. The whole $55 is a want because phones are optional

D. It is neither a need nor a want, because it is a contract

MAIN — Classify expenses as needs or wants and as fixed, variable, or periodic

Question 5 of 5 · Knowledge Check

Which of these is a PERIODIC expense?

A. A $950 rent payment due on the first of every month

B. A $60 grocery trip each week of the month

C. A $55 phone bill that is the same every month

D. A $180 car registration paid once a year

BACKWARD B1 · concept review — Income and expenses

Question 1 of 5 · Learn and Apply

LEARN

Income is money you receive, such as pay, tips, or gifts. An expense is money you spend or pay out.

Which is INCOME?

A. Pay from a part-time job

B. A payment for a phone bill

C. Money spent on a movie ticket

D. A bank fee

BACKWARD B1 · concept review — Income and expenses

Question 2 of 5 · Knowledge Check

Which is an EXPENSE?

A. A paycheck deposit

B. A birthday gift of cash

C. Interest earned on savings

D. A monthly bus pass

BACKWARD B1 · concept review — Income and expenses

Question 3 of 5 · Learn and Apply

LEARN

Money left = income − expenses.

Income is $500 and expenses are $420. What is left?

A. $80

B. $420

C. $500

D. $920

BACKWARD B1 · concept review — Income and expenses

Question 4 of 5 · Learn and Apply

LEARN

When expenses are larger than income, the difference is a shortfall (deficit). It has to be covered by savings, borrowing, or spending less.

Income is $500 and expenses are $560. What is the result?

A. $60 left over to save

B. $1,060 left over

C. Nothing, because they cancel out

D. A $60 shortfall

BACKWARD B1 · concept review — Income and expenses

Question 5 of 5 · Knowledge Check

Why track expenses for a month before making a budget?

A. To see where money actually goes

B. Because banks require a month of records first

C. Because tracking lowers prices at stores

D. Because expenses are taxed only when tracked

GO DEEPER 1 — Tracking spending by category

Question 1 of 5 · Learn and Apply

LEARN

Tracking spending by category shows where money goes. Comparing a part to its category total, as a percent, helps you decide what to change.

Lena tracked one month of spending: food $410, of which $180 was restaurants and delivery. What percent of her food spending was restaurants and delivery (nearest whole percent)?

A. 18%

B. 44%

C. 56%

D. 228%

GO DEEPER 1 — Tracking spending by category

Question 2 of 5 · Knowledge Check

Lena cuts restaurants and delivery from $180 to $100 a month. How much does she free up in a year?

A. $80

B. $960

C. $1,200

D. $2,160

GO DEEPER 1 — Tracking spending by category

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Small purchases are easy to forget. Apps, bank downloads, receipts, or a notebook all work, as long as every purchase, including cash, is recorded.

Which tracking method is MOST likely to give a complete picture?

A. Recording every purchase, including cash, for a month

B. Guessing totals at the end of the month

C. Reviewing only the largest purchases you remember

D. Tracking only debit card purchases, not any cash ones

GO DEEPER 1 — Tracking spending by category

Question 4 of 5 · Knowledge Check

A $6 coffee five days a week costs how much in a year (52 weeks)?

A. $30

B. $130

C. $312

D. $1,560

GO DEEPER 1 — Tracking spending by category

Question 5 of 5 · Knowledge Check · Practical how-to

After tracking, Lena finds she spends $90 a month on subscriptions she rarely uses. What is the best next step?

A. Keep them all, since each one costs under $15

B. Add one more so she has more choices

C. Stop tracking, since the amounts are small

D. Cancel or pause the ones she rarely uses

GO DEEPER 2 — Values, goals, and gray areas

Question 1 of 5 · Learn and Apply

LEARN

Needs and wants depend partly on a person's situation and values. Labeling honestly helps you decide what to protect and what to cut when money is tight.

Two students each spend $60 a month on the gym. For Kim it supports a doctor-recommended exercise plan; for Lee it is rarely used. Which statement is fair?

A. The gym is always a want for everyone, whatever the reason

B. The gym is always a need for everyone

C. Expenses cannot be classified at all

D. The same expense can be closer to a need for Kim

GO DEEPER 2 — Values, goals, and gray areas

Question 2 of 5 · Knowledge Check

Which budget choice best matches the value "being debt-free"?

A. Paying extra on a credit card balance
B. Buying the newest phone on a payment plan
C. Using buy now, pay later for clothes
D. Taking a cash advance for a trip

GO DEEPER 2 — Values, goals, and gray areas

Question 3 of 5 · Knowledge Check

Spending to keep up with friends is called social pressure. Which response protects a budget?

A. Suggesting a lower-cost activity together

B. Using a credit card so no one notices

C. Skipping a bill to afford the outing

D. Spending the same, then cutting groceries

GO DEEPER 2 — Values, goals, and gray areas

Question 4 of 5 · Knowledge Check

A "want" can be planned for. Which approach does that?

A. Buying it now on a store credit card and paying it off slowly

B. Never buying any wants

C. Waiting for a refund to pay for it

D. Saving $25 a month toward a $300 concert trip

GO DEEPER 2 — Values, goals, and gray areas

Question 5 of 5 · Knowledge Check

Which statement about wants is MOST accurate?

A. A healthy budget never includes any wants

B. Wants should be paid for with credit

C. Wants matter more than bills

D. Planned wants fit a healthy budget

SET 16 · Budgeting and Managing Expenses

Building a monthly budget

MAIN skill: Build a balanced monthly budget from net income and adjust it

Outcome FL.BUDGET.16 · National topic: Spending · NJSLS 9.1.12: PB

Learning target: Develop a budget to allocate current income to needs, wants, and saving

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Start a budget with net income (5 questions)
  - Why: Budgets fail when they start from gross pay; students must use take-home pay.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Budget results subtract planned spending from income.
- B3 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  - Why: A deficit is a negative result that must be understood and fixed.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Pay yourself first (5 questions)
- Go Deeper 2: Budgeting methods (5 questions)

Practical skills beyond the standards: Zero-based and envelope budgets; Automating savings

Content status: stable

MAIN — Build a balanced monthly budget from net income and adjust it

Question 1 of 5 · Learn and Apply

LEARN

A budget is a plan for your money: it lists expected income and assigns it to expenses, savings, and goals for a period, usually a month. A budget is "balanced" when planned spending and saving equal income.

What is a budget?

A. A plan for how income will be used

B. A list of the bills you already paid last year

C. A type of savings account with a fixed rate

D. A bank's limit on how much you may spend

MAIN — Build a balanced monthly budget from net income and adjust it

Question 2 of 5 · Learn and Apply

LEARN

Budget result = income − planned expenses. Positive: surplus (money left to save or use). Negative: deficit (planned spending is more than income), which must be fixed by earning more or spending less.

Nia's monthly take-home pay is $1,980. Her planned expenses total $2,115. What does her budget show?

A. A $135 surplus

B. A $4,095 surplus

C. A balanced budget

D. A $135 deficit

MAIN — Build a balanced monthly budget from net income and adjust it

Question 3 of 5 · Learn and Apply

LEARN

A zero-based budget gives every dollar a job: expenses, savings, debt payments, or goals. Money is not "left over"; any unassigned money gets a purpose.

In a zero-based budget, income minus all planned spending and saving equals zero. Ty earns $2,400. He plans $1,850 for expenses and $300 for savings. How much is left to assign?

A. $0

B. $250

C. $550

D. $2,150

MAIN — Build a balanced monthly budget from net income and adjust it

Question 4 of 5 · Knowledge Check · Practical how-to

Nia must close a $135 monthly deficit. Which change is MOST realistic and keeps her needs covered?

A. Cut takeout by $80 and pause a $55 subscription

B. Stop paying her electric bill for a month

C. Use a credit card to cover the $135 gap every month

D. Skip her car insurance payment

MAIN — Build a balanced monthly budget from net income and adjust it

Question 5 of 5 · Knowledge Check

Abby is paid $1,150 every two weeks (net). What is her average MONTHLY take-home pay?

A. $2,300.00

B. $4,600.00

C. $1,150.00

D. About $2,491.67

BACKWARD B1 · concept review — Start a budget with net income

Question 1 of 5 · Learn and Apply

LEARN

Budgets start with take-home (net) pay, the money you actually receive. Gross pay includes taxes and deductions you never get to spend.

Max's gross pay is $2,600 a month and his take-home pay is $2,080. Which amount should his budget start with?

A. $520

B. $2,080

C. $2,600

D. $4,680

BACKWARD B1 · concept review — Start a budget with net income

Question 2 of 5 · Knowledge Check

Max's gross pay is $2,600 a month and his take-home pay is $2,080. If he builds his budget on $2,600, what happens?

A. He plans to spend $520 he never receives

B. He saves an extra $520 by accident

C. Nothing, because the bank adjusts it

D. His income taxes go down by $520 for the year

BACKWARD B1 · concept review — Start a budget with net income

Question 3 of 5 · Knowledge Check

Which list contains only items Max must plan for each month?

A. Rent, food, transportation, and savings

B. Rent, a vacation, and a new laptop

C. Food, gifts, and concert tickets

D. Only rent, since everything else changes

BACKWARD B1 · concept review — Start a budget with net income

Question 4 of 5 · Knowledge Check

Max's budget: income $2,080; expenses $1,900; savings $180. Is it balanced?

A. No; it has a $180 surplus

B. No; it has a $180 deficit

C. No; savings should not be included in a budget

D. Yes; income equals spending plus saving

BACKWARD B1 · concept review — Start a budget with net income

Question 5 of 5 · Knowledge Check · Practical how-to

Which tool can be used to keep a budget?

A. Only an app from your bank

B. Only a paid financial advisor or planner

C. Only a tax return

D. A spreadsheet, an app, or a notebook

GO DEEPER 1 — Pay yourself first

Question 1 of 5 · Learn and Apply

LEARN

"Pay yourself first" treats saving like a bill: a set amount goes to savings right when income arrives, often by automatic transfer. Saving "whatever is left" often leaves nothing.

"Pay yourself first" means…

A. saving first, as soon as you are paid

B. buying something fun for yourself on every payday

C. paying your own bills before your roommates pay theirs

D. saving only whatever is left at the end of the month

GO DEEPER 1 — Pay yourself first

Question 2 of 5 · Knowledge Check

Abby saves 10% of each $1,150 paycheck automatically. How much does she save in a year (26 paychecks)?

A. $115

B. $1,380

C. $2,990

D. $29,900

GO DEEPER 1 — Pay yourself first

Question 3 of 5 · Knowledge Check

Why does automating savings help?

A. It removes the need to decide every payday

B. Automatic transfers earn double the usual interest rate

C. Banks require automatic savings by law

D. It prevents all spending

GO DEEPER 1 — Pay yourself first

Question 4 of 5 · Knowledge Check

Abby's savings transfer is set for the day after payday. Why is that timing better than the day before payday?

A. Transfers are free only after payday

B. Interest is paid only after payday

C. It makes no difference at all

D. Money is there to transfer, so it is less likely to cause an overdraft

GO DEEPER 1 — Pay yourself first

Question 5 of 5 · Knowledge Check

Abby has $2,990 in savings, built by saving part of each paycheck. Her car needs a $400 repair. Which choice is wisest?

A. Use savings, then rebuild them over the next months

B. Put the repair on a credit card and never pay it off

C. Skip the repair and drive an unsafe car

D. Stop saving forever because savings got used

GO DEEPER 2 — Budgeting methods

Question 1 of 5 · Learn and Apply

LEARN

The envelope method sets a fixed amount for each spending category. When a category runs out, spending in it stops. Many apps copy this idea digitally.

In the envelope method, cash for each category goes in its own envelope. What happens when the "eating out" envelope is empty?

A. Money is borrowed from the rent envelope for now

B. A credit card covers the extra

C. The envelope refills automatically

D. Eating out stops until the next budget period

GO DEEPER 2 — Budgeting methods

Question 2 of 5 · Knowledge Check

A budgeting app shows Sam spent $260 of a $300 grocery budget with 8 days left in the month. About how much can he spend per day for groceries for the rest of the month?

A. $5

B. $32.50

C. $37.50

D. $40

GO DEEPER 2 — Budgeting methods

Question 3 of 5 · Knowledge Check

Which method plans to spend EVERY dollar of income on a purpose?

A. A zero-based budget
B. Spending freely and checking the balance
C. Saving whatever is left at month end
D. Paying only the minimums on all bills

GO DEEPER 2 — Budgeting methods

Question 4 of 5 · Knowledge Check

Which situation shows a budget that needs revising?

A. One unusual month with a holiday gift

B. Spending matches the plan

C. A surplus that is saved

D. Spending is over budget in the same categories every month

GO DEEPER 2 — Budgeting methods

Question 5 of 5 · Knowledge Check

Sam's grocery budget is $300, but he has spent $360, $350, and $370 in the last three months. What is the most realistic revised budget, based on his average?

A. $300

B. $360

C. $370

D. $1,080

SET 17 · Budgeting and Managing Expenses

Budget percentages and the 50/30/20 guideline

MAIN skill: Use percentages to plan and evaluate a budget

Outcome FL.BUDGET.17 · National topic: Spending · NJSLS 9.1.12: PB

Learning target: Develop a budget using percentages of income

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What "percent of income" means (5 questions)
  Why: Budget percentages require reading a percent as a part of a whole.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Each budget share is a percent of take-home pay.
- B3 · Math link → G6-S11-M (Grade 6 6.RP.A.3.c): Find the whole, given a part and the percent
  Why: Finding income needed for a target share works backward from a percent.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Working backward with percents (5 questions)
- Go Deeper 2: Budget versus actual (5 questions)

Practical skills beyond the standards: Budget-versus-actual review

Content status: stable

MAIN — Use percentages to plan and evaluate a budget

Question 1 of 5 · Learn and Apply

LEARN

The 50/30/20 guideline is one simple starting point for a budget: about 50% of take-home pay for needs, 30% for wants, and 20% for saving and paying down debt. It is a rule of thumb, not a law; costs and goals differ.

Jess takes home $2,800 a month and uses the 50/30/20 guideline. How much does it suggest for needs?

A. $560

B. $840

C. $1,400

D. $5,600

MAIN — Use percentages to plan and evaluate a budget

Question 2 of 5 · Knowledge Check

Jess takes home $2,800 a month. Using the 50/30/20 guideline (50% needs, 30% wants, 20% saving and debt payoff), how much goes to saving and extra debt payments?

A. $200

B. $560

C. $840

D. $1,400

MAIN — Use percentages to plan and evaluate a budget

Question 3 of 5 · Learn and Apply

LEARN

To find what percent one amount is of another: part ÷ whole × 100.

Jess pays $900 rent from $2,800 take-home pay. What percent of her take-home pay is rent (nearest tenth of a percent)?

A. 3.1%

B. 31.1%

C. 32.1%

D. 311.1%

MAIN — Use percentages to plan and evaluate a budget

Question 4 of 5 · Knowledge Check

Ian wants his car costs to be no more than 15% of his $2,400 take-home pay. What is the most he should spend per month on his car?

A. $36

B. $160

C. $360

D. $2,040

MAIN — Use percentages to plan and evaluate a budget

Question 5 of 5 · Knowledge Check

Jess lives in a high-rent city where needs take 62% of her pay. What is the best way to use the 50/30/20 guideline (50% needs, 30% wants, 20% saving)?

A. As a starting point, adjusting the shares to fit her costs

B. As a legal limit she must follow exactly

C. By ignoring it, since budgets do not use percents

D. By moving her rent payment into the "wants" share of her budget

BACKWARD B1 · concept review — What "percent of income" means

Question 1 of 5 · Learn and Apply

LEARN

Percent means "per hundred." 20% of income means $20 of every $100 earned.

What does "20% of income goes to savings" mean?

A. 20 dollars of every month go to savings

B. Savings are 20 times income

C. Savings get only the first 20 dollars of each paycheck

D. 20 of every 100 dollars of income go to savings

BACKWARD B1 · concept review — What "percent of income" means

Question 2 of 5 · Knowledge Check

What is 30% of $1,000?

A. $30

B. $300

C. $970

D. $3,000

BACKWARD B1 · concept review — What "percent of income" means

Question 3 of 5 · Learn and Apply

LEARN

Percent of the whole = part ÷ whole × 100.

$250 of a $1,000 paycheck goes to rent. What percent is that?

A. 4%

B. 25%

C. 75%

D. 250%

BACKWARD B1 · concept review — What "percent of income" means

Question 4 of 5 · Knowledge Check

A budget uses 50%, 30%, and 20%. What do the percents add up to?

A. 50%

B. 80%

C. 100%

D. 120%

BACKWARD B1 · concept review — What "percent of income" means

Question 5 of 5 · Knowledge Check

If needs are 50% of $2,000, what dollar amount is that?

A. $50

B. $100

C. $1,000

D. $4,000

GO DEEPER 1 — Working backward with percents

Question 1 of 5 · Learn and Apply

LEARN

When you know the part and the percent, find the whole: whole = part ÷ percent (as a decimal).

Rent for an apartment is $1,050. Ana wants rent to be no more than 30% of her take-home pay. What monthly take-home pay does she need?

A. $315

B. $1,365

C. $3,150

D. $3,500

GO DEEPER 1 — Working backward with percents

Question 2 of 5 · Knowledge Check

Leo wants to save $300 a month, which he wants to be 15% of take-home pay. What take-home pay does this require?

A. $45

B. $345

C. $2,000

D. $4,500

GO DEEPER 1 — Working backward with percents

Question 3 of 5 · Knowledge Check

Leo's take-home pay is $1,800, and he spends $1,170 on needs. What percent is that?

A. 6.5%

B. 35%

C. 65%

D. 154%

GO DEEPER 1 — Working backward with percents

Question 4 of 5 · Knowledge Check

Leo's needs are 65%. To reach 20% savings, what is the most he can spend on wants?

A. 15%

B. 20%

C. 30%

D. 35%

GO DEEPER 1 — Working backward with percents

Question 5 of 5 · Knowledge Check

With $1,800 take-home pay and 15% for wants, how many dollars is that?

A. $27

B. $270

C. $540

D. $1,530

GO DEEPER 2 — Budget versus actual

Question 1 of 5 · Learn and Apply

LEARN

A variance is the difference between what you planned and what actually happened. Reviewing variances each month shows which parts of the plan need work.

Planned: groceries $300. Actual: $345. What is the variance, and is it over or under budget?

A. $45 under budget

B. $645 over budget

C. $15 over budget

D. $45 over budget

GO DEEPER 2 — Budget versus actual

Question 2 of 5 · Knowledge Check

What percent over budget is $345 compared with a $300 plan?

A. 13%

B. 15%

C. 45%

D. 115%

GO DEEPER 2 — Budget versus actual

Question 3 of 5 · Knowledge Check

Gas was budgeted at $120 and came in at $96. What is the variance?

A. $24 under budget

B. $24 over budget

C. $216 under budget

D. $96 under budget

GO DEEPER 2 — Budget versus actual

Question 4 of 5 · Knowledge Check

Ray budgeted $120 for gas but spent only $96, leaving $24. Which response best supports a savings goal?

A. Spend it on a want right away because it was "free"

B. Leave it unassigned so it is spent on something later

C. Lower next month's gas budget to $0

D. Move the $24 into savings

GO DEEPER 2 — Budget versus actual

Question 5 of 5 · Learn and Apply

LEARN

Look for patterns: an overage every month means either the habit or the budget amount needs to change.

Over 3 months, eating out was $40, $120, and $35 over budget. Which conclusion is BEST?

A. Overspending repeats; review habits and the budget line

B. The budget is perfect and needs no review

C. Only the $120 month matters; the others are noise

D. Budgets do not work for eating out

SET 18 · Budgeting and Managing Expenses

Irregular expenses and sinking funds

MAIN skill: Plan for periodic and irregular expenses with monthly set-asides

Outcome FL.BUDGET.18 · National topic: Spending · NJSLS 9.1.12: PB

Learning target: Develop a budget that plans for periodic and irregular expenses

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Monthly and yearly amounts (5 questions)
  Why: Sinking-fund planning converts yearly or multi-month costs to monthly amounts.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: Set-asides divide totals by months.
- B3 · Math link → G6-S03-M (Grade 6 6.RP.A.2): Find and describe a unit rate
  Why: A monthly set-aside is a rate (dollars per month).

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Budgeting with irregular income (5 questions)
- Go Deeper 2: Monthly versus annual pricing (5 questions)

Practical skills beyond the standards: Sinking funds; Budgeting with irregular income

Content status: stable

MAIN — Plan for periodic and irregular expenses with monthly set-asides

Question 1 of 5 · Learn and Apply

LEARN

Some expenses come once or twice a year: car registration, insurance premiums, school fees, gifts. A sinking fund saves a little each month for a known future expense, so the full amount is ready when it is due. Monthly amount = total ÷ months until due.

Cara's car registration costs $180 once a year. How much should she set aside each month so the money is ready?

A. $15

B. $18

C. $45

D. $180

MAIN — Plan for periodic and irregular expenses with monthly set-asides

Question 2 of 5 · Learn and Apply

LEARN

A sinking fund is for a KNOWN future cost with a known date. An emergency fund is for UNKNOWN surprises, such as a job loss or a sudden repair.

Which is a sinking fund?

A. Saving $50 a month for car insurance due every six months

B. Money spent on groceries each week of the month, as needed

C. An emergency fund for surprises you cannot predict

D. A loan used to pay a bill that is already past due

MAIN — Plan for periodic and irregular expenses with monthly set-asides

Question 3 of 5 · Knowledge Check

Cara's yearly irregular costs: registration $180, car insurance $960, and holiday gifts $300. How much should she set aside each month in total?

A. $95

B. $120

C. $480

D. $1,440

MAIN — Plan for periodic and irregular expenses with monthly set-asides

Question 4 of 5 · Learn and Apply

LEARN

When the due date is less than a year away, divide by the months remaining, not by 12.

It is March. Holiday gifts ($600) will be bought in November, 8 months away. How much should Ben save each month?

A. $50

B. $66.67

C. $75

D. $600

MAIN — Plan for periodic and irregular expenses with monthly set-asides
Question 5 of 5 · Knowledge Check

Why do budgets that ignore irregular expenses often fail?

A. Irregular expenses are illegal to budget for
B. Irregular expenses are always paid by employers
C. Banks automatically pay irregular bills for free when they come
D. Large, predictable bills arrive with no money set aside

BACKWARD B1 · concept review — Monthly and yearly amounts

Question 1 of 5 · Learn and Apply

LEARN

To turn a yearly amount into a monthly amount, divide by 12. To turn a monthly amount into a yearly amount, multiply by 12.

A yearly fee is $240. What is the monthly equivalent?

A. $20

B. $24

C. $60

D. $2,880

BACKWARD B1 · concept review — Monthly and yearly amounts

Question 2 of 5 · Knowledge Check

A $35 monthly subscription costs how much per year?

A. $2.92

B. $35

C. $140

D. $420

BACKWARD B1 · concept review — Monthly and yearly amounts

Question 3 of 5 · Learn and Apply

LEARN

For a bill due every few months, divide by the number of months between bills.

A bill of $300 is due every 6 months. How much is that per month?

A. $25

B. $50

C. $300

D. $1,800

BACKWARD B1 · concept review — Monthly and yearly amounts

Question 4 of 5 · Knowledge Check

Which expense is MOST likely to be paid once a year?

A. A weekly grocery trip

B. A monthly phone bill for service

C. A daily bus fare

D. A car registration renewal

BACKWARD B1 · concept review — Monthly and yearly amounts

Question 5 of 5 · Knowledge Check

A quarterly bill is due every 3 months. How many times a year is it paid?

A. 2

B. 3

C. 4

D. 12

GO DEEPER 1 — Budgeting with irregular income

Question 1 of 5 · Learn and Apply

LEARN

When income varies (tips, commissions, gig work, seasonal jobs), budgeting on a low but realistic month keeps needs covered. Extra income in good months goes to savings or a "buffer" that carries you through slow months.

Mo's monthly income over the last six months: $1,800, $2,600, $1,500, $2,200, $1,900, $2,400. Which amount is the safest base for his budget?

A. $1,500

B. $2,067

C. $2,600

D. $12,400

GO DEEPER 1 — Budgeting with irregular income

Question 2 of 5 · Knowledge Check

Mo's monthly income over six months: $1,800, $2,600, $1,500, $2,200, $1,900, $2,400. What is his average monthly income?

A. About $2,067

B. $2,050

C. $12,400

D. $1,800

GO DEEPER 1 — Budgeting with irregular income

Question 3 of 5 · Knowledge Check

Mo budgets $1,500 a month and saves any income above that in a buffer account. In a $2,600 month, how much goes to his buffer account?

A. $533

B. $1,100

C. $1,500

D. $2,600

GO DEEPER 1 — Budgeting with irregular income

Question 4 of 5 · Knowledge Check · Practical how-to

Mo budgets $1,500 a month and keeps extra income from good months in a buffer account. In a $1,200 month, what should he do?

A. Put $300 on a credit card

B. Skip rent this month

C. Raise his monthly budget to $2,600

D. Draw $300 from his buffer account

GO DEEPER 1 — Budgeting with irregular income

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Some workers with uneven income deposit all earnings into one account and transfer a fixed amount to their spending account each month, like a salary.

Which practice makes uneven income easier to manage?

A. Paying yourself a steady "salary" from a holding account

B. Spending each paycheck as soon as it arrives

C. Budgeting from your single best month

D. Avoiding keeping any written record of your income at all

GO DEEPER 2 — Monthly versus annual pricing

Question 1 of 5 · Learn and Apply

LEARN

Many services offer a discount for paying a year at once. Compare by finding the yearly cost of the monthly plan. But a yearly plan only saves money if you would have kept the service all year.

A streaming service costs $15.99 per month or $159.99 per year. How much does the yearly plan save compared with paying monthly for 12 months?

A. $0

B. $1.99

C. $31.89

D. $144.00

GO DEEPER 2 — Monthly versus annual pricing

Question 2 of 5 · Knowledge Check

Gina usually cancels streaming services after about 6 months. For her, which plan is cheaper: 6 months at $15.99, or the $159.99 yearly plan?

A. Yearly: $159.99

B. They cost the same

C. Monthly: $191.88

D. Monthly: about $95.94

GO DEEPER 2 — Monthly versus annual pricing

Question 3 of 5 · Knowledge Check

A gym offers $40 per month with no contract, or $360 for a full year paid up front. After how many months does the yearly plan become the better deal?

A. More than 9 months

B. More than 4 months

C. More than 12 months

D. More than 3 months

GO DEEPER 2 — Monthly versus annual pricing

Question 4 of 5 · Knowledge Check

Which is a risk of a large annual prepayment?

A. The price can never change after you pay

B. You get a discount

C. Fewer bills to track

D. Paying for months you may not use

GO DEEPER 2 — Monthly versus annual pricing

Question 5 of 5 · Knowledge Check

A $12.99 monthly subscription renews automatically. Over 3 years, how much does it cost if never cancelled?

A. $38.97

B. $155.88

C. $389.70

D. $467.64

SET 19 · Budgeting and Managing Expenses

Smart shopping: unit prices, discounts, and sales tax

MAIN skill: Compare prices using unit prices, discounts, and sales tax

Outcome FL.BUDGET.19 · National topic: Spending · NJSLS 9.1.12: PB, EG

Learning target: Comparison shopping: unit prices, discounts, sales tax, and total cost

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Price, discount, tax, and total (5 questions)
  - Why: Shopping math depends on keeping the price, the discount, the tax, and the total straight.
- B2 · Math link → G6-S09-M (Grade 6 6.RP.A.3.b): Compare unit rates to find the better buy or the faster rate
  - Why: Unit price comparisons are unit-rate comparisons.
- B3 · Math link → G7-S63-M (Grade 7 7.RP.A.3): Find sales tax and the final cost with tax
  - Why: Total cost includes tax as a percent of the price.
- B4 · Math link → G7-S66-M (Grade 7 7.RP.A.3): Solve multistep percent problems that combine a discount with tax or a tip
  - Why: Sale-and-tax totals apply two percents in order.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Stacked discounts and coupons (5 questions)
- Go Deeper 2: Total cost beyond the price tag (5 questions)

Practical skills beyond the standards: Spotting fake discounts; New Jersey sales tax exemptions

Content status: time-sensitive

Source: New Jersey Division of Taxation (Sales and Use Tax) — New Jersey sales tax rate is 6.625%; most clothing and footwear and most food for home consumption are exempt.
https://www.nj.gov/treasury/taxation/businesses/salestax/index.shtml

MAIN — Compare prices using unit prices, discounts, and sales tax

Question 1 of 5 · Learn and Apply

LEARN

A unit price is the price per unit, such as per ounce or per item: unit price = price ÷ quantity. Comparing unit prices shows which size is the better value. (A lower unit price helps only if you will use the larger amount before it spoils.)

A 12-ounce box of cereal costs $3.60. A 20-ounce box costs $5.40. Which is the better buy per ounce?

A. The 20-ounce box: $0.27 per ounce

B. The 12-ounce box: $0.30 per ounce

C. The 12-ounce box, because it costs less

D. The 20-ounce box: $0.30 per ounce

MAIN — Compare prices using unit prices, discounts, and sales tax

Question 2 of 5 · Learn and Apply

LEARN

A discount is a percent taken off the price. Discount = price × rate. Sale price = price − discount, or price × (1 − rate).

A $64 backpack is 25% off. What is the sale price?

A. $16

B. $39

C. $48

D. $80

MAIN — Compare prices using unit prices, discounts, and sales tax

Question 3 of 5 · Learn and Apply

LEARN

Sales tax is calculated by multiplying the taxable price by the tax rate. Total cost = price + tax, or price × (1 + rate). Rates differ by state and sometimes by city, and some items are exempt.

A taxable purchase costs $80. The sales tax rate is 6.5%. What is the TOTAL cost?

A. $5.20

B. $85.20

C. $86.50

D. $132.00

MAIN — Compare prices using unit prices, discounts, and sales tax

Question 4 of 5 · Learn and Apply

LEARN

For a store's own discount, many states figure sales tax on the discounted price: take the discount first, then figure tax on the sale price. Manufacturer coupons and other discounts can be taxed differently depending on the state.

A $120 jacket is 30% off in a store-funded sale, and in this state the 6.5% sales tax is figured on the discounted selling price. What is the total cost?

A. $84.00

B. $87.36

C. $89.46

D. $91.80

MAIN — Compare prices using unit prices, discounts, and sales tax

Question 5 of 5 · Knowledge Check

A store offers "Buy one, get one 50% off" on $20 shirts. If Tom buys two, what percent does he save on the pair?

A. 10%

B. 25%

C. 50%

D. 75%

BACKWARD B1 · concept review — Price, discount, tax, and total

Question 1 of 5 · Learn and Apply

LEARN

A discount lowers the price: sale price = original price − discount.

A $50 item has a $10 discount. What is the sale price?

A. $5

B. $10

C. $40

D. $60

BACKWARD B1 · concept review — Price, discount, tax, and total

Question 2 of 5 · Learn and Apply

LEARN

Sales tax raises the total: total = price + tax.

The tax on a $40 item is $2.60. What is the total?

A. $2.60

B. $37.40

C. $42.60

D. $66.00

BACKWARD B1 · concept review — Price, discount, tax, and total

Question 3 of 5 · Knowledge Check

Which word describes the percent taken OFF a price?

A. Tax

B. Total

C. Interest

D. Discount

BACKWARD B1 · concept review — Price, discount, tax, and total

Question 4 of 5 · Learn and Apply

LEARN

10% of an amount is the amount divided by 10.

What is 10% of $35?

A. $0.35

B. $3.50

C. $31.50

D. $35.00

BACKWARD B1 · concept review — Price, discount, tax, and total

Question 5 of 5 · Knowledge Check

Which comparison tells you the better buy between two package sizes?

A. Price per ounce of each package

B. Which package is larger

C. Which package is cheaper in total

D. Which package is on the higher shelf

GO DEEPER 1 — Stacked discounts and coupons

Question 1 of 5 · Learn and Apply

LEARN

When discounts "stack," each is applied to the price left after the previous one. Two discounts of 20% and 10% do not equal 30% off.

A $100 coat is 20% off, with an extra 10% off the sale price at checkout. What is the final price before tax?

A. $70

B. $72

C. $80

D. $90

GO DEEPER 1 — Stacked discounts and coupons

Question 2 of 5 · Knowledge Check

What single percent discount is the same as 20% off followed by 10% off?

A. 2%

B. 10%

C. 28%

D. 30%

GO DEEPER 1 — Stacked discounts and coupons

Question 3 of 5 · Knowledge Check

A $5-off coupon and a 15% discount can be used in either order on a $40 purchase. Which order gives the lower price?

A. $5 first, then 15% off: $29.75

B. Both orders give $29.00

C. 15% first, then $5 off: $34.00

D. 15% first, then $5 off: $29.00

GO DEEPER 1 — Stacked discounts and coupons

Question 4 of 5 · Knowledge Check

An ad says "Up to 70% off!" What does this usually mean?

A. Only some items are 70% off; many are discounted less
B. Every item is 70% off
C. Every item is at least 70% off
D. The store adds 70% to prices

GO DEEPER 1 — Stacked discounts and coupons

Question 5 of 5 · Knowledge Check

An item's price was $80 last week and is now "on sale" for $80 after being raised to $100 and marked 20% off. What happened?

A. The "sale" price is the same as last week's price

B. Tom saves $20 compared with last week

C. Tom saves 20% compared with what he paid last week

D. The price went down by $100

GO DEEPER 2 — Total cost beyond the price tag

Question 1 of 5 · Learn and Apply

LEARN

Compare total cost: price + shipping + fees + tax. A lower sticker price can cost more in total.

Store A sells headphones for $59 plus $8 shipping. Store B sells them for $64 with free shipping. Which costs less, and by how much?

A. Store A, by $5

B. Store B, by $5

C. They cost the same

D. Store B, by $3

GO DEEPER 2 — Total cost beyond the price tag

Question 2 of 5 · Knowledge Check

A store offers free shipping on orders of $50 or more. Jen's cart totals $42, and shipping is $7. She adds a $10 item she does not need. What did that cost her compared with paying shipping?

A. $3 more

B. $7 less

C. $10 less

D. $17 more

GO DEEPER 2 — Total cost beyond the price tag

Question 3 of 5 · Learn and Apply

LEARN

Sales tax rules are set by each state. Some items, such as groceries, clothing, or medicine, may be exempt. Always check your own state's rules.

In New Jersey, most clothing and most grocery food are exempt from sales tax, and the general rate is 6.625%. What is the tax on a $40 shirt and a $40 desk lamp bought together?

A. $0.00

B. $2.60

C. $2.65

D. $5.30

GO DEEPER 2 — Total cost beyond the price tag

Question 4 of 5 · Knowledge Check

Which purchase decision considers the total cost of owning an item?

A. Choosing the printer with the lowest sticker price only
B. Choosing the printer with the biggest rebate this week
C. Choosing the printer with the lowest monthly payment plan
D. Comparing printers by price plus yearly ink costs

GO DEEPER 2 — Total cost beyond the price tag

Question 5 of 5 · Knowledge Check

Printer X costs $60 and $80 a year in ink. Printer Y costs $150 and $35 a year in ink. Over 3 years, which costs less in total?

A. Printer Y: $255 vs $300

B. Printer X: $140 vs $185

C. Printer X: $60 vs $150

D. They cost the same over 3 years

SET 20 · Budgeting and Managing Expenses

Spending decisions and behavioral biases

MAIN skill: Use a decision process and recognize biases that lead to poor spending choices

Outcome FL.BUDGET.20 · National topic: Spending · NJSLS 9.1.12: FP, PB

Learning target: Influences on spending decisions: behavioral biases, marketing, and social pressure

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Making a choice: alternatives and criteria (5 questions)

Why: Recognizing biases requires first knowing what a reasoned choice looks like.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Marketing tactics and spending traps (5 questions)

Go Deeper 2: Social influence and financial values (5 questions)

Practical skills beyond the standards: 24-hour rule for unplanned purchases; Recognizing dark patterns

Content status: stable

MAIN — Use a decision process and recognize biases that lead to poor spending choices

Question 1 of 5 · Learn and Apply

LEARN

Every spending choice has an opportunity cost: the next-best thing you give up. Thinking about what else money could do helps you choose deliberately rather than automatically.

Kai has $200. He can buy a game console accessory or save toward a used bike. If he buys the accessory, what is the opportunity cost?

A. The $200 price of the accessory itself, paid at the register

B. Nothing, because he still has the accessory

C. The sales tax on the accessory

D. The progress toward the bike that he gives up

MAIN — Use a decision process and recognize biases that lead to poor spending choices

Question 2 of 5 · Learn and Apply

LEARN

Anchoring is relying too much on the first number you see. A high "original" price can make a sale price feel cheap, even when it is not a good deal compared with other options.

A sign says "Was $200, now $120!" Mia feels the $120 price is a great deal, even though similar items cost $100 elsewhere. Which bias is at work?

A. Sunk cost thinking about money already spent

B. Loss aversion about a past investment loss

C. The bandwagon effect from friends' choices

D. Anchoring on the "was" price

MAIN — Use a decision process and recognize biases that lead to poor spending choices

Question 3 of 5 · Learn and Apply

LEARN

A sunk cost is money already spent that cannot be recovered. The sunk cost fallacy is letting it drive a new decision. Good decisions compare the future benefits and costs of each option.

Leo paid $60 for a concert ticket but feels sick on the day. He goes anyway "so the money isn't wasted." What is this called?

A. The sunk cost fallacy

B. Opportunity cost bias

C. Anchoring

D. Comparison shopping

MAIN — Use a decision process and recognize biases that lead to poor spending choices

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Present bias is valuing what we want now much more than what we want later. Impulse buying feeds on it. Adding a delay, such as a 24-hour rule or removing saved cards, gives the planning part of the brain time to weigh in.

Ana often buys things online late at night and regrets them. Which strategy targets this habit directly?

A. Save her card details on every site so checkout is faster

B. Turn on more shopping notifications

C. Shop only during sales events

D. Wait 24 hours before buying anything not planned

MAIN — Use a decision process and recognize biases that lead to poor spending choices
Question 5 of 5 · Knowledge Check

Which ordering follows a sound decision process?

A. Set a goal, list options, compare, choose, review
B. Choose quickly, then find reasons to justify the choice later
C. List options, choose the most popular, skip review
D. Compare costs only after buying

BACKWARD B1 · concept review — Making a choice: alternatives and criteria

Question 1 of 5 · Learn and Apply

LEARN

Every decision has alternatives (the options) and criteria (what matters to you, such as price, quality, or coverage). Good choices compare alternatives using your criteria.

Sam is choosing a phone plan. What are "alternatives"?

A. The different plans he could choose

B. The reasons he wants a new phone now

C. The phone he already owns

D. The bill he paid last month

BACKWARD B1 · concept review — Making a choice: alternatives and criteria

Question 2 of 5 · Learn and Apply

LEARN

A criterion (plural: criteria) is a standard you use to judge options. Which criteria matter depends on your goal, such as ongoing cost, data, or coverage.

Sam wants the phone plan with the lowest ongoing cost. Which criterion fits that goal?

A. A free phone case that comes with the plan

B. How many friends use the same carrier

C. Which carrier has the most TV ads

D. Monthly price

BACKWARD B1 · concept review — Making a choice: alternatives and criteria

Question 3 of 5 · Knowledge Check

Plan A: $35, 5 GB. Plan B: $45, unlimited. Sam uses about 3 GB a month. Which plan fits his criteria of low cost and enough data?

A. Plan A

B. Plan B, because unlimited always sounds better

C. Neither, because both cost money

D. Plan B, because it costs more

BACKWARD B1 · concept review — Making a choice: alternatives and criteria
Question 4 of 5 · Knowledge Check

Plan A costs $35 a month and Plan B costs $45 a month. What is the yearly savings from choosing Plan A?

A. $10
B. $80
C. $120
D. $540

BACKWARD B1 · concept review — Making a choice: alternatives and criteria

Question 5 of 5 · Knowledge Check

After choosing, why review the decision a month later?

A. Because contracts require monthly reviews

B. To find someone to blame

C. Because reviewing a purchase lowers its price later

D. To check whether the choice worked as expected

GO DEEPER 1 — Marketing tactics and spending traps

Question 1 of 5 · Learn and Apply

LEARN

Scarcity and urgency messages ("only a few left," countdown timers) push quick decisions. Sometimes they are true, sometimes not. Slowing down protects your budget.

A website shows "Only 2 left!" and a countdown timer. What is the intended effect?

A. Rushing the buyer before comparing options

B. Helping the buyer compare options calmly

C. Lowering the price

D. Showing the store's full inventory honestly

GO DEEPER 1 — Marketing tactics and spending traps

Question 2 of 5 · Knowledge Check · Practical how-to

A "free trial" requires a card and converts to $14.99 a month unless cancelled. What should Nia do before signing up?

A. Assume it will cancel itself automatically

B. Use a friend's card instead

C. Ignore the terms, since the trial is advertised as free

D. Set a reminder to cancel before the trial ends

GO DEEPER 1 — Marketing tactics and spending traps

Question 3 of 5 · Knowledge Check

A store's loyalty program gives 5% back in points. Raj spends $200 more than he planned to earn points. What did he gain compared with not overspending?

A. He saved $10

B. He broke even

C. He saved $200

D. He spent $190 more, net of $10 in points

GO DEEPER 1 — Marketing tactics and spending traps

Question 4 of 5 · Learn and Apply

LEARN

"Dark patterns" are design tricks that steer people into choices they did not intend, such as hidden fees, pre-checked add-ons, or hard-to-find cancellation steps.

Which design choice is a "dark pattern" that makes spending easier than intended?

A. Showing the total price before checkout

B. Listing all fees clearly up front

C. Making cancellation much harder than signing up

D. Offering a clear "cancel" button on every account page

GO DEEPER 1 — Marketing tactics and spending traps

Question 5 of 5 · Knowledge Check · Practical how-to

At checkout, a $4.99 "protection plan" box is already checked on Ben's $25 order. What should he do?

A. Uncheck it unless he decided he wants it

B. Leave it, since stores must check what customers need

C. Pay it, because it is under $5

D. Buy two to be safe

GO DEEPER 2 — Social influence and financial values

Question 1 of 5 · Learn and Apply

LEARN

Influencers are often paid to promote products and may earn money from each sale. Federal rules require disclosure of these relationships, but the incentive still shapes the message.

An influencer promotes a product with a discount code. Which fact matters MOST?

A. The influencer may be paid for each sale

B. The influencer has many followers

C. The video looks professional and well produced

D. The product is popular this week

GO DEEPER 2 — Social influence and financial values

Question 2 of 5 · Knowledge Check

Friends spend $80 on a dinner out each weekend. Tara's budget allows $30. Which choice best balances friendship and her budget?

A. Join every time and put the extra on a credit card

B. Skip all social events forever

C. Join for a lower-cost part or suggest a cheaper place

D. Cut her rent payment to afford it

GO DEEPER 2 — Social influence and financial values

Question 3 of 5 · Knowledge Check

Seeing friends' purchases online makes Eli feel he must buy similar things. What is this effect sometimes called?

A. Compound interest

B. Diversification

C. Amortization

D. Social comparison, or "keeping up with the Joneses"

GO DEEPER 2 — Social influence and financial values

Question 4 of 5 · Knowledge Check

Which statement about money and values is MOST accurate?

A. More spending always leads to more happiness over time

B. Values have no effect on financial choices

C. Spending that matches your priorities satisfies more

D. Everyone should have the same priorities

GO DEEPER 2 — Social influence and financial values

Question 5 of 5 · Knowledge Check

Tara writes her top three money priorities and checks big purchases against them. What does this help with?

A. Raising her credit limit so priorities are easier to afford

B. Avoiding all spending

C. Spending first and checking priorities later

D. Making choices that match her goals

SET 21 · Saving, Emergency Funds, and Interest

Setting savings goals

MAIN skill: Set specific savings goals and calculate the time or monthly amount needed to reach them

Outcome FL.SAVE.21 · National topic: Saving · NJSLS 9.1.12: PB

Learning target: Develop savings goals and plans to achieve them

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Why and how people save (5 questions)
  - Why: Goal math depends on understanding saving as setting money aside on purpose for later.
- B2 · Math link → G6-S52-M (Grade 6 6.EE.B.7): Solve one-step equations of the form px = q
  - Why: Monthly saving × months = goal is a one-step equation.
- B3 · Math link → G7-S31-M (Grade 7 7.EE.B.4.a): Solve word problems that lead to equations of the form px + q = r
  - Why: Goals with a starting balance lead to px + q = r.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Goals with a starting balance and a deadline (5 questions)
- Go Deeper 2: Balancing several goals (5 questions)

Practical skills beyond the standards: Writing SMART goals

Content status: stable

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them

Question 1 of 5 · Learn and Apply

LEARN

Effective goals are often written as SMART: Specific, Measurable, Achievable, Relevant, and Time-bound. "Save $1,200 for a laptop by June" names the amount, the purpose, and the deadline, so progress can be tracked.

Which savings goal is the most SPECIFIC and measurable?

A. Save $1,200 for a used laptop by next June

B. Save more money this year than I did last year

C. Become better at saving at some point soon

D. Try to stop spending so much on everything

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them

Question 2 of 5 · Learn and Apply

LEARN

Ignoring interest: months needed = goal ÷ monthly saving. Monthly saving needed = goal ÷ months available.

Dina saves $150 a month toward an $1,800 goal, starting from $0. How many months will it take (ignoring interest)?

A. 12 months

B. 120 months

C. 1,650 months

D. 10 months

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them

Question 3 of 5 · Knowledge Check

Raul wants $2,400 for a car down payment in 16 months. How much must he save each month (ignoring interest)?

A. $150

B. $200

C. $240

D. $38,400

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them

Question 4 of 5 · Learn and Apply

LEARN

If you have a starting amount, subtract it first: monthly saving = (goal − amount saved) ÷ months. This is the equation p·m + start = goal solved for p.

Raul wants $2,400 for a car down payment in 16 months and already has $600 saved. How much must he save each month?

A. $37.50

B. $112.50

C. $150.00

D. $187.50

MAIN — Set specific savings goals and calculate the time or monthly amount needed to reach them

Question 5 of 5 · Knowledge Check

Which goal is LONG-TERM?

A. Saving for a concert ticket next month

B. Saving for a phone in six months

C. Saving for a prom outfit this spring

D. Saving for retirement in 40 years

BACKWARD B1 · concept review — Why and how people save

Question 1 of 5 · Learn and Apply

LEARN

Saving means not spending part of your income now so you can use it later, for a goal, an emergency, or the future.

What is saving?

A. Spending money as soon as it is earned

B. Borrowing money to buy something now

C. Setting aside income now to use later

D. Paying a bill on time

BACKWARD B1 · concept review — Why and how people save
Question 2 of 5 · Knowledge Check

Which is a GOOD reason to save?

A. To make your current paycheck larger
B. To avoid ever needing a budget
C. To lower your tax rate this year
D. To pay for a known future expense without borrowing

BACKWARD B1 · concept review — Why and how people save

Question 3 of 5 · Knowledge Check

Kim saves $20 a week for 10 weeks. How much has she saved?

A. $2

B. $20

C. $30

D. $200

BACKWARD B1 · concept review — Why and how people save

Question 4 of 5 · Knowledge Check

Kim wants $300 and saves $20 a week. How many weeks will it take?

A. 6,000 weeks

B. 280 weeks

C. 15 weeks

D. 10 weeks

BACKWARD B1 · concept review — Why and how people save

Question 5 of 5 · Knowledge Check

Which habit makes saving most consistent?

A. Saving a set amount each payday

B. Saving only when there is money left over at month end

C. Saving only in months with birthdays

D. Waiting until earning a higher salary

GO DEEPER 1 — Goals with a starting balance and a deadline

Question 1 of 5 · Learn and Apply

LEARN

A savings plan with a starting amount is linear: total = start + (monthly amount × months). Set the total equal to the goal and solve.

Lia has $350 and saves $65 a month. Which equation finds the months m until she has $1,000?

A. 350 + 65m = 1,000

B. 65 + 350m = 1,000

C. 350m + 65m = 1,000

D. 65m = 1,000 + 350

GO DEEPER 1 — Goals with a starting balance and a deadline

Question 2 of 5 · Knowledge Check

Solve 350 + 65m = 1,000. After how many whole months will Lia reach at least $1,000?

A. 15 months

B. 9 months

C. 20 months

D. 10 months

GO DEEPER 1 — Goals with a starting balance and a deadline

Question 3 of 5 · Knowledge Check

Lia has $350 and wants $1,000 in 8 months. How much must she save per month (nearest dollar, rounding up)?

A. $65

B. $81

C. $82

D. $125

GO DEEPER 1 — Goals with a starting balance and a deadline

Question 4 of 5 · Knowledge Check

Sam's goal: $3,000 in 2 years. He has $600 and can save $90 a month. Will he make it?

A. Yes; he will have $3,000 exactly

B. Yes; he will have $2,760

C. No; he will have $2,760, which is $240 short

D. No; he will have only $2,160

GO DEEPER 1 — Goals with a starting balance and a deadline

Question 5 of 5 · Knowledge Check

How much more per month would Sam need to close a $240 gap over 24 months?

A. $5

B. $10

C. $20

D. $240

GO DEEPER 2 — Balancing several goals

Question 1 of 5 · Learn and Apply

LEARN

When there are several goals, rank them by importance and timing, then divide monthly savings among them. Emergency savings usually come first because they protect every other goal.

Ray can save $200 a month. Goals: emergency fund (most important), a $600 trip in 6 months, and a car in 3 years. Which plan best reflects his priorities?

A. $200 to the trip only, then everything else

B. $200 to the car only for 3 years

C. $100 emergency fund, $100 trip, car later

D. Nothing until he earns more

GO DEEPER 2 — Balancing several goals

Question 2 of 5 · Knowledge Check

After the trip, Ray sends $150 a month to his car fund. How much will he have after 30 months?

A. $180

B. $1,800

C. $4,500

D. $6,000

GO DEEPER 2 — Balancing several goals

Question 3 of 5 · Knowledge Check

Why keep separate "buckets" or accounts for different goals?

A. Separate accounts always earn more interest

B. Banks require one account per goal

C. It lowers taxes on savings

D. It shows progress on each goal and avoids spending one goal's money on another

GO DEEPER 2 — Balancing several goals

Question 4 of 5 · Knowledge Check

Ray's goals, in priority order, are an emergency fund, a trip, and a car. He gets a $300 birthday gift. Which use matches his priorities?

A. Add it to the emergency fund first

B. Spend it all on wants right away

C. Add it to the car goal only

D. Leave it in his wallet for months

GO DEEPER 2 — Balancing several goals

Question 5 of 5 · Knowledge Check

Ray saves for several goals ranked by importance. If his income drops, which goal should he pause first?

A. The emergency fund

B. All goals equally

C. Rent

D. The least important, least urgent goal

SET 22 · Saving, Emergency Funds, and Interest

Emergency funds

MAIN skill: Size, build, and use an emergency fund

Outcome FL.SAVE.22 · National topic: Saving · NJSLS 9.1.12: PB, RM

Learning target: Emergency savings: purpose, size, and where to keep them

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Expected and unexpected expenses (5 questions)
  Why: Knowing which costs are surprises explains why an emergency fund is separate from goal savings.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Fund targets multiply monthly expenses by months.
- B3 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: Months covered divides the fund by monthly expenses.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Building the fund over time (5 questions)
- Go Deeper 2: Emergency fund or debt payoff? (5 questions)

Practical skills beyond the standards: Starter emergency fund; Choosing between saving and debt payoff

Content status: stable

Source: CFPB — An emergency fund is money set aside for unplanned expenses or financial emergencies; start small and build it over time. https://www.consumerfinance.gov/an-essential-guide-to-building-an-emergency-fund/

MAIN — Size, build, and use an emergency fund

Question 1 of 5 · Learn and Apply

LEARN

An emergency fund is money saved for unexpected events: a lost job, a medical bill, a car repair. It helps you avoid high-cost borrowing when surprises happen. A common guideline is 3 to 6 months of essential expenses, built up gradually. Even a small fund helps.

What is an emergency fund for?

A. Planned purchases such as a vacation next summer

B. Investing in stocks for the highest return

C. Unexpected costs such as a car repair or a job loss

D. Paying for holiday gifts each December

MAIN — Size, build, and use an emergency fund

Question 2 of 5 · Knowledge Check

Jo's essential expenses are $1,650 a month. What is a 3-month emergency fund target?

A. $550

B. $1,650

C. $4,950

D. $9,900

MAIN — Size, build, and use an emergency fund

Question 3 of 5 · Learn and Apply

LEARN

Emergency money must be safe and available quickly. Insured savings accounts keep the money stable and accessible. Investments can lose value right when you need them, and long-term CDs charge penalties for early withdrawal.

Where is the best place to keep an emergency fund?

A. An insured savings account she can reach quickly

B. A stock fund, because it grows faster on average

C. A 5-year CD with a large early-withdrawal penalty

D. Cash in a drawer at home

MAIN — Size, build, and use an emergency fund

Question 4 of 5 · Knowledge Check

Which situation is an appropriate use of an emergency fund?

A. A sale on concert tickets that ends tonight

B. A planned spring break trip

C. A new phone because a friend got one

D. Replacing a broken refrigerator needed for food

MAIN — Size, build, and use an emergency fund

Question 5 of 5 · Knowledge Check

Jo has $3,000 saved and essential expenses of $1,200 a month. How many months could the fund cover?

A. 25 months

B. 0.4 months

C. 2.5 months

D. 4.2 months

BACKWARD B1 · concept review — Expected and unexpected expenses

Question 1 of 5 · Learn and Apply

LEARN

Expected expenses are known in advance (rent, bills, registration). Unexpected expenses are surprises (repairs, medical costs, job loss).

Which expense is UNEXPECTED?

A. A dentist visit for a cracked tooth

B. Monthly rent

C. A yearly car registration

D. A phone bill

BACKWARD B1 · concept review — Expected and unexpected expenses
Question 2 of 5 · Knowledge Check

How is an emergency fund different from a sinking fund?

A. It is for vacations instead of bills
B. It earns no interest
C. It is for unknown surprises, not a known future bill
D. It is borrowed money

BACKWARD B1 · concept review — Expected and unexpected expenses
Question 3 of 5 · Knowledge Check

Without savings, how do many people pay for a surprise $500 bill?

A. By borrowing, often at high cost
B. By getting a free refund from the government
C. By skipping it with no consequence
D. With money that appears in their account

BACKWARD B1 · concept review — Expected and unexpected expenses

Question 4 of 5 · Learn and Apply

LEARN

An emergency fund is cash set aside for surprises, so you do not have to borrow when one happens.

Mo has a $500 car repair and a $1,000 emergency fund. Which choice avoids paying interest on the repair?

A. Charging it to a credit card he cannot pay off for a year

B. Taking a payday loan

C. Paying the repair from his emergency fund

D. Skipping the repair and borrowing a car

BACKWARD B1 · concept review — Expected and unexpected expenses

Question 5 of 5 · Knowledge Check

Which is a reasonable FIRST emergency-fund target for a teen with a part-time job?

A. Six months of a full adult household's expenses

B. Nothing until age 30

C. Exactly $1 million

D. A starter amount such as $500

GO DEEPER 1 — Building the fund over time

Question 1 of 5 · Knowledge Check

Jo saves $275 a month toward a $4,950 target, starting from $0. How many months will it take?

A. 12 months

B. 16 months

C. 18 months

D. 20 months

GO DEEPER 1 — Building the fund over time

Question 2 of 5 · Knowledge Check

Jo's emergency fund target is $4,950. She starts with a $1,500 tax refund and saves $275 a month. How many months of saving does she need (rounded up)?

A. 18 months

B. 12 months

C. 5 months

D. 13 months

GO DEEPER 1 — Building the fund over time

Question 3 of 5 · Knowledge Check · Practical how-to

Jo used $800 from her emergency fund for a car repair. What should she do next?

A. Rebuild the fund with regular deposits

B. Leave it lower permanently

C. Borrow $800 to refill it at once

D. Stop paying her other bills

GO DEEPER 1 — Building the fund over time

Question 4 of 5 · Knowledge Check · Practical how-to

Which automatic setup best builds an emergency fund?

A. Keeping the fund in checking with everyday money

B. Moving money only when she remembers

C. A recurring transfer on payday to a separate savings account

D. Linking the fund to a debit card for shopping

GO DEEPER 1 — Building the fund over time

Question 5 of 5 · Knowledge Check

Jo's fund earns 4% a year. If it stays near $4,950 for a year, about how much interest does it earn?

A. $19.80

B. $198

C. $1,980

D. $5,148

GO DEEPER 2 — Emergency fund or debt payoff?

Question 1 of 5 · Learn and Apply

LEARN

High-interest debt grows quickly, but with no savings at all, the next surprise goes back on the card. A common approach: keep a small starter emergency fund, then put extra money toward high-interest debt, then build the full fund.

Kyle has $1,000 saved and a $2,000 credit card balance at 24% APR. Many planners suggest which approach?

A. Keep a small starter fund while paying down the card aggressively

B. Spend the $1,000 on wants, then pay minimums

C. Never pay the card until the fund reaches six months

D. Close the savings account and stop saving

GO DEEPER 2 — Emergency fund or debt payoff?

Question 2 of 5 · Knowledge Check

Interest on $2,000 at 24% for one year (simple estimate) is how much?

A. $48

B. $240

C. $480

D. $2,480

GO DEEPER 2 — Emergency fund or debt payoff?

Question 3 of 5 · Knowledge Check

Savings earn 4% while the card charges 24%. Moving $500 from savings to the card saves about how much per year in net interest?

A. $20

B. $100

C. $120

D. $140

GO DEEPER 2 — Emergency fund or debt payoff?

Question 4 of 5 · Knowledge Check

Why might someone still keep a few hundred dollars in savings while paying debt?

A. Because savings accounts require it by law
B. Because card interest stops when you have savings
C. Because debt does not cost anything
D. So a small surprise does not go back on the card

GO DEEPER 2 — Emergency fund or debt payoff?

Question 5 of 5 · Knowledge Check

Kyle has paid off his credit card, which had taken $150 a month in payments. His emergency fund is still small. What is a sensible next step?

A. Increase spending by the payment amount

B. Open three new cards

C. Send the former card payments to build the full emergency fund

D. Stop budgeting

SET 23 · Saving, Emergency Funds, and Interest

Simple interest

MAIN skill: Calculate simple interest and the resulting balance

Outcome FL.SAVE.23 · National topic: Saving · NJSLS 9.1.12: PB, CDM

Learning target: Calculate interest earned on savings (simple interest)

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Principal, interest, and balance (5 questions)
  Why: Interest problems fail when students confuse principal, interest, and balance.
- B2 · Math link → G7-S10-M (Grade 7 7.RP.A.3): Find simple interest
  Why: This set applies the Grade 7 simple interest skill.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Interest for one year is a percent of the principal.
- B4 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: I = Prt multiplies three factors, including a decimal rate.
- B5 · Math link → G6-S44-M (Grade 6 6.EE.A.2.c): Evaluate expressions and formulas for given values
  Why: Simple interest substitutes values into a formula.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Solving the interest formula for any variable (5 questions)
- Go Deeper 2: Simple interest in borrowing (5 questions)

Practical skills beyond the standards: Solving I = Prt for any variable

Content status: stable

MAIN — Calculate simple interest and the resulting balance

Question 1 of 5 · Learn and Apply

LEARN

Simple interest is calculated using I = Prt, where P is the principal (the starting amount), r is the annual interest rate written as a decimal, and t is the time in years.

A savings account contains $2,400 and earns 5% simple annual interest. How much INTEREST will the account earn over three years?

A. $120

B. $360

C. $2,520

D. $3,600

MAIN — Calculate simple interest and the resulting balance

Question 2 of 5 · Learn and Apply

LEARN

Interest is only the amount earned. The balance is the principal plus the interest: A = P + I.

A savings account starts with $2,400 and earns 5% simple annual interest for 3 years. What is the BALANCE at the end?

A. $360

B. $2,405

C. $2,520

D. $2,760

MAIN — Calculate simple interest and the resulting balance

Question 3 of 5 · Learn and Apply

LEARN

Time in I = Prt must be in years. Convert months to years by dividing by 12: 6 months = 0.5 year.

$1,800 earns 4% simple interest for 6 months. How much interest is earned?

A. $7.20

B. $36

C. $72

D. $432

MAIN — Calculate simple interest and the resulting balance

Question 4 of 5 · Learn and Apply

LEARN

Solve I = Prt for the rate: r = I ÷ (P × t). Then write the decimal as a percent.

$5,000 earned $600 of simple interest in 3 years. What was the annual rate?

A. 0.4%

B. 4%

C. 12%

D. 25%

MAIN — Calculate simple interest and the resulting balance

Question 5 of 5 · Knowledge Check

In I = Prt, which quantity is the principal for a $1,500 deposit that earns $90 of interest?

A. $90

B. $1,410

C. $1,500

D. $1,590

BACKWARD B1 · concept review — Principal, interest, and balance

Question 1 of 5 · Learn and Apply

LEARN

The principal is the original amount deposited or borrowed. Interest is the extra money earned (or charged). The balance is principal plus interest.

Ana deposits $300. A year later she has $309. Which amount is the PRINCIPAL?

A. $3

B. $9

C. $300

D. $309

BACKWARD B1 · concept review — Principal, interest, and balance

Question 2 of 5 · Knowledge Check

Ana deposits $300, and a year later she has $309. How much INTEREST did she earn?

A. $9

B. $300

C. $309

D. $609

BACKWARD B1 · concept review — Principal, interest, and balance

Question 3 of 5 · Knowledge Check

Ana earned $9 of interest on a $300 deposit in one year. What percent of the principal was the interest?

A. 0.03%

B. 3%

C. 9%

D. 97%

BACKWARD B1 · concept review — Principal, interest, and balance

Question 4 of 5 · Knowledge Check

Which word describes the amount owed or saved after interest is added?

A. Balance

B. Principal

C. Rate

D. Term

BACKWARD B1 · concept review — Principal, interest, and balance

Question 5 of 5 · Learn and Apply

LEARN

For a borrower, interest is the cost of using the lender's money. Total repaid = principal + interest.

Leo borrows $1,000 and repays $1,080. What was the cost of borrowing?

A. $1,080 of interest

B. $1,000 of interest

C. $0, because he repaid it

D. $80 of interest

GO DEEPER 1 — Solving the interest formula for any variable

Question 1 of 5 · Learn and Apply

LEARN

The formula I = Prt can be solved for any variable: P = I ÷ (rt), r = I ÷ (Pt), t = I ÷ (Pr).

How much must be deposited at 5% simple interest to earn $200 in 2 years?

A. $20

B. $400

C. $2,000

D. $4,000

GO DEEPER 1 — Solving the interest formula for any variable

Question 2 of 5 · Knowledge Check

How long will it take $3,000 at 6% simple interest to earn $450?

A. 25 years

B. 0.4 years

C. 2.5 years

D. 1.5 years

GO DEEPER 1 — Solving the interest formula for any variable

Question 3 of 5 · Knowledge Check

Which rearrangement of I = Prt correctly gives t?

A. t = I / (Pr)

B. t = IPr

C. t = Pr / I

D. t = I − Pr

GO DEEPER 1 — Solving the interest formula for any variable

Question 4 of 5 · Knowledge Check

$4,000 at 3.5% simple interest earns how much in 18 months?

A. $140

B. $210

C. $252

D. $2,520

GO DEEPER 1 — Solving the interest formula for any variable

Question 5 of 5 · Knowledge Check

A loan of $800 at 9% simple interest is repaid after 8 months. What is the total repaid?

A. $48

B. $848

C. $857.60

D. $872

GO DEEPER 2 — Simple interest in borrowing

Question 1 of 5 · Learn and Apply

LEARN

Some loans charge simple interest on the original principal. For borrowers, I = Prt is the cost of the loan.

A friend's family business offers Tim a $1,200 loan at 6% simple interest for 2 years. How much interest will Tim pay?

A. $14.40

B. $72

C. $144

D. $1,344

GO DEEPER 2 — Simple interest in borrowing

Question 2 of 5 · Knowledge Check

Tim owes $1,344 in total ($1,200 borrowed plus $144 interest). If he repays it in 24 equal monthly payments, what is each payment?

A. $6

B. $50

C. $56

D. $112

GO DEEPER 2 — Simple interest in borrowing

Question 3 of 5 · Knowledge Check

Two loans of $1,000 for 1 year: Loan A charges 8% simple interest; Loan B charges a flat $95 fee. Which costs less, and by how much?

A. Loan B, by $15

B. Loan A, by $95

C. They cost the same

D. Loan A, by $15

GO DEEPER 2 — Simple interest in borrowing

Question 4 of 5 · Knowledge Check

Why do lenders charge interest?

A. Because the law requires every loan to charge 10%

B. To cover the borrower's taxes

C. Because money loses value only for lenders

D. To be paid for lending money and taking the risk of not being repaid

GO DEEPER 2 — Simple interest in borrowing

Question 5 of 5 · Knowledge Check

Which borrower is likely to be offered a LOWER interest rate?

A. One who has missed several payments

B. One who applies for many loans at once

C. One with a strong record of repaying debts on time

D. One with no income to repay

SET 24 · Saving, Emergency Funds, and Interest

Compound interest

MAIN skill: Calculate compound interest and compare it with simple interest

Outcome FL.SAVE.24 · National topic: Saving · NJSLS 9.1.12: PB, FI

Learning target: Compound interest: calculate and explain how interest compounds

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Interest on interest (5 questions)
  Why: Compound interest makes sense only after students see that added interest becomes part of the balance.
- B2 · Math link → G6-S40-M (Grade 6 6.EE.A.1): Evaluate numerical expressions with whole-number exponents
  Why: A = P(1 + r)^t requires evaluating a power.
- B3 · Math link → G5-S01-M (Grade 5 5.OA.A.1): Evaluate expressions that use parentheses
  Why: The order of operations matters: compute 1 + r first, then the power, then multiply.
- B4 · Math link → ALG1-S55-M (Algebra 1 HSF-LE.A.1.c): Recognize situations in which a quantity grows or decays by a constant percent rate per unit interval
  Why: Compound interest is growth by a constant percent per year.
- B5 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Each year's interest is a percent of the balance.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reading an exponential growth model (5 questions)
- Go Deeper 2: Working backward: present value (5 questions)

Practical skills beyond the standards: Present value of a savings goal

Content status: stable

MAIN — Calculate compound interest and compare it with simple interest

Question 1 of 5 · Learn and Apply

LEARN

When interest is compounded annually, interest is calculated on the current balance, including previously earned interest. For a constant annual rate, A = P(1 + r)^t.

$1,000 earns 10% annually, compounded once per year. Assuming the rate stays constant and there are no deposits or withdrawals, what is the balance after two years?

A. $1,100

B. $1,200

C. $1,210

D. $1,220

MAIN — Calculate compound interest and compare it with simple interest

Question 2 of 5 · Learn and Apply

LEARN

With compounding, each year's interest is figured on the balance at the start of that year. Year 1 interest is added to the principal, so year 2 interest is larger.

$500 is deposited at 4% interest compounded annually. How much interest is earned in the SECOND year?

A. $20.00

B. $20.80

C. $40.80

D. $540.80

MAIN — Calculate compound interest and compare it with simple interest

Question 3 of 5 · Learn and Apply

LEARN

Simple interest is figured only on the principal: I = Prt. Compound interest is figured on the growing balance: A = P(1 + r)^t, and interest = A − P. The gap between them grows over time.

$5,000 earns 4% per year for 3 years. How much MORE interest does annual compounding earn than simple interest?

A. $24.32

B. $200.00

C. $600.00

D. $624.32

MAIN — Calculate compound interest and compare it with simple interest

Question 4 of 5 · Learn and Apply

LEARN

To use A = P(1 + r)^t: write the rate as a decimal, add 1, raise to the number of years first (exponents before multiplication), then multiply by P.

$2,000 is invested at 6% compounded annually for 10 years. What is the balance (nearest cent)?

A. $2,120.00

B. $3,200.00

C. $3,378.96

D. $3,581.70

MAIN — Calculate compound interest and compare it with simple interest

Question 5 of 5 · Knowledge Check

Two accounts both start with $1,000 at 5% for 20 years. One pays simple interest; one compounds annually. Why does the compound account end higher?

A. It earns interest on earlier interest as well as on the principal

B. Its stated rate is really higher than 5%, which the bank does not show

C. Simple interest accounts charge fees that reduce the balance

D. Compounding adds a bonus deposit each year

BACKWARD B1 · concept review — Interest on interest

Question 1 of 5 · Learn and Apply

LEARN

After interest is added, the balance = old balance + interest. That new balance is what earns interest next year when interest compounds.

$100 earns 10% interest for one year. What is the balance after one year?

A. $10

B. $100

C. $110

D. $1,000

BACKWARD B1 · concept review — Interest on interest

Question 2 of 5 · Learn and Apply

LEARN

With compound interest, the rate applies to the whole current balance, including interest already earned.

$100 earns 10% interest and grows to $110 after year one. In year two, the $110 earns 10% again. How much interest is earned in year two?

A. $10

B. $11

C. $21

D. $121

BACKWARD B1 · concept review — Interest on interest

Question 3 of 5 · Learn and Apply

LEARN

Simple interest: interest on the principal only, the same dollar amount each year. Compound interest: interest on the principal plus accumulated interest, growing each year.

Which statement describes COMPOUND interest?

A. Interest is earned only on the original deposit

B. Interest is paid only when the account is closed

C. Interest is earned on the principal and on interest already added

D. Interest is the same dollar amount every year, figured on the deposit

BACKWARD B1 · concept review — Interest on interest

Question 4 of 5 · Learn and Apply

LEARN

Increasing an amount by r% is the same as multiplying it by (1 + r), with r as a decimal. Adding 5% means multiplying by 1.05.

Multiplying by 1.05 is the same as adding what percent?

A. 0.05%

B. 5%

C. 50%

D. 105%

BACKWARD B1 · concept review — Interest on interest

Question 5 of 5 · Knowledge Check

Which expression gives $800 after 3 years at 5% compounded annually?

A. 800(1.05)^3

B. 800 × 0.05 × 3

C. 800 + 1.05 × 3

D. 800(0.05)^3

GO DEEPER 1 — Reading an exponential growth model

Question 1 of 5 · Learn and Apply

LEARN

In A = P(1 + r)^t, P is the starting amount and (1 + r) is the growth factor per period. A factor of 1.05 means each year's balance is 105% of the year before, a 5% increase.

An account balance is modeled by A = 1,500(1.05)^t, where t is years. What does 1.05 tell you?

A. The balance grows $1.05 each year

B. The balance grows 105% each year

C. The account pays a $1,500 bonus every 5 years

D. The balance grows 5% each year

GO DEEPER 1 — Reading an exponential growth model

Question 2 of 5 · Learn and Apply

LEARN

In an exponential model A = P(1 + r)^t, the value when t = 0 is P, because any number raised to the power 0 equals 1.

In A = 1,500(1.05)^t, what does 1,500 represent?

A. The interest earned each year

B. The balance after 5 years

C. The maximum balance allowed

D. The starting balance

GO DEEPER 1 — Reading an exponential growth model

Question 3 of 5 · Knowledge Check

Using A = 1,500(1.05)^t, what is the balance after 4 years (nearest cent)?

A. $1,575.00

B. $1,736.44

C. $1,800.00

D. $1,823.26

GO DEEPER 1 — Reading an exponential growth model

Question 4 of 5 · Knowledge Check

Which model shows a balance that starts at $600 and grows 3% per year?

A. A = 600(1.03)^t

B. A = 600(0.03)^t

C. A = 600 + 1.03t

D. A = 3(600)^t

GO DEEPER 1 — Reading an exponential growth model

Question 5 of 5 · Knowledge Check

A savings balance doubled from $800 to $1,600 over some years. Which type of growth model fits a fixed annual compound rate?

A. Linear: the balance adds the same number of dollars every single year

B. Quadratic: the balance follows a parabola

C. Exponential: the balance multiplies by the same factor each year

D. Constant: the balance never changes

GO DEEPER 2 — Working backward: present value

Question 1 of 5 · Learn and Apply

LEARN

Present value is how much money today grows to a target amount later. Solve A = P(1 + r)^t for P: P = A ÷ (1 + r)^t.

Kim wants $10,000 in 5 years. Her account earns 5% compounded annually. How much must she deposit today (nearest cent)?

A. $7,500.00

B. $7,835.26

C. $9,500.00

D. $12,762.82

GO DEEPER 2 — Working backward: present value

Question 2 of 5 · Learn and Apply

LEARN

To find the deposit needed today, divide the future amount by the growth factor raised to the number of years: P = A ÷ (1 + r)^t.

Which expression gives the deposit needed today to have $5,000 in 3 years at 4% compounded annually?

A. 5,000 × (1.04)^3

B. 5,000 − 0.04 × 3

C. 5,000 ÷ (1.04)^3

D. 5,000 ÷ (0.04)^3

GO DEEPER 2 — Working backward: present value

Question 3 of 5 · Learn and Apply

LEARN

Money deposited today earns interest, and the interest compounds, so a smaller amount today can grow into a larger amount later.

Why is the deposit needed today SMALLER than the future goal?

A. Banks add a bonus to every goal

B. Inflation automatically adds extra money to savings accounts each year

C. The goal amount shrinks every year

D. Interest will make up the difference over time

GO DEEPER 2 — Working backward: present value

Question 4 of 5 · Learn and Apply

LEARN

In P = A ÷ (1 + r)^t, a higher rate makes the denominator larger.

If the rate were higher than 5%, how would the deposit needed today for a $10,000 goal in 5 years change?

A. It would be smaller

B. It would be larger

C. It would stay the same

D. It would equal $10,000

GO DEEPER 2 — Working backward: present value

Question 5 of 5 · Knowledge Check

Jay can deposit $4,000 today at 6% compounded annually. Will he reach $5,000 within 4 years?

A. Yes; 4,000(1.06)^4 ≈ $5,049.91

B. No; 4,000(1.06)^4 ≈ $4,960

C. No; he will have exactly $4,960

D. Yes; he will have $5,600

SET 25 · Saving, Emergency Funds, and Interest

Compounding frequency and APY

MAIN skill: Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts

Outcome FL.SAVE.25 · National topic: Saving · NJSLS 9.1.12: FI, PB

Learning target: Compare savings options using APY and compounding

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Rates per year and per period (5 questions)
  - Why: Compounding-frequency problems require splitting an annual rate into a per-period rate.
- B2 · Math link → G6-S40-M (Grade 6 6.EE.A.1): Evaluate numerical expressions with whole-number exponents
  - Why: Compound interest formulas raise a growth factor to a power.
- B3 · Math link → ALG1-S46-M (Algebra 1 HSF-IF.C.8.b): Use the properties of exponents to interpret growth and decay rates
  - Why: APY compares yearly growth factors from different compounding periods.
- B4 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  - Why: Periodic rates divide the annual rate by the number of periods.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: How much does compounding frequency matter? (5 questions)
- Go Deeper 2: Promotional and variable rates (5 questions)

Practical skills beyond the standards: Evaluating promotional savings rates

Content status: stable

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts

Question 1 of 5 · Learn and Apply

LEARN

When interest compounds n times per year, each period uses the rate r/n, and there are n·t periods: A = P(1 + r/n)^(nt). Monthly: n = 12. Quarterly: n = 4. Daily: n = 365.

$1,000 is deposited at 6% annual interest compounded monthly. What is the balance after 1 year (nearest cent)?

A. $1,005.00

B. $1,060.00

C. $1,061.68

D. $2,012.20

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts

Question 2 of 5 · Learn and Apply

LEARN

APY (annual percentage yield) is the actual percent growth in one year including compounding: APY = (1 + r/n)^n − 1. Banks must show APY so savers can compare accounts with different compounding.

An account pays 6% compounded monthly. What is its APY (nearest hundredth of a percent)?

A. 0.50%

B. 6.00%

C. 6.17%

D. 72.00%

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts

Question 3 of 5 · Learn and Apply

LEARN

A slightly lower rate compounded more often can produce a higher yield. Compare accounts by APY, not by the stated rate.

Account A pays 4.9% compounded daily. Account B pays 5.0% compounded once a year. Which earns more in a year?

A. Account B, because 5.0% is higher than 4.9%

B. They earn exactly the same

C. Account A: its APY is about 5.02%

D. Account B, because daily compounding lowers the yield

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts

Question 4 of 5 · Knowledge Check

$2,000 earns 4% annual interest compounded quarterly for 2 years. What is the balance (nearest cent)?

A. $2,020.00

B. $2,160.00

C. $2,163.20

D. $2,165.71

MAIN — Calculate balances with monthly, quarterly, or daily compounding and use APY to compare accounts

Question 5 of 5 · Knowledge Check

In A = P(1 + r/n)^(nt), what is n for interest compounded quarterly?

A. 0.25

B. 3

C. 4

D. 12

BACKWARD B1 · concept review — Rates per year and per period

Question 1 of 5 · Learn and Apply

LEARN

A stated annual rate is split evenly across compounding periods: periodic rate = annual rate ÷ number of periods per year.

An annual rate of 6% is compounded monthly. What rate applies each month?

A. 0.5%

B. 2%

C. 6%

D. 72%

BACKWARD B1 · concept review — Rates per year and per period

Question 2 of 5 · Learn and Apply

LEARN

Quarterly means four periods per year: periodic rate = annual rate ÷ 4.

An annual rate of 8% is compounded quarterly. What is the quarterly rate?

A. 0.67%

B. 2%

C. 8%

D. 32%

BACKWARD B1 · concept review — Rates per year and per period

Question 3 of 5 · Learn and Apply

LEARN

Total periods = periods per year × years.

How many compounding periods are in 3 years of monthly compounding?

A. 3

B. 12

C. 15

D. 36

BACKWARD B1 · concept review — Rates per year and per period

Question 4 of 5 · Learn and Apply

LEARN

To write a percent as a decimal, divide by 100.

Write 0.5% as a decimal.

A. 0.005

B. 0.05

C. 0.5

D. 5

BACKWARD B1 · concept review — Rates per year and per period

Question 5 of 5 · Knowledge Check

Which compounds MORE often: daily or monthly?

A. Monthly

B. They are the same

C. Neither compounds

D. Daily

GO DEEPER 1 — How much does compounding frequency matter?

Question 1 of 5 · Learn and Apply

LEARN

Compounding more often adds a little more interest, because interest starts earning interest sooner. The gain from annual to monthly is noticeable; from monthly to daily it is tiny.

$10,000 earns 5% for one year. Compounded annually, the balance is $10,500. Compounded monthly, it is about $10,511.62. Compounded daily, it is about $10,512.67. What pattern do these show?

A. Daily compounding doubles the interest

B. Compounding frequency makes no difference at all to the year-end balance

C. More frequent compounding helps, but by smaller amounts each step

D. Monthly compounding earns less than annual

GO DEEPER 1 — How much does compounding frequency matter?

Question 2 of 5 · Learn and Apply

LEARN

A 1-percentage-point difference in rate changes yearly interest far more than switching between monthly and daily compounding.

Comparing savings accounts, which factor usually matters MORE than compounding frequency?

A. The interest rate itself

B. Whether interest compounds daily or monthly

C. The number of branches in other states

D. The day of the month interest posts

GO DEEPER 1 — How much does compounding frequency matter?

Question 3 of 5 · Learn and Apply

LEARN

At annual compounding, one year of interest is principal × rate.

How much more does $10,000 earn in one year at 5% compounded annually than at 4% compounded annually?

A. $1

B. $10

C. $100

D. $1,000

GO DEEPER 1 — How much does compounding frequency matter?

Question 4 of 5 · Learn and Apply

LEARN

APY already includes the effect of compounding, so the higher APY earns more, whatever the compounding frequency.

A bank advertises 4.88% APY compounded daily. Another advertises 4.90% APY compounded monthly. Which pays more?

A. The 4.88% APY account, because daily compounding is better

B. They pay exactly the same

C. It cannot be determined from APY

D. The 4.90% APY account

GO DEEPER 1 — How much does compounding frequency matter?

Question 5 of 5 · Learn and Apply

LEARN

Fees subtract from what an account earns. On small balances, a monthly fee can wipe out most of the interest.

An account with a $5 monthly fee pays 4.50% APY. About how much does $2,000 earn in a year after fees?

A. $30

B. $60

C. $90

D. $150

GO DEEPER 2 — Promotional and variable rates

Question 1 of 5 · Learn and Apply

LEARN

A promotional ("teaser") rate applies only for a limited time, then drops to the regular rate. Estimate interest for each period separately.

A bank offers 5.25% APY for the first 3 months, then the regular 1.00% APY. On $4,000, about how much interest is earned in the first year (simple estimate by period)?

A. $40.00

B. $52.50

C. $82.50

D. $210.00

GO DEEPER 2 — Promotional and variable rates

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Promotional rates are advertised prominently, but the rate after the promotion decides what you earn over a longer time.

Which question should Ana ask about a "limited-time" savings rate?

A. Is the rate higher than my checking account's?

B. Can I open the account online?

C. What rate applies after the promotion ends?

D. Is this rate guaranteed for as long as I keep the account?

GO DEEPER 2 — Promotional and variable rates

Question 3 of 5 · Learn and Apply

LEARN

When a rate changes partway through the year, figure the interest for each part of the year separately.

A savings account's variable rate drops from 4% to 3% after six months. On $6,000, about how much interest is earned that year?

A. $180

B. $210

C. $240

D. $420

GO DEEPER 2 — Promotional and variable rates

Question 4 of 5 · Learn and Apply

LEARN

Savings rates tend to follow market interest rates, which change with economic conditions and Federal Reserve policy.

Why might a bank lower its savings rate?

A. Market interest rates fell

B. A customer deposited too much

C. The account was opened online

D. Federal law requires yearly cuts

GO DEEPER 2 — Promotional and variable rates

Question 5 of 5 · Learn and Apply

LEARN

Savings products differ: regular savings and money market accounts usually have variable rates that can change at any time; a certificate of deposit (CD) usually keeps a fixed rate until it matures, in exchange for leaving the money in place.

Which product LOCKS a savings rate for a set term?

A. A regular savings account

B. A money market account

C. A checking account

D. A certificate of deposit

SET 26 · Saving, Emergency Funds, and Interest

Time, doubling, and the Rule of 72

MAIN skill: Estimate doubling time with the Rule of 72 and explain why starting early matters

Outcome FL.SAVE.26 · National topic: Saving · NJSLS 9.1.12: PB, FP

Learning target: Explain how time and compounding affect savings growth

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Doubling and repeated doubling (5 questions)
  - Why: Doubling-time reasoning depends on understanding repeated multiplication by 2.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  - Why: The Rule of 72 divides 72 by the rate (or by the years).
- B3 · Math link → G6-S40-M (Grade 6 6.EE.A.1): Evaluate numerical expressions with whole-number exponents
  - Why: Repeated doubling is a power of 2.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Starting early (5 questions)
- Go Deeper 2: The cost of waiting (5 questions)

Practical skills beyond the standards: Rule of 72 estimates

Content status: stable

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters

Question 1 of 5 · Learn and Apply

LEARN

The Rule of 72 is a quick estimate: years to double ≈ 72 ÷ (annual interest rate as a percent). It works best for rates between about 4% and 12% and gives an approximation, not an exact answer.

Using the Rule of 72, about how long does it take money to double at 6% compounded annually?

A. 12 years

B. 6 years

C. 16.7 years

D. 4.3 years

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters

Question 2 of 5 · Learn and Apply

LEARN

The Rule of 72 also works backward: rate ≈ 72 ÷ years to double.

About what annual rate would double money in 9 years, by the Rule of 72?

A. 0.125%

B. 8%

C. 9%

D. 81%

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters

Question 3 of 5 · Learn and Apply

LEARN

Compound growth speeds up over time because each year's growth is a percent of a larger balance. The last decade can add more than all the earlier decades combined.

$5,000 grows at 7% compounded annually. How much MORE does it grow to after 40 years than after 30 years (nearest dollar)?

A. $3,500

B. $36,811

C. $38,061

D. $74,872

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters

Question 4 of 5 · Learn and Apply

LEARN

Each "doubling period" multiplies the balance by 2. Count the doubling periods in the time span, then double that many times.

Use the Rule of 72 to estimate what $1,000 grows to in 36 years at 8% compounded annually.

A. About $8,000

B. About $3,880

C. About $4,000

D. About $16,000

MAIN — Estimate doubling time with the Rule of 72 and explain why starting early matters

Question 5 of 5 · Knowledge Check

Why is the Rule of 72 called an estimate?

A. It only works for simple interest

B. It gives the exact answer for every interest rate and every time period

C. It approximates the exact compound-interest result

D. It is a legal limit on interest rates

BACKWARD B1 · concept review — Doubling and repeated doubling

Question 1 of 5 · Learn and Apply

LEARN

To double means to multiply by 2.

$500 doubles once. What is the new amount?

A. $250

B. $502

C. $1,000

D. $2,500

BACKWARD B1 · concept review — Doubling and repeated doubling

Question 2 of 5 · Learn and Apply

LEARN

Doubling three times multiplies by 2 × 2 × 2 = 2^3 = 8.

$500 doubles three times. What is the final amount?

A. $1,500

B. $2,000

C. $3,000

D. $4,000

BACKWARD B1 · concept review — Doubling and repeated doubling

Question 3 of 5 · Learn and Apply

LEARN

Number of doublings = total years ÷ years per doubling.

If money doubles every 10 years, how many times does it double in 30 years?

A. 30 times

B. 10 times

C. 3 times

D. 2 times

BACKWARD B1 · concept review — Doubling and repeated doubling

Question 4 of 5 · Learn and Apply

LEARN

Steady additions grow by the same dollar amount each year (linear growth). Doubling multiplies the amount (exponential growth). Exponential growth starts slowly but eventually passes linear growth.

Starting with $100, which is larger after 30 years: adding $100 each year, or doubling every 10 years?

A. Adding $100 a year: $3,100 vs $800

B. Doubling every 10 years: $800 vs $3,100

C. They are equal at $3,100

D. Doubling every 10 years: $3,200 vs $3,100

BACKWARD B1 · concept review — Doubling and repeated doubling

Question 5 of 5 · Knowledge Check

Which statement about compound growth is TRUE?

A. Growth is fastest in the first year

B. Growth is the same number of dollars every year

C. Growth stops after 10 years

D. Growth is faster in later years because the balance is larger

GO DEEPER 1 — Starting early

Question 1 of 5 · Learn and Apply

LEARN

Starting early gives money more years to compound. Someone who saves for a few early years can end up with more than someone who saves much longer but starts later. (These examples assume a steady 7% return; real investment returns vary and are not guaranteed.)

Saver A invests $2,000 a year from age 25 to 34 (10 years), then stops. Saver B invests $2,000 a year from 35 to 64 (30 years). Both earn 7% a year. By 65, A has about $210,000 and B about $189,000. How much did each CONTRIBUTE?

A. A: $210,000; B: $189,000

B. A: $60,000; B: $20,000

C. Both: $40,000

D. A: $20,000; B: $60,000

GO DEEPER 1 — Starting early

Question 2 of 5 · Learn and Apply

LEARN

Compounding rewards time. Money invested earlier has more years for its earnings to earn more.

Saver A contributed $20,000 and ended with about $210,000. Saver B contributed $60,000 and ended with about $189,000. Why did A end with more?

A. A earned a higher rate

B. B paid higher taxes

C. A's money had more years to compound

D. A contributed more money in total than B did

GO DEEPER 1 — Starting early

Question 3 of 5 · Knowledge Check

Saver A contributed $20,000 and ended with about $210,000. About how much of A's $210,000 came from growth rather than contributions?

A. About $190,000

B. About $20,000

C. About $210,000

D. About $230,000

GO DEEPER 1 — Starting early

Question 4 of 5 · Learn and Apply

LEARN

At about 7%, money doubles roughly every 72 ÷ 7 ≈ 10.3 years. Number of doublings = years ÷ doubling time; growth factor = 2^(doublings). Keep the doublings unrounded until the end.

A 17-year-old with a summer job wonders whether saving $500 now matters. Using the Rule of 72 at 7% a year, about what does $500 grow to in 48 years (nearest hundred)?

A. $500

B. $2,200

C. $12,700

D. $16,000

GO DEEPER 1 — Starting early

Question 5 of 5 · Knowledge Check

Which assumption in "start early" examples should a careful reader remember?

A. Returns are guaranteed by the government

B. Every year earns exactly 7%, so results are certain

C. Starting early never matters

D. Real investment returns vary and are not guaranteed

GO DEEPER 2 — The cost of waiting

Question 1 of 5 · Learn and Apply

LEARN

Years to double ≈ 72 ÷ rate. Number of doublings = years invested ÷ years per doubling.

$1,000 invested at 6% for 36 years doubles about how many times (Rule of 72)?

A. 6 times

B. 2 times

C. 3 times

D. 12 times

GO DEEPER 2 — The cost of waiting

Question 2 of 5 · Learn and Apply

LEARN

At a given rate, one fewer doubling period at the end means one fewer doubling: the final balance is about half as large.

$1,000 invested at 6% doubles about every 12 years. Waiting 12 years to invest it, with a fixed retirement date, means ending with about…

A. the same amount

B. twice as much

C. half as much

D. 12% less

GO DEEPER 2 — The cost of waiting

Question 3 of 5 · Knowledge Check

$1,000 grows at 6% for 36 years to about $8,000. If Jen invests the $1,000 at 6% but waits 12 years, so it grows for 24 years, about how much will she have?

A. About $8,000

B. About $2,000

C. About $7,000

D. About $4,000

GO DEEPER 2 — The cost of waiting

Question 4 of 5 · Learn and Apply

LEARN

Savers cannot control market returns, inflation, or interest rates. They can control when they start, how much they save, and how consistently they save.

Which factor does a young saver control MOST?

A. How early and how consistently they save

B. The stock market's yearly return

C. The inflation rate

D. Interest rates set by the Federal Reserve

GO DEEPER 2 — The cost of waiting

Question 5 of 5 · Knowledge Check

Two friends each save $100 a month. One starts at 22, the other at 32. Both stop at 65 and earn the same rate. Which statement is TRUE?

A. The earlier saver will very likely end with much more

B. They will end with the same amount

C. The later saver will end with more

D. Saving monthly removes the effect of starting time completely

SET 27 · Saving, Emergency Funds, and Interest

Savings options: high-yield savings, CDs, and money market accounts

MAIN skill: Choose a savings product by safety, liquidity, and return

Outcome FL.SAVE.27 · National topic: Saving · NJSLS 9.1.12: FI

Learning target: Compare savings products: CDs, money market accounts, and Treasury securities

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Liquidity: how quickly money can be used (5 questions)

Why: Choosing a savings product depends on trading access (liquidity) against return.

B2 · Math link → G7-S10-M (Grade 7 7.RP.A.3): Find simple interest

Why: CD interest and penalties use simple interest over part of a year.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: CD ladders (5 questions)

Go Deeper 2: U.S. Treasury savings options (5 questions)

Practical skills beyond the standards: Building a CD ladder; Buying Treasuries on TreasuryDirect

Content status: time-sensitive

Source: FDIC — Deposit insurance covers deposit products such as CDs and money market deposit accounts; it does not cover money market mutual funds or other investments. https://www.fdic.gov/resources/deposit-insurance/understanding-deposit-insurance

Source: TreasuryDirect (I bonds) — I bonds must be held at least 12 months; if cashed before 5 years, the last 3 months of interest are lost. (This page does not cover Treasury bill rules.) https://www.treasurydirect.gov/savings-bonds/i-bonds/

Source: TreasuryDirect (Buying savings bonds) — New electronic savings bonds (Series EE and I) are bought through TreasuryDirect; marketable Treasury bills, notes, and bonds can also be bought through banks and brokers. https://www.treasurydirect.gov/savings-bonds/buy-a-bond/

MAIN — Choose a savings product by safety, liquidity, and return

Question 1 of 5 · Learn and Apply

LEARN

A certificate of deposit (CD) is a bank or credit union deposit that you agree to leave for a set term, such as 6 months or 5 years. In return, it usually pays a fixed rate. Taking money out before the term ends usually costs an early-withdrawal penalty. CDs are insured deposits up to the legal limit.

What is a certificate of deposit (CD)?

A. A stock that pays the same fixed dividend to owners every month

B. A checking account with free checks

C. A loan that a bank gives to students

D. A deposit left for a set term at a usually fixed rate

MAIN — Choose a savings product by safety, liquidity, and return

Question 2 of 5 · Learn and Apply

LEARN

Early-withdrawal penalties are often stated as a number of days or months of interest. Penalty ≈ principal × rate × (days ÷ 365).

Max's $5,000 CD pays 4.5% simple interest. The penalty for early withdrawal is 90 days of interest. About how much is the penalty (use 365 days in a year)?

A. $4.50

B. $18.49

C. $55.48

D. $225.00

MAIN — Choose a savings product by safety, liquidity, and return

Question 3 of 5 · Learn and Apply

LEARN

A money market deposit account is a bank deposit, insured up to the legal limit. A money market fund is a mutual fund that invests in short-term debt. It aims to keep a stable value but is not FDIC insured and can, rarely, lose value.

Which statement about a money market DEPOSIT account (at a bank) and a money market FUND (at a brokerage) is TRUE?

A. Both are FDIC insured

B. Only the fund is FDIC insured

C. Only the deposit account is FDIC insured

D. Neither can ever lose value, because both are offered by banks

MAIN — Choose a savings product by safety, liquidity, and return

Question 4 of 5 · Learn and Apply

LEARN

Match the product to when you need the money. Money needed on a known date can go in a CD whose term ends by that date. Money you may need any time belongs in a savings account.

Lily will need $3,000 for college fees in exactly 12 months, and she will not touch it before then. Which choice fits best?

A. A 5-year CD with a large early-withdrawal penalty

B. A stock fund, for the highest possible return

C. Her checking account, which pays no interest

D. A 12-month CD at an insured bank

MAIN — Choose a savings product by safety, liquidity, and return

Question 5 of 5 · Knowledge Check

Which choice keeps emergency money BOTH safe and quickly available?

A. A 3-year CD that charges an early-withdrawal penalty

B. A collectible card collection

C. A high-yield savings account at an insured bank

D. A stock index fund

BACKWARD B1 · concept review — Liquidity: how quickly money can be used

Question 1 of 5 · Learn and Apply

LEARN

Liquidity describes how easily and quickly something can be turned into cash you can spend, without losing value. Cash and checking are very liquid; a house is not.

What does "liquidity" mean in personal finance?

A. How quickly money can be used without losing value

B. How much interest an account pays each year, as a percent

C. How much water a bank uses

D. How large an account balance is

BACKWARD B1 · concept review — Liquidity: how quickly money can be used

Question 2 of 5 · Learn and Apply

LEARN

Checking account money can be spent today. Selling a house or car, or ending a CD early, takes time or costs money.

Which is MOST liquid?

A. A house

B. A 5-year certificate of deposit

C. Money in a checking account

D. A car

BACKWARD B1 · concept review — Liquidity: how quickly money can be used

Question 3 of 5 · Learn and Apply

LEARN

Savers usually earn more for accepting less liquidity, such as locking money in a CD for a longer term.

Why do longer-term CDs often pay higher rates than savings accounts?

A. They are not insured

B. Banks are required to pay more on CDs by law

C. CD rates change every day

D. You give up access to the money for longer

BACKWARD B1 · concept review — Liquidity: how quickly money can be used

Question 4 of 5 · Knowledge Check

Which money should be kept the MOST liquid?

A. An emergency fund

B. Savings for retirement in 40 years

C. A college fund for a newborn

D. Money for a house in 10 years

BACKWARD B1 · concept review — Liquidity: how quickly money can be used

Question 5 of 5 · Knowledge Check

A 2-year CD pays 4%; a savings account pays 3.5%. On $1,000 for one year, about how much more does the CD earn?

A. $0.50

B. $5

C. $40

D. $75

GO DEEPER 1 — CD ladders

Question 1 of 5 · Learn and Apply

LEARN

A CD ladder spreads money across CDs with different maturity dates. One CD matures each year, giving regular access to part of the money, and maturing CDs can be reinvested at current rates.

Rosa splits $4,000 into four CDs of $1,000 each, maturing in 1, 2, 3, and 4 years. What is this strategy called?

A. A CD ladder

B. A CD pyramid scheme

C. A savings sweep

D. A money market account

GO DEEPER 1 — CD ladders

Question 2 of 5 · Learn and Apply

LEARN

In a CD ladder, one CD (one "rung") matures each year.

In a 4-rung ladder of $1,000 CDs maturing in years 1–4, how much becomes available each year?

A. $0

B. $250

C. $1,000

D. $4,000

GO DEEPER 1 — CD ladders

Question 3 of 5 · Knowledge Check

Rosa's ladder pays 3.8%, 4.0%, 4.1%, and 4.2% on $1,000 each. What is the total interest in the first year (simple interest)?

A. $40.25

B. $152

C. $161

D. $168

GO DEEPER 1 — CD ladders

Question 4 of 5 · Knowledge Check

Why might a ladder be better than putting all $4,000 in one 4-year CD?

A. A ladder always pays the highest possible rate on every single dollar

B. A ladder has no insurance

C. Part of the money becomes available every year without penalty

D. A ladder avoids all taxes

GO DEEPER 1 — CD ladders

Question 5 of 5 · Knowledge Check

When the 1-year CD matures, rates have risen. What does a typical ladder strategy do?

A. Withdraw it and close the ladder

B. Reinvest it for 1 year only, forever

C. Break the other CDs early so all the money can be reinvested

D. Reinvest it in a new 4-year CD at the higher rate

GO DEEPER 2 — U.S. Treasury savings options

Question 1 of 5 · Learn and Apply

LEARN

Treasury bills are short-term loans to the U.S. government. They are sold at a discount, a price below face value, and pay the full face value at maturity. The difference is the earnings. Treasury securities are backed by the U.S. government.

A $1,000 Treasury bill (T-bill) is bought for $975 and pays $1,000 when it matures. How much does the buyer earn?

A. $2.50

B. $25

C. $975

D. $1,000

GO DEEPER 2 — U.S. Treasury savings options

Question 2 of 5 · Learn and Apply

LEARN

The return as a percent of what you paid = earnings ÷ price × 100.

A T-bill bought for $975 pays $1,000 at maturity, earning $25. What percent of the purchase price is that (nearest hundredth)?

A. 2.50%

B. 2.56%

C. 25.00%

D. 97.50%

GO DEEPER 2 — U.S. Treasury savings options

Question 3 of 5 · Learn and Apply

LEARN

I bonds are U.S. savings bonds whose rate includes an inflation adjustment that changes every six months. They must be held at least 12 months, and cashing them in before 5 years costs the last 3 months of interest.

Series I savings bonds have a rate that adjusts with inflation. What is the main purpose of that feature?

A. To help savings keep up with rising prices

B. To guarantee the bond doubles in value every single year

C. To make the bond a stock investment

D. To avoid any holding period

GO DEEPER 2 — U.S. Treasury savings options

Question 4 of 5 · Learn and Apply

LEARN

I bond rules: they cannot be cashed during the first 12 months, and cashing them in before 5 years forfeits the last 3 months of interest.

Under the rules described for I bonds, what happens if one is cashed after 2 years?

A. All interest is lost

B. Nothing; there is never a penalty

C. The last 3 months of interest are lost

D. It cannot be cashed until it reaches its 30-year final maturity

GO DEEPER 2 — U.S. Treasury savings options

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Individuals can buy marketable Treasury bills, notes, and bonds directly from the U.S. Treasury on its TreasuryDirect website or through a bank or broker. New electronic savings bonds (Series I and EE) are sold through TreasuryDirect.

Where can individuals buy Treasury securities directly from the government?

A. Any social media marketplace

B. A bank's certificate of deposit counter only

C. The FDIC's website

D. TreasuryDirect.gov

SET 28 · Interest, Borrowing, and Debt

Borrowing basics: principal, interest, term, and collateral

MAIN skill: Explain the parts of a loan and compare secured and unsecured borrowing

Outcome FL.DEBT.28 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain the costs and benefits of borrowing and the parts of a loan

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Principal versus interest (5 questions)
  - Why: Every loan question depends on separating the amount borrowed from the cost of borrowing.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Interest is the difference between the total repaid and the principal.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Cosigning and shared responsibility (5 questions)
- Go Deeper 2: Is this loan worth it? (5 questions)

Practical skills beyond the standards: Cosigning risks

Content status: stable

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing

Question 1 of 5 · Learn and Apply

LEARN

Every loan has a principal (the amount borrowed), interest (the cost of borrowing), and a term (how long you have to repay). Total repaid = principal + interest (+ any fees).

Lena borrows $6,000 for 3 years and will repay $6,840 in total. Which amount is the PRINCIPAL?

A. $840

B. $2,280

C. $6,000

D. $6,840

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing

Question 2 of 5 · Learn and Apply

LEARN

The cost of borrowing is everything you repay beyond the amount you borrowed.

For the same kind of loan, Lena borrows $6,000 and repays $6,840 in total over 3 years. What did borrowing cost her?

A. $280

B. $840

C. $6,000

D. $6,840

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing

Question 3 of 5 · Learn and Apply

LEARN

Collateral is property a borrower pledges to a lender. A secured loan is backed by collateral (a car for an auto loan, a home for a mortgage); if the borrower does not repay, the lender can take it. An unsecured loan has no collateral, so lenders usually charge more.

Which loan is SECURED?

A. A credit card with no collateral

B. A personal loan approved based only on the borrower's income

C. A student loan with no collateral

D. An auto loan where the lender can repossess the car

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing

Question 4 of 5 · Learn and Apply

LEARN

Interest rates reflect risk. When a lender cannot take property to recover a loan, it faces more risk of loss and usually charges a higher rate.

Why do unsecured loans usually have HIGHER interest rates than secured loans?

A. The lender has no collateral to take if unpaid

B. Unsecured loans are always for larger amounts

C. Secured loans are interest-free by law

D. Unsecured lenders must pay extra taxes

MAIN — Explain the parts of a loan and compare secured and unsecured borrowing

Question 5 of 5 · Knowledge Check

Which choice is generally a BETTER use of borrowing?

A. A loan for a vacation that will be paid off over five years

B. A cash advance to buy concert tickets

C. A modest loan for training that raises future earnings

D. A loan to cover gambling losses

BACKWARD B1 · concept review — Principal versus interest

Question 1 of 5 · Learn and Apply

LEARN

Principal is the amount borrowed. Interest is the extra amount paid for borrowing. Total repaid = principal + interest.

Jay borrows $500 from a credit union and repays $530. Which is the INTEREST?

A. $30

B. $500

C. $530

D. $1,030

BACKWARD B1 · concept review — Principal versus interest

Question 2 of 5 · Learn and Apply

LEARN

Total repaid = principal + interest.

A loan has a principal of $2,000 and total interest of $240. What is the total repaid?

A. $240

B. $1,760

C. $2,000

D. $2,240

BACKWARD B1 · concept review — Principal versus interest

Question 3 of 5 · Learn and Apply

LEARN

The term of a loan is how long the borrower has to repay it, such as 36 months.

Which word means "the length of time to repay a loan"?

A. Term

B. Principal

C. Collateral

D. Interest

BACKWARD B1 · concept review — Principal versus interest

Question 4 of 5 · Knowledge Check

From a BORROWER'S point of view, what is interest?

A. Money the bank pays the borrower each month on the loan

B. Part of the amount borrowed

C. A government tax on loans

D. The price paid for using someone else's money

BACKWARD B1 · concept review — Principal versus interest

Question 5 of 5 · Knowledge Check

Two loans of $1,000 have the same term. Loan A costs $90 in interest; Loan B costs $150. Which is cheaper?

A. Loan B, because it charges more interest

B. They are equal because the principal is the same

C. Loan A

D. It cannot be told without knowing the lenders' names

GO DEEPER 1 — Cosigning and shared responsibility

Question 1 of 5 · Learn and Apply

LEARN

A cosigner signs a loan along with the borrower and promises to repay it if the borrower does not. The debt can appear on the cosigner's credit report, and late payments can hurt the cosigner's credit.

Maya's older brother asks her to cosign his car loan. What does cosigning mean?

A. Maya is only a reference with no responsibility

B. Maya becomes the owner of the car

C. Maya is legally responsible for the debt if he does not pay

D. Maya pays only if she later signs a second agreement to do so

GO DEEPER 1 — Cosigning and shared responsibility

Question 2 of 5 · Learn and Apply

LEARN

When a cosigned loan goes unpaid, the lender can collect from the cosigner, and the missed payments can be reported on the cosigner's credit report too.

Maya cosigned her brother's car loan. He misses three payments. What can happen to Maya?

A. Her credit can be harmed and the lender can ask her to pay

B. Nothing happens to her, because the car is in her brother's name

C. She automatically owns the car

D. Only her brother's credit is affected

GO DEEPER 1 — Cosigning and shared responsibility

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Financial counselors suggest cosigning only if you could and would repay the whole loan yourself.

Before cosigning, which question is MOST important for Maya to ask herself?

A. Will my brother be grateful to me for helping him out?

B. Will the loan show up only on my brother's credit report?

C. Can I remove my name later whenever I want?

D. Could I afford to make every payment myself?

GO DEEPER 1 — Cosigning and shared responsibility

Question 4 of 5 · Learn and Apply

LEARN

If the borrower stops paying, the lender can collect each scheduled payment from the cosigner.

A cosigned $15,000 loan has payments of $300 a month. If the borrower stops paying, how much would the cosigner owe over the next year?

A. $300

B. $1,500

C. $3,600

D. $15,000

GO DEEPER 1 — Cosigning and shared responsibility

Question 5 of 5 · Knowledge Check

What is a safer way for Maya to help her brother than cosigning?

A. Lend him her debit card PIN

B. Cosign two smaller loans for him instead of one large loan

C. Take out a cash advance for him

D. Help him build credit or save for a larger down payment

GO DEEPER 2 — Is this loan worth it?

Question 1 of 5 · Learn and Apply

LEARN

One way to judge a loan is to compare its total cost with the benefit it creates, such as higher income.

A $3,000 loan for a welding certificate costs $360 in interest. The certificate raises Dan's pay by $4 an hour for 2,000 hours a year. What is the extra pay in the first year?

A. $360

B. $3,000

C. $4,000

D. $8,000

GO DEEPER 2 — Is this loan worth it?

Question 2 of 5 · Learn and Apply

LEARN

When you borrow to pay for something, its true cost is the price plus the interest and fees.

A $2,000 vacation is paid with a 24% loan over 2 years, costing about $540 in interest. What is the trip's total cost?

A. $540

B. $2,000

C. $2,480

D. $2,540

GO DEEPER 2 — Is this loan worth it?

Question 3 of 5 · Knowledge Check

Which question best tests whether a purchase should be financed?

A. Is the monthly payment smaller than my current phone bill?

B. Does the store offer instant approval?

C. Will it be worth more than its total cost by payoff?

D. Will my friends think it is cool?

GO DEEPER 2 — Is this loan worth it?

Question 4 of 5 · Learn and Apply

LEARN

Advertisements often emphasize a low monthly payment. Multiply the payment by the number of payments to find the total.

A store says, "Only $49 a month!" for a $1,200 laptop over 36 months. What is the total paid?

A. $49

B. $1,200

C. $1,470

D. $1,764

GO DEEPER 2 — Is this loan worth it?

Question 5 of 5 · Knowledge Check

Which is generally the cheapest way to buy a $300 bike you need for work?

A. Saving for it over a few months and paying cash

B. Rent-to-own at $15 a week for a year

C. A payday loan

D. A credit card that is paid off slowly over three years

SET 29 · Interest, Borrowing, and Debt

APR and periodic interest rates

MAIN skill: Interpret APR and convert it to monthly and daily periodic rates

Outcome FL.DEBT.29 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain APR and how interest rates and fees affect the cost of credit

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Rates over different time periods (5 questions)
  Why: Students who confuse yearly and monthly rates overstate or understate interest by a factor of 12.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: Periodic rates divide the APR by 12 or 365.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Interest for a period is a percent of the balance.
- B4 · Math link → G7-S01-M (Grade 7 7.RP.A.1): Compute unit rates associated with ratios of fractions
  Why: A periodic rate is a rate per unit of time.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: APR versus APY and effective cost (5 questions)
- Go Deeper 2: Reading a loan disclosure (5 questions)

Practical skills beyond the standards: Reading a Truth in Lending disclosure

Content status: time-sensitive

Source: CFPB (Truth in Lending, Regulation Z) — Lenders must disclose the APR and finance charge; APR expresses the yearly cost of credit, including certain fees. https://www.consumerfinance.gov/rules-policy/regulations/1026/

Source: CFPB (Interest rate vs. APR) — The interest rate is the cost of borrowing the principal; the APR also includes certain fees, so payment math uses the note interest rate, and APR equals that rate only when there are no other finance charges.
https://www.consumerfinance.gov/ask-cfpb/what-is-the-difference-between-a-loan-interest-rate-and-the-apr-en-733/

MAIN — Interpret APR and convert it to monthly and daily periodic rates

Question 1 of 5 · Learn and Apply

LEARN

APR (annual percentage rate) is the yearly cost of credit as a percent. For a loan, it includes the interest rate plus certain fees, so it can be higher than the loan's interest rate. For a credit card, the APR is the yearly interest rate, and the card charges a periodic rate: monthly periodic rate = APR ÷ 12.

A credit card has an 18% APR. If interest is charged monthly, what is the monthly periodic rate?

A. 0.049%

B. 1.5%

C. 18%

D. 216%

MAIN — Interpret APR and convert it to monthly and daily periodic rates

Question 2 of 5 · Learn and Apply

LEARN

Many credit cards use a daily periodic rate = APR ÷ 365 (some use 360). Interest is figured each day on the balance.

A credit card has a 21.9% APR and charges interest daily. What is the daily periodic rate (use 365 days; nearest thousandth of a percent)?

A. 0.060%

B. 0.600%

C. 1.825%

D. 21.900%

MAIN — Interpret APR and convert it to monthly and daily periodic rates

Question 3 of 5 · Learn and Apply

LEARN

Comparing loans by interest rate alone can mislead, because fees add to the cost. APR includes the interest rate and certain fees, which makes it the better number for comparing loans of the same term.

Two $5,000 loans for one year. Each borrower gets the full $5,000 at the start and repays everything at the end of the year. Loan A: 9% interest plus a $150 fee paid at the end. Loan B: 10% interest and no fee. Which has the lower total cost?

A. Loan B: $500 vs $600

B. Loan A: $450 vs $500

C. They cost the same

D. Loan A, because 9% is lower

MAIN — Interpret APR and convert it to monthly and daily periodic rates

Question 4 of 5 · Learn and Apply

LEARN

Interest for one period = balance × periodic rate.

A $1,200 balance has a monthly periodic rate of 2%. How much interest is charged for one month?

A. $2.40

B. $24

C. $240

D. $288

MAIN — Interpret APR and convert it to monthly and daily periodic rates

Question 5 of 5 · Knowledge Check

Which statement about APR is TRUE?

A. It is the monthly payment amount

B. It is set by law, so it is the same at every lender

C. It states the yearly cost of credit as a percent

D. It is the amount still owed on the loan

BACKWARD B1 · concept review — Rates over different time periods

Question 1 of 5 · Learn and Apply

LEARN

A year has 12 months. A yearly rate spread evenly across months is the yearly rate ÷ 12.

A rate is "per year." How is it changed to a rate "per month"?

A. Multiply by 12

B. Divide by 52

C. Leave it the same

D. Divide by 12

BACKWARD B1 · concept review — Rates over different time periods

Question 2 of 5 · Learn and Apply

LEARN

Monthly rate = yearly rate ÷ 12.

A rate of 12% per year equals what rate per month?

A. 0.12%

B. 1%

C. 12%

D. 144%

BACKWARD B1 · concept review — Rates over different time periods

Question 3 of 5 · Learn and Apply

LEARN

Simple yearly rate = monthly rate × 12.

A monthly rate is 1.5%. What is the equivalent simple yearly rate?

A. 0.125%

B. 1.5%

C. 15%

D. 18%

BACKWARD B1 · concept review — Rates over different time periods

Question 4 of 5 · Learn and Apply

LEARN

To compare rates, put them in the same time unit first.

Which is LARGER: 2% per month or 20% per year?

A. 2% per month (24% per year)

B. 20% per year

C. They are equal

D. It cannot be compared

BACKWARD B1 · concept review — Rates over different time periods

Question 5 of 5 · Learn and Apply

LEARN

APR expresses the cost of credit for one full year as a percent, so loans can be compared on the same yearly basis.

What does the "A" in APR stand for?

A. Average

B. Adjusted

C. Approved

D. Annual

GO DEEPER 1 — APR versus APY and effective cost

Question 1 of 5 · Learn and Apply

LEARN

A stated annual rate is a simple yearly figure: monthly rate × 12. If interest is added each month and then charged interest, the effective annual rate (like APY for savings) is higher: (1 + monthly rate)^12 − 1.

A loan charges 1.5% per month, compounded monthly. What is the effective annual rate (nearest tenth of a percent)?

A. 1.5%

B. 16.5%

C. 18.0%

D. 19.6%

GO DEEPER 1 — APR versus APY and effective cost

Question 2 of 5 · Learn and Apply

LEARN

APR is a yearly rate that includes certain fees but leaves out the effect of compounding. APY (or the effective annual rate) includes compounding, so it is higher than the stated rate whenever interest compounds more than once a year. Federal rules require savings to show APY and loans to show APR.

Savings accounts advertise APY, while loans advertise APR. Why might a lender prefer to advertise APR?

A. APR is always higher than APY

B. APR includes all possible fees, making it look higher

C. APR leaves out compounding, so it looks lower

D. APR is used only for savings

GO DEEPER 1 — APR versus APY and effective cost

Question 3 of 5 · Learn and Apply

LEARN

With compounding, interest is charged on interest already added. The effective annual rate = (1 + APR ÷ n)^n − 1, where n is the number of compounding periods in a year.

A credit card has a 24% APR (its daily periodic rate × 365; the card charges no other finance charges) with daily compounding. Is the effective annual rate higher or lower than 24%?

A. Higher

B. Lower

C. Exactly 24%

D. It depends on the credit limit

GO DEEPER 1 — APR versus APY and effective cost

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

The APR of a loan includes the interest rate and certain fees, so loans with the same term can be compared by APR.

Which number should Ali use to compare two personal loans with the same term but different fees?

A. Only the advertised interest rate

B. Only the monthly payment, ignoring the term

C. The lender's customer rating

D. The APR of each loan

GO DEEPER 1 — APR versus APY and effective cost

Question 5 of 5 · Learn and Apply

LEARN

For a simple one-year loan where all of the money is received at the start and everything is repaid at the end, APR = (interest + fees) ÷ amount borrowed × 100. For loans repaid monthly, or with fees taken out of the loan up front, APR needs a fuller calculation.

A $1,000 loan for one year: the borrower receives the full $1,000 at the start and repays it at the end of the year, with 5% interest and a $50 fee also paid at the end. What is its APR?

A. 1.05%

B. 5%

C. 10%

D. 50%

GO DEEPER 2 — Reading a loan disclosure

Question 1 of 5 · Learn and Apply

LEARN

The Truth in Lending Act requires lenders to show key terms before you sign: the APR, the finance charge (the dollar cost of credit), the amount financed, and the total of payments.

A Truth in Lending disclosure shows: Amount financed $8,000; Finance charge $1,620; Total of payments $9,620. What is the finance charge?

A. The full amount of money borrowed: $8,000

B. The total paid: $9,620

C. The dollar cost of the credit: $1,620

D. The monthly payment

GO DEEPER 2 — Reading a loan disclosure

Question 2 of 5 · Learn and Apply

LEARN

When payments are equal, each payment = total of payments ÷ number of payments.

A loan disclosure shows: Amount financed $8,000; Total of payments $9,620; 48 monthly payments. What is each payment (nearest cent)?

A. $33.75

B. $166.67

C. $200.42

D. $240.50

GO DEEPER 2 — Reading a loan disclosure

Question 3 of 5 · Learn and Apply

LEARN

Comparing the finance charge with the amount financed shows how much the credit costs relative to the amount borrowed.

Amount financed $8,000; finance charge $1,620. The finance charge is what percent of the amount financed (nearest tenth)?

A. 2.0%

B. 16.8%

C. 20.3%

D. 120.3%

GO DEEPER 2 — Reading a loan disclosure

Question 4 of 5 · Learn and Apply

LEARN

Federal law (the Truth in Lending Act) requires the disclosure so borrowers see the cost of credit in a standard form.

Why must lenders give this disclosure BEFORE you sign?

A. So you can compare offers and understand the cost

B. So the lender can raise the rate later without telling you

C. Because the IRS requires it for taxes

D. So you can skip reading the contract

GO DEEPER 2 — Reading a loan disclosure

Question 5 of 5 · Learn and Apply

LEARN

A Truth in Lending disclosure lists the APR, finance charge, amount financed, total of payments, and payment schedule.

Which disclosure item is the best single number for comparing loans with the same term?

A. Monthly payment

B. Amount financed

C. APR

D. Total of payments

SET 30 · Interest, Borrowing, and Debt

Installment loans: payments and total cost

MAIN skill: Use loan payments to find total cost, and compare loan terms

Outcome FL.DEBT.30 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Calculate the total cost of an installment loan and compare loan terms

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Payments add up to the total cost (5 questions)
  Why: Total-cost problems require multiplying payments by the number of payments and separating principal from interest.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Total cost multiplies a decimal payment by many months.
- B3 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  Why: Comparing loans subtracts and multiplies money amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: The loan payment formula (5 questions)
- Go Deeper 2: Shopping for an installment loan (5 questions)

Practical skills beyond the standards: Comparing dealer and credit union financing

Content status: stable

Source: CFPB (Interest rate vs. APR) — The interest rate is the cost of borrowing the principal; the APR also includes certain fees, so payment math uses the note interest rate, and APR equals that rate only when there are no other finance charges.
https://www.consumerfinance.gov/ask-cfpb/what-is-the-difference-between-a-loan-interest-rate-and-the-apr-en-733/

MAIN — Use loan payments to find total cost, and compare loan terms

Question 1 of 5 · Learn and Apply

LEARN

An installment loan is repaid in equal scheduled payments, such as monthly car or personal loan payments. Total paid = payment × number of payments. Total interest = total paid − amount borrowed.

A $12,000 car loan at 6% interest (APR 6%; no other finance charges) for 5 years has a monthly payment of $231.99. What is the total of all payments?

A. $2,783.88

B. $12,000.00

C. $12,720.00

D. $13,919.40

MAIN — Use loan payments to find total cost, and compare loan terms

Question 2 of 5 · Knowledge Check

A $12,000 loan is repaid with 60 payments of $231.99. How much interest is paid in total?

A. $231.99

B. $720.00

C. $1,919.40

D. $13,919.40

MAIN — Use loan payments to find total cost, and compare loan terms

Question 3 of 5 · Learn and Apply

LEARN

A longer term lowers the monthly payment but usually raises the total interest, because the balance is outstanding longer.

$15,000 at 7% interest (APR 7%; no other finance charges): a 36-month loan has payments of $463.16; a 72-month loan has payments of $255.74. How much MORE interest does the 72-month loan cost?

A. $207.42

B. $1,673.76

C. $1,739.52

D. $3,413.28

MAIN — Use loan payments to find total cost, and compare loan terms

Question 4 of 5 · Knowledge Check

A 72-month car loan costs more total interest than a 36-month loan for the same amount. Why might someone choose the 72-month loan anyway?

A. It always has a lower total cost because payments are smaller

B. It pays off the car sooner

C. It has no interest

D. Its lower monthly payment fits a tight budget

MAIN — Use loan payments to find total cost, and compare loan terms

Question 5 of 5 · Knowledge Check

Two loans have the same amount and term. Loan X has a 5% APR; Loan Y has an 8% APR. Which has the lower monthly payment?

A. Loan Y

B. They have equal payments

C. It depends on the down payment only

D. Loan X

BACKWARD B1 · concept review — Payments add up to the total cost

Question 1 of 5 · Learn and Apply

LEARN

Equal payments: total paid = payment × number of payments.

A loan has 24 payments of $100. What is the total of payments?

A. $100

B. $124

C. $240

D. $2,400

BACKWARD B1 · concept review — Payments add up to the total cost

Question 2 of 5 · Learn and Apply

LEARN

Interest = total paid − amount borrowed.

If a borrower took $2,000 and pays $2,400 in total, what was the interest?

A. $400

B. $2,000

C. $2,400

D. $4,400

BACKWARD B1 · concept review — Payments add up to the total cost

Question 3 of 5 · Learn and Apply

LEARN

Monthly payments over t years: 12 × t payments.

How many monthly payments are in a 5-year loan?

A. 5

B. 52

C. 60

D. 120

BACKWARD B1 · concept review — Payments add up to the total cost

Question 4 of 5 · Learn and Apply

LEARN

Spreading the same loan over more months makes each payment smaller.

Which term gives LOWER monthly payments for the same loan amount and rate?

A. A shorter term

B. Neither; terms do not affect payments

C. A longer term

D. A term with a higher APR

BACKWARD B1 · concept review — Payments add up to the total cost

Question 5 of 5 · Knowledge Check

A $600 phone is paid in 12 payments of $55. How much more than the price is paid?

A. $55

B. $60

C. $600

D. $660

GO DEEPER 1 — The loan payment formula

Question 1 of 5 · Learn and Apply

LEARN

The standard loan payment formula uses the monthly interest rate r = annual interest rate ÷ 12 (as a decimal) and the number of monthly payments n. Use the loan's interest rate, not an APR that includes fees.

The monthly payment on a loan is M = P · r ÷ (1 − (1 + r)^(−n)), where r is the monthly rate and n is the number of payments. For $10,000 at 6% interest (APR 6%; no other finance charges) for 60 months, what is r?

A. 0.0001

B. 0.005

C. 0.06

D. 0.5

GO DEEPER 1 — The loan payment formula

Question 2 of 5 · Learn and Apply

LEARN

Evaluate the formula with a calculator: compute (1 + r)^(−n) first, then the denominator, then multiply P by r and divide.

Using M = P · r ÷ (1 − (1 + r)^(−n)) with P = $10,000, r = 0.005, and n = 60, what is the monthly payment (nearest cent)?

A. $50.00

B. $166.67

C. $193.33

D. $216.67

GO DEEPER 1 — The loan payment formula

Question 3 of 5 · Learn and Apply

LEARN

Total interest = payment × number of payments − amount borrowed.

An $8,000 loan at 5% interest (APR 5%; no other finance charges) for 48 months has a payment of $184.23. What is the total interest?

A. $184.23

B. $400.00

C. $843.04

D. $1,600.00

GO DEEPER 1 — The loan payment formula

Question 4 of 5 · Learn and Apply

LEARN

With no interest, payments simply divide the principal evenly: P ÷ n.

$5,000 at 10% interest (APR 10%; no other finance charges) for 24 months: the payment is $230.72. If the APR were 0%, what would the payment be (nearest cent)?

A. $208.33

B. $230.72

C. $250.00

D. $5,000.00

GO DEEPER 1 — The loan payment formula

Question 5 of 5 · Learn and Apply

LEARN

A quick check: a loan payment must be more than the principal divided by the number of payments, because interest is added.

A loan payment calculator shows $405.53 for $20,000 at 8% interest (APR 8%; no other finance charges) over 60 months. Which check shows the result is reasonable?

A. It is a bit more than $20,000 ÷ 60 = $333.33

B. It is less than $20,000 ÷ 60

C. It equals 8% of $20,000

D. It is exactly double $20,000 ÷ 60

GO DEEPER 2 — Shopping for an installment loan

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

Getting a loan offer from a bank or credit union before shopping gives you a benchmark. If the dealer offers a better rate, you can take it; if not, you have an alternative.

Before visiting a car dealer, Rosa gets a preapproved loan offer from her credit union. Why is this useful?

A. She can compare it with the dealer's financing offer

B. It locks the car's price

C. It guarantees the lowest possible rate at every dealer anywhere

D. It removes the need to read the contract

GO DEEPER 2 — Shopping for an installment loan

Question 2 of 5 · Learn and Apply

LEARN

Any monthly payment can be reached by stretching the term, which hides the extra interest. Negotiate the price first, then compare financing by APR and total cost.

A dealer says, "What monthly payment do you want?" What risk does focusing on the payment create?

A. The car gets cheaper

B. The APR must drop by law when the loan term gets longer

C. The term can be stretched, raising total interest

D. There is no risk

GO DEEPER 2 — Shopping for an installment loan

Question 3 of 5 · Learn and Apply

LEARN

To compare offers with different terms, compute each total of payments: payment × number of payments.

Offer 1: 4.9% interest for 48 months, payment $230. Offer 2: 6.9% interest for 60 months, payment $198. Neither has other finance charges, so each APR equals its rate. Which costs less in total?

A. Offer 2: $11,880 vs $11,040

B. Offer 2, because its payment is lower

C. They cost exactly the same

D. Offer 1: $11,040 vs $11,880

GO DEEPER 2 — Shopping for an installment loan

Question 4 of 5 · Learn and Apply

LEARN

Some loans charge a fee for paying them off early (a prepayment penalty). Choosing a loan without one lets you save interest by paying it down faster.

Which loan feature lets a borrower pay off early without a penalty?

A. A balloon payment

B. A variable rate

C. No prepayment penalty

D. An extended warranty on the car

GO DEEPER 2 — Shopping for an installment loan

Question 5 of 5 · Learn and Apply

LEARN

A balloon loan has small regular payments followed by a very large final payment. Borrowers who cannot pay the balloon may need to refinance or sell.

A loan has a "balloon payment." What does that mean?

A. A large lump sum is due at the end

B. Payments get smaller and smaller each month

C. The loan has no interest

D. The lender sends a gift

SET 31 · Interest, Borrowing, and Debt

How loan payments pay down a balance: amortization

MAIN skill: Split a loan payment into interest and principal and follow the balance

Outcome FL.DEBT.31 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain how loan payments are applied to interest and principal (amortization)

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Interest is charged on the balance still owed (5 questions)
  - Why: Amortization depends on recalculating interest on the remaining balance each month.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Each month's interest is a percent of the remaining balance.
- B3 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Amortization repeats multiply, subtract, and update steps.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Extra payments (5 questions)
- Go Deeper 2: Reading an amortization schedule (5 questions)

Practical skills beyond the standards: Directing extra payments to principal

Content status: stable

Source: CFPB (Interest rate vs. APR) — The interest rate is the cost of borrowing the principal; the APR also includes certain fees, so payment math uses the note interest rate, and APR equals that rate only when there are no other finance charges.
https://www.consumerfinance.gov/ask-cfpb/what-is-the-difference-between-a-loan-interest-rate-and-the-apr-en-733/

MAIN — Split a loan payment into interest and principal and follow the balance

Question 1 of 5 · Learn and Apply

LEARN

Amortization is paying off a loan with regular payments. Each payment first covers that month's interest (balance × monthly rate); the rest reduces the principal. The interest share is largest at the start and shrinks as the balance falls, so more of each later payment goes to principal. (On a long loan, such as a 30-year mortgage, early payments are mostly interest.)

Dev has a $10,000 loan at 6% interest (APR 6%; no other finance charges) with a $193.33 monthly payment. How much of the FIRST payment is interest?

A. $50.00

B. $143.33

C. $193.33

D. $600.00

MAIN — Split a loan payment into interest and principal and follow the balance

Question 2 of 5 · Learn and Apply

LEARN

Principal paid = payment − interest. New balance = old balance − principal paid.

Dev's loan balance is $10,000. His first payment of $193.33 includes $50.00 of interest. How much reduces the principal, and what is the new balance?

A. $193.33; $9,806.67

B. $50.00; $9,950.00

C. $143.33; $10,143.33

D. $143.33; $9,856.67

MAIN — Split a loan payment into interest and principal and follow the balance

Question 3 of 5 · Learn and Apply

LEARN

Each month, interest is charged on the balance that remains after the previous payment.

Dev's balance after one payment is $9,856.67 at 6% interest (0.5% per month; no other finance charges). How much interest is in the SECOND payment (nearest cent)?

A. $48.57

B. $49.28

C. $50.00

D. $143.33

MAIN — Split a loan payment into interest and principal and follow the balance

Question 4 of 5 · Learn and Apply

LEARN

In an amortizing loan, each payment's interest is figured on a balance that keeps shrinking.

Over the life of an amortizing loan with equal payments, how does the INTEREST part of each payment change?

A. It gets larger over time

B. It stays the same every month

C. It gets smaller over time

D. It is zero until the last year

MAIN — Split a loan payment into interest and principal and follow the balance

Question 5 of 5 · Learn and Apply

LEARN

An amortization schedule lists each payment's interest part, principal part, and remaining balance. Interest is always figured on the balance still owed.

An amortization schedule shows payment 1: interest $50.00, principal $143.33. What will the LAST payment of the loan be mostly?

A. Principal

B. Interest

C. Fees

D. Taxes

BACKWARD B1 · concept review — Interest is charged on the balance still owed

Question 1 of 5 · Learn and Apply

LEARN

One month's interest = balance × monthly rate.

A $2,000 balance has a monthly rate of 1%. What is one month's interest?

A. $2

B. $20

C. $200

D. $2,020

BACKWARD B1 · concept review — Interest is charged on the balance still owed

Question 2 of 5 · Learn and Apply

LEARN

Interest is charged only on what you still owe.

After paying down the balance to $1,500, what is one month's interest at 1%?

A. $1.50

B. $15

C. $20

D. $150

BACKWARD B1 · concept review — Interest is charged on the balance still owed

Question 3 of 5 · Learn and Apply

LEARN

Payment = interest part + principal part.

A $100 payment includes $20 of interest. How much reduces the balance?

A. $20

B. $80

C. $100

D. $120

BACKWARD B1 · concept review — Interest is charged on the balance still owed

Question 4 of 5 · Knowledge Check

Which payment pays off a loan faster?

A. A smaller payment

B. Paying the same amount later in the month

C. Skipping a payment

D. A larger payment

BACKWARD B1 · concept review — Interest is charged on the balance still owed

Question 5 of 5 · Learn and Apply

LEARN

New balance = old balance + interest − payment.

What is the balance after a $500 balance gets $5 of interest and a $105 payment?

A. $390

B. $400

C. $500

D. $610

GO DEEPER 1 — Extra payments

Question 1 of 5 · Learn and Apply

LEARN

An extra payment goes straight to principal. That lowers the balance, so every later month's interest is a little smaller, and the loan ends sooner.

Dev adds $50 extra to principal in month 1 of his $10,000 loan at 0.5% per month. How much interest does this save in month 2?

A. $0.00

B. $0.25

C. $2.50

D. $50.00

GO DEEPER 1 — Extra payments

Question 2 of 5 · Learn and Apply

LEARN

Extra payments on principal reduce the balance faster than the schedule, so later payments carry less interest.

On an amortizing loan with no prepayment penalty, what happens to the loan when extra principal is paid each month?

A. It is paid off sooner, and total interest falls

B. The required monthly payment goes up automatically

C. The interest rate rises

D. Nothing changes

GO DEEPER 1 — Extra payments

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Some lenders apply extra money to future payments unless told otherwise. Telling them to apply it to principal reduces the balance right away.

When making an extra payment, what instruction should a borrower give the lender?

A. Apply it to next month's interest only

B. Hold it as a credit for fees

C. Refund it at the end of the year

D. Apply the extra amount to principal

GO DEEPER 1 — Extra payments

Question 4 of 5 · Knowledge Check

Dev rounds his $193.33 payment up to $200 each month. How much extra principal does he pay in a year?

A. $6.67

B. $80.04

C. $120.00

D. $2,400.00

GO DEEPER 1 — Extra payments

Question 5 of 5 · Learn and Apply

LEARN

The earlier principal is reduced, the more months of interest are avoided.

Which statement about extra payments is TRUE for most amortizing loans with no prepayment penalty?

A. Extra payments only help in the final year

B. Extra payments increase the total interest paid on the loan

C. Extra dollars paid early save more than late ones

D. Extra payments are not allowed

GO DEEPER 2 — Reading an amortization schedule

Question 1 of 5 · Learn and Apply

LEARN

Each row of an amortization schedule shows the payment, its interest part, its principal part, and the balance after the payment.

Row 12 of a schedule shows: payment $193.33, interest $44.22, principal $149.11, balance $8,694.98. How much of payment 12 reduced the debt?

A. $44.22

B. $149.11

C. $193.33

D. $8,694.98

GO DEEPER 2 — Reading an amortization schedule

Question 2 of 5 · Learn and Apply

LEARN

Balance before payment = balance after payment + principal part.

A schedule row shows: interest $44.22, principal $149.11, balance $8,694.98 after the payment. What was the balance before that payment?

A. $8,545.87

B. $8,738.20

C. $8,844.09

D. $8,888.31

GO DEEPER 2 — Reading an amortization schedule

Question 3 of 5 · Learn and Apply

LEARN

Monthly rate = interest for the month ÷ balance.

A schedule shows interest of $44.22 on a balance of $8,844.09 for one month. What monthly rate is that (nearest tenth of a percent)?

A. 0.05%

B. 0.5%

C. 5%

D. 6%

GO DEEPER 2 — Reading an amortization schedule

Question 4 of 5 · Learn and Apply

LEARN

Over the full life of a loan, the principal parts of all payments add up to the amount borrowed.

In a 60-payment schedule for $10,000 at 6% interest (APR 6%; no other finance charges), the total of the interest column is about $1,599.80. What is the total of the principal column?

A. $1,599.80

B. $8,400.20

C. $10,000.00

D. $11,599.80

GO DEEPER 2 — Reading an amortization schedule

Question 5 of 5 · Learn and Apply

LEARN

"Front-loaded" means more of something comes at the beginning.

Which schedule feature shows that a loan is "front-loaded" with interest?

A. The balance rises each month

B. Every payment has an equal amount of interest in it

C. Interest parts are largest in the first payments

D. The last payment is all interest

SET 32 · Interest, Borrowing, and Debt

High-cost credit: payday loans, title loans, rent-to-own, and buy now, pay later

MAIN skill: Calculate and compare the true cost of high-cost credit and identify safer alternatives

Outcome FL.DEBT.32 · National topic: Managing Credit · NJSLS 9.1.12: CDM, FI
Learning target: Compare the costs of high-cost and alternative financial services

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Fees as a cost of borrowing (5 questions)
  Why: High-cost credit hides its price in fees; students must see a fee as part of the cost of borrowing.
- B2 · Math link → G7-S65-M (Grade 7 7.RP.A.3): Find a percent fee and the total with the fee
  Why: High-cost credit charges fees that are percents of the amount borrowed.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Converting a two-week fee into a yearly rate scales a ratio.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing high-cost options with safer ones (5 questions)
- Go Deeper 2: Why people use high-cost credit, and how to respond (5 questions)

Practical skills beyond the standards: Converting fees to APR; Asking creditors for payment plans

Content status: time-sensitive

Source: CFPB — A typical two-week payday loan with a $15 per $100 fee equals an APR of almost 400%.
https://www.consumerfinance.gov/ask-cfpb/what-is-a-payday-loan-en-1567/
Source: CFPB — Car title loans use the vehicle as collateral; borrowers who cannot repay can lose the car.
https://www.consumerfinance.gov/ask-cfpb/what-is-a-car-title-loan-en-831/

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives

Question 1 of 5 · Learn and Apply

LEARN

Payday loans are small, short-term loans, often due on your next payday, with a flat fee. Converting the fee to an APR shows the true yearly cost: APR = (fee ÷ amount borrowed) × (365 ÷ days) × 100.

A payday lender charges a $45 fee to borrow $300 for 14 days. What is the APR (nearest whole percent)?

A. 15%

B. 26%

C. 45%

D. 391%

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives

Question 2 of 5 · Learn and Apply

LEARN

A rollover (or renewal) pays only the fee and extends the loan, so the original amount is still owed. Repeated rollovers can cost more than the original loan.

Instead of repaying, Kim "rolls over" a $300 payday loan four times, paying a $45 fee each time. How much has she paid in fees, and how much does she still owe?

A. $180 in fees; still owes $300

B. $45 in fees; owes nothing

C. $180 in fees; owes nothing

D. $300 in fees; owes $45

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives

Question 3 of 5 · Learn and Apply

LEARN

Rent-to-own lets you use an item while making weekly or monthly payments; you own it only after all payments. The total paid is often far more than the store price.

A rent-to-own store offers a TV for $25 a week for 78 weeks. The same TV sells for $600. How much more does rent-to-own cost?

A. $25

B. $600

C. $1,350

D. $1,950

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives

Question 4 of 5 · Learn and Apply

LEARN

A car title loan is a short-term loan that uses your vehicle as collateral. Fees are high, and if you cannot repay, the lender can repossess the car you may need to get to work.

A car title loan lends Ray $1,000 using his car as collateral, with a 25% monthly fee. What is the biggest risk?

A. The lender pays his insurance while he owes money

B. His credit score will automatically rise

C. The lender will pay off his car loan

D. He could lose the car if he cannot repay

MAIN — Calculate and compare the true cost of high-cost credit and identify safer alternatives

Question 5 of 5 · Learn and Apply

LEARN

Buy now, pay later plans let you split a purchase into a few installments, often with no interest if paid on time. Late fees can apply, several plans at once can be hard to track, and spending can creep up.

Buy now, pay later (BNPL) splits a $200 purchase into 4 payments of $50 every two weeks with no interest. Jo misses two payments and is charged a $7 late fee each time. What does the purchase cost her?

A. $200

B. $207

C. $214

D. $228

BACKWARD B1 · concept review — Fees as a cost of borrowing

Question 1 of 5 · Learn and Apply

LEARN

Fees are part of the cost of borrowing, just like interest. Total repaid = amount borrowed + interest + fees.

A lender charges a $20 fee to borrow $100 for one month. What is the cost of borrowing?

A. $20

B. $100

C. $120

D. $0, because it is a fee not interest

BACKWARD B1 · concept review — Fees as a cost of borrowing

Question 2 of 5 · Learn and Apply

LEARN

Fee as a percent = fee ÷ amount borrowed × 100.

The $20 fee on a $100 one-month loan is what percent of the amount borrowed?

A. 2%

B. 20%

C. 80%

D. 120%

BACKWARD B1 · concept review — Fees as a cost of borrowing

Question 3 of 5 · Learn and Apply

LEARN

A simple yearly rate is the monthly rate × 12.

A short-term loan costs 20% of the amount borrowed per month. If that monthly cost continued all year, about what yearly rate would it be (simple, not compounded)?

A. 12%

B. 20%

C. 32%

D. 240%

BACKWARD B1 · concept review — Fees as a cost of borrowing

Question 4 of 5 · Learn and Apply

LEARN

Credit unions, some banks, and employers offer small-dollar loans or paycheck advances at much lower cost than payday lenders. Asking a creditor for more time or using savings also avoids high fees.

Which is a lower-cost alternative to a payday loan for a $200 emergency?

A. A second payday loan to pay the first

B. A car title loan

C. A rent-to-own purchase

D. A small loan from a credit union

BACKWARD B1 · concept review — Fees as a cost of borrowing

Question 5 of 5 · Knowledge Check

Why are payday loans easy to get but costly?

A. They are free for all first-time borrowers in every state

B. The government pays the fees

C. They require little checking but charge very high fees

D. They lower your other bills

GO DEEPER 1 — Comparing high-cost options with safer ones

Question 1 of 5 · Learn and Apply

LEARN

Comparing the dollar cost of each option over the same time shows how much a lower APR saves.

Option 1: payday loan, $45 fee for $300 for 2 weeks. Option 2: credit union small loan, $300 at 28% APR for 2 weeks (simple interest). About how much does Option 2 cost?

A. $3.22

B. $32.20

C. $45.00

D. $84.00

GO DEEPER 1 — Comparing high-cost options with safer ones

Question 2 of 5 · Learn and Apply

LEARN

A pawn loan uses an item, such as jewelry, as collateral. If the loan is not repaid, the shop keeps and sells the item. Monthly fees add up quickly.

A borrower takes a $500 pawn loan with a $60 monthly fee and repays after 3 months. What is the total cost of the loan?

A. $60

B. $180

C. $560

D. $680

GO DEEPER 1 — Comparing high-cost options with safer ones

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Most payday loans cover regular expenses or small emergencies. Building even a small savings cushion breaks the cycle.

Which question helps someone avoid needing a payday loan next time?

A. How can I build a small emergency fund?

B. Which payday lender has the nicest store?

C. How can I find a lender that checks nothing?

D. How many payday loans can I have at once?

GO DEEPER 1 — Comparing high-cost options with safer ones

Question 4 of 5 · Learn and Apply

LEARN

"Loan stacking" means having several buy now, pay later plans at once. Payments on different schedules are easy to forget.

Jo has four BNPL plans with payments due on different dates. What is the main risk?

A. BNPL plans always charge 30% interest on every purchase

B. BNPL plans raise her credit score with each purchase

C. Losing track and missing payments, adding fees

D. BNPL purchases cannot be returned

GO DEEPER 1 — Comparing high-cost options with safer ones

Question 5 of 5 · Learn and Apply

LEARN

With an installment loan, you own the item when you buy it and repay the lender. With rent-to-own, the store keeps ownership while you make rental payments.

Which feature makes rent-to-own different from a regular purchase on an installment loan?

A. You own the item immediately

B. There is no cost beyond the store's regular price

C. The item is always new

D. You do not own the item until the final payment

GO DEEPER 2 — Why people use high-cost credit, and how to respond

Question 1 of 5 · Learn and Apply

LEARN

Lack of savings, poor access to bank credit, and urgent bills push people toward high-cost credit. Understanding the reasons helps identify better alternatives.

Why do many people turn to payday loans?

A. They need cash quickly and lack savings or other credit

B. Payday loans are usually cheaper than small credit union loans

C. Payday loans improve credit scores with each loan

D. Payday loans have low fees when paid on time

GO DEEPER 2 — Why people use high-cost credit, and how to respond

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Many creditors, including utilities, offer payment plans or hardship programs. Asking costs nothing and can avoid fees.

Ella cannot pay a $150 electric bill on time. Which step should she try BEFORE high-cost credit?

A. Take a title loan on her car

B. Ignore the bill until it goes to collections

C. Take three BNPL plans for groceries

D. Call the utility to ask for a payment plan

GO DEEPER 2 — Why people use high-cost credit, and how to respond

Question 3 of 5 · Learn and Apply

LEARN

Some employers and apps offer earned-wage access or paycheck advances for a small fee. Compare the dollar cost with other options.

An employer offers a paycheck advance of $200 with a $5 fee, repaid from the next paycheck. Compared with a $30 payday fee, how much does it save?

A. $5

B. $25

C. $30

D. $200

GO DEEPER 2 — Why people use high-cost credit, and how to respond

Question 4 of 5 · Learn and Apply

LEARN

States set many of the rules for payday and other small-dollar loans, including rate caps and outright bans.

Which statement about state rules on payday loans is MOST accurate?

A. Every state allows unlimited payday fees

B. Payday loans are illegal everywhere

C. Rules differ by state, and some ban them

D. Only the federal government sets payday rules

GO DEEPER 2 — Why people use high-cost credit, and how to respond

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Unlicensed online lenders and scammers may ask for bank logins to drain accounts. Check that a lender is licensed in your state.

Online "instant cash" sites ask for your bank login to approve a loan. What is the safest response?

A. Never share bank logins with a lender

B. Share it, since approval apps are encrypted

C. Share it, then change the password after the loan arrives

D. Share your PIN instead of the password

SET 33 · Interest, Borrowing, and Debt

Debt-to-income and repayment strategies

MAIN skill: Calculate debt-to-income ratio and choose a debt repayment strategy

Outcome FL.DEBT.33 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Evaluate debt load with DTI and choose debt repayment strategies

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Ratios and percents of income (5 questions)
  Why: DTI is a ratio of payments to income expressed as a percent.
- B2 · Math link → G6-S01-M (Grade 6 6.RP.A.1): Write a ratio that describes the relationship between two quantities
  Why: DTI is a ratio of debt payments to income.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: DTI limits are percents of income.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Avalanche or snowball in practice (5 questions)
- Go Deeper 2: Consolidation and refinancing debt (5 questions)

Practical skills beyond the standards: Debt inventory and payoff plans

Content status: stable

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy

Question 1 of 5 · Learn and Apply

LEARN

Debt-to-income ratio (DTI) compares monthly debt payments with gross monthly income: DTI = total monthly debt payments ÷ gross monthly income × 100. Lenders use DTI to judge whether a borrower can handle more debt.

Amir's gross monthly income is $4,000. His monthly debt payments are a $350 car loan, a $250 student loan, and a $100 credit card minimum. What is his debt-to-income ratio?

A. 5.7%

B. 10.0%

C. 17.5%

D. 7,000%

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy

Question 2 of 5 · Learn and Apply

LEARN

Two common payoff strategies: the avalanche method pays minimums on all debts and puts extra money toward the highest interest rate first (saving the most interest); the snowball method puts extra toward the smallest balance first (quick wins that build motivation).

Debts: Card A $1,200 at 24% APR; Card B $400 at 18% APR; Loan C $3,000 at 7% APR. Under the AVALANCHE method, which debt gets extra payments first?

A. Card B (smallest balance)

B. Loan C (largest balance)

C. Card A (highest APR)

D. All three equally

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy

Question 3 of 5 · Learn and Apply

LEARN

The snowball method pays minimums on all debts and puts every extra dollar toward the smallest balance first.

Three debts: (Card A $1,200 at 24%; Card B $400 at 18%; Loan C $3,000 at 7%), which debt does the SNOWBALL method pay off first?

A. Card A (highest APR)

B. Loan C (lowest APR)

C. Loan C (largest balance)

D. Card B (smallest balance)

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy

Question 4 of 5 · Learn and Apply

LEARN

Paying down a higher-rate debt removes more interest each month: interest avoided ≈ amount × (APR ÷ 12).

In one month, how much more interest does $200 of extra payment save on a 24% APR card than on a 7% APR loan (monthly rate = APR ÷ 12)?

A. $1.17

B. $2.83

C. $4.00

D. $34.00

MAIN — Calculate debt-to-income ratio and choose a debt repayment strategy

Question 5 of 5 · Knowledge Check

A lender prefers DTI below 36%. Amir earns $4,000 gross monthly and already pays $700 in debts. What is the most in additional monthly debt payments he could take on and stay at or below 36%?

A. $700

B. $740

C. $1,440

D. $2,560

BACKWARD B1 · concept review — Ratios and percents of income

Question 1 of 5 · Learn and Apply

LEARN

A ratio compares two quantities. Payments to income = payments ÷ income.

Monthly debt payments are $500 and income is $2,500. What is the ratio of payments to income, as a fraction in simplest form?

A. 5/1

B. 1/25

C. 2/5

D. 1/5

BACKWARD B1 · concept review — Ratios and percents of income

Question 2 of 5 · Learn and Apply

LEARN

To write a fraction as a percent, divide, then multiply by 100.

Write 1/5 as a percent.

A. 0.2%

B. 5%

C. 15%

D. 20%

BACKWARD B1 · concept review — Ratios and percents of income

Question 3 of 5 · Learn and Apply

LEARN

Lenders usually calculate DTI with gross (before-tax) monthly income.

Which income should be used for DTI as lenders usually figure it?

A. Gross monthly income

B. Net income after a vacation

C. Yearly income divided by 52

D. Only bonus income

BACKWARD B1 · concept review — Ratios and percents of income

Question 4 of 5 · Learn and Apply

LEARN

DTI counts payments on debts (loans, credit cards, mortgages or rent in some calculations), not everyday expenses like food.

Which counts as a monthly DEBT payment for DTI?

A. A grocery bill

B. A monthly cell phone bill

C. A student loan payment

D. A movie ticket

BACKWARD B1 · concept review — Ratios and percents of income

Question 5 of 5 · Knowledge Check

If DTI goes from 15% to 40%, what has happened?

A. A larger share of income now goes to debt payments

B. Income has doubled

C. Debt has been paid off, freeing up more of the income

D. Nothing important

GO DEEPER 1 — Avalanche or snowball in practice

Question 1 of 5 · Learn and Apply

LEARN

Avalanche targets the highest rate first; snowball targets the smallest balance first. Sometimes the highest-rate debt is also the smallest, so both choose the same first target.

Lee has $300 a month for debts beyond minimums. Debts: $500 at 22%, $2,000 at 22%, $800 at 10%. His avalanche method breaks ties in rate by choosing the smaller balance. Which first target is the same under both avalanche and snowball?

A. Both pay the $2,000 debt at 22% first

B. Both pay the $800 debt first

C. Both pay the $500 debt at 22% first

D. They disagree on every debt

GO DEEPER 1 — Avalanche or snowball in practice

Question 2 of 5 · Learn and Apply

LEARN

Research on behavior suggests quick wins can help people stick with a plan. The best method is one you will actually follow.

Which reason might lead someone to choose the snowball method even though it can cost more interest?

A. It always saves the most interest

B. Lenders charge lower rates to people who use it

C. It lowers the interest rates on the other debts automatically

D. Paying off small debts quickly keeps them motivated

GO DEEPER 1 — Avalanche or snowball in practice

Question 3 of 5 · Learn and Apply

LEARN

The "rollover" step: when one debt is paid off, its payment is added to the next target, so payments grow like a snowball.

After Card B ($400) is paid off, Lee rolls its $40 minimum plus his $200 extra into the next debt. How much now goes to the next debt each month beyond its own minimum?

A. $40

B. $200

C. $240

D. $440

GO DEEPER 1 — Avalanche or snowball in practice

Question 4 of 5 · Learn and Apply

LEARN

The interest saved by paying one debt instead of another is about the amount × the difference in rates.

Two $1,000 debts: one at 25% APR, one at 5% APR. Paying the 25% debt first instead of the 5% debt avoids roughly how much interest per year on that $1,000?

A. $50

B. $200

C. $250

D. $300

GO DEEPER 1 — Avalanche or snowball in practice

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

A debt inventory, a list of every debt with its balance, rate, and minimum payment, is the starting point for any payoff plan.

Which step should come BEFORE choosing a payoff method?

A. Listing each debt's balance, rate, and minimum

B. Opening a new credit card

C. Skipping minimum payments on the smallest debts for a while

D. Closing all savings accounts

GO DEEPER 2 — Consolidation and refinancing debt

Question 1 of 5 · Learn and Apply

LEARN

Debt consolidation combines several debts into one new loan, ideally at a lower rate. It can lower interest and simplify payments, but only if the new rate is lower and new debt is not added.

Pia combines $6,000 of credit card debt at 23% APR into a personal loan at 11% interest with no other finance charges. About how much interest does this save in the first year (simple estimate on the full balance)?

A. $660

B. $720

C. $1,380

D. $2,040

GO DEEPER 2 — Consolidation and refinancing debt

Question 2 of 5 · Learn and Apply

LEARN

Consolidation moves debt; it does not change spending habits.

After consolidating, Pia keeps using her credit cards and builds new balances. What happens?

A. The loan pays the new card debt automatically

B. Her rate on the cards drops to 11%

C. Her total debt goes down

D. She ends up with the loan AND new card debt

GO DEEPER 2 — Consolidation and refinancing debt

Question 3 of 5 · Learn and Apply

LEARN

An origination fee is a one-time charge for making a loan, often a percent of the loan amount. It adds to the cost and should be included in comparisons.

A consolidation loan has a 5% origination fee on $6,000. How much is the fee?

A. $30

B. $300

C. $3,000

D. $6,300

GO DEEPER 2 — Consolidation and refinancing debt

Question 4 of 5 · Learn and Apply

LEARN

Debt relief companies that sell services by phone generally cannot charge fees until they actually settle or reduce a debt. Up-front fee demands are a warning sign.

Which consolidation offer should raise suspicion?

A. A credit union loan with a stated APR and no prepayment penalty

B. A bank personal loan with a clear fee schedule

C. A company that wants large fees up front to "settle" debts

D. A nonprofit credit counselor offering a free budget review

GO DEEPER 2 — Consolidation and refinancing debt

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Nonprofit credit counseling agencies can review your budget and debts and may offer debt management plans.

Where can someone get free or low-cost help making a debt plan?

A. A payday lender

B. An anonymous social media account offering tips

C. A rent-to-own store

D. A nonprofit credit counseling agency

SET 34 · Interest, Borrowing, and Debt

When debt goes wrong: late payments, collections, and bankruptcy

MAIN skill: Explain the consequences of missed payments and the rights of consumers with debt in collection

Outcome FL.DEBT.34 · National topic: Managing Credit · NJSLS 9.1.12: CDM, CP
Learning target: Consequences of not repaying debt; consumer protections in debt collection

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Due dates, late fees, and minimum payments (5 questions)
  Why: Students must know what a due date and late fee are before reasoning about collections and credit damage.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Comparing fees and payments uses percents.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Dealing with debt collectors (5 questions)
- Go Deeper 2: Long-term consequences and recovery (5 questions)

Practical skills beyond the standards: Responding to a debt collector; Recognizing credit repair scams

Content status: time-sensitive

Source: CFPB (Regulation F, 12 CFR 1006.34) — Debt collectors must provide validation information; a consumer who disputes the debt in writing within the 30-day validation period (which starts on receipt of the validation information) can make the collector pause collection until it sends verification. https://www.consumerfinance.gov/rules-policy/regulations/1006/34/

Source: CFPB — Most negative information stays on credit reports for 7 years; some bankruptcies for up to 10 years. https://www.consumerfinance.gov/ask-cfpb/how-long-does-negative-information-remain-on-my-credit-report-en-323/

Source: CFPB (Regulation Z, 12 CFR 1026.52(b)) — A credit card late fee cannot exceed the minimum payment that was due. https://www.consumerfinance.gov/rules-policy/regulations/1026/52/

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection

Question 1 of 5 · Learn and Apply

LEARN

Consequences of a missed payment build over time. Right after the due date, the issuer can charge a late fee. Once a payment is 30 or more days past due, it can be reported to credit bureaus. Debts left unpaid for months can go to collectors or court.

Ana misses a credit card payment by 10 days. Which consequence is MOST likely first?

A. A fee for paying late

B. Immediate arrest

C. Her wages are garnished the next day

D. A 30-day late mark on her credit report

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection

Question 2 of 5 · Learn and Apply

LEARN

Under federal law, most negative items stay on credit reports for 7 years. Some bankruptcies can stay for up to 10 years. Positive information can stay longer.

A 30-day late payment was reported in March 2020. Under the usual rule for negative items, about when should it drop off Ana's credit report?

A. Around March 2021

B. Around March 2030

C. Around March 2027

D. Never; late payments stay forever

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection

Question 3 of 5 · Learn and Apply

LEARN

The Fair Debt Collection Practices Act gives consumers rights: collectors must provide validation information about the debt, consumers can dispute it, and collectors may not harass, threaten, or lie.

A debt collector calls about an old debt Sam does not recognize. What right does he have?

A. To have the whole debt erased simply by asking for that

B. To make the collector pay him for the call

C. None; collectors can say anything

D. To dispute the debt and receive validation information

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection

Question 4 of 5 · Learn and Apply

LEARN

Collectors may not threaten arrest or legal action they cannot or do not intend to take.

A collector threatens to have Rina arrested over a $400 credit card debt. What is true?

A. This threat is illegal; debt is not a crime

B. She must pay immediately or go to jail

C. Collectors may say anything to get paid

D. Arrest is a normal step for unpaid debts over $300

MAIN — Explain the consequences of missed payments and the rights of consumers with debt in collection

Question 5 of 5 · Learn and Apply

LEARN

Bankruptcy is a federal court process. Chapter 7 can discharge many debts, sometimes after selling some assets; Chapter 13 sets a repayment plan, usually over 3–5 years. Some debts, such as most student loans and child support, are hard or impossible to discharge.

What is bankruptcy?

A. A free way to cancel all debts with no consequences

B. A payment plan arranged by a debt collector

C. A court process to erase or reorganize debts

D. A credit score below 500

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments

Question 1 of 5 · Learn and Apply

LEARN

A due date is the deadline for a payment. Paying after it can bring a late fee and, if very late, other consequences.

A bill says "Due June 15." Ali pays on June 18. What usually happens?

A. He may be charged a late fee

B. Nothing, because three days is close enough

C. The bill is cancelled

D. He earns interest

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments

Question 2 of 5 · Learn and Apply

LEARN

The minimum payment is the smallest amount that keeps an account in good standing that month. It does not pay off the balance.

A card's minimum payment is $35 on a $900 balance. If Ali pays $35, what happens to the rest?

A. It is forgiven

B. It is paid by the card company

C. It must be paid separately in cash at a bank branch

D. It carries over and can be charged interest

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments

Question 3 of 5 · Knowledge Check · Practical how-to

Which habit best prevents missed payments?

A. Paying only when reminded by a collector

B. Waiting for paper bills only

C. Autopay for at least the minimum

D. Paying whatever is left at month end

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments

Question 4 of 5 · Learn and Apply

LEARN

Compare a fee with the payment: fee ÷ payment × 100. Federal rules cap a credit card late fee at the amount of the minimum payment that was missed.

A card charges a $20 late fee when a $25 minimum payment is missed. The fee equals what percent of the minimum payment?

A. 20%

B. 45%

C. 80%

D. 125%

BACKWARD B1 · concept review — Due dates, late fees, and minimum payments

Question 5 of 5 · Knowledge Check · Practical how-to

If you know you will miss a payment, what should you do first?

A. Ignore all calls and letters until the problem passes

B. Open a new card to pay it

C. Contact the lender to ask about options

D. Change your phone number

GO DEEPER 1 — Dealing with debt collectors

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

Consumers can tell a debt collector in writing to stop contacting them. The collector may then contact them only to confirm or to say it will take a specific action, such as filing a lawsuit. The debt itself still exists.

Sam wants a collector to stop calling. Under federal rules, what can he do?

A. Nothing; calls cannot be stopped

B. Pay a fee to stop the calls

C. Ask his bank to block the debt from being collected

D. Ask in writing that it stop contacting him

GO DEEPER 1 — Dealing with debt collectors

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

After a collector first contacts you, it must send validation information. If you dispute the debt in writing within the validation period (generally 30 days), the collector must pause collection until it verifies the debt.

Sam receives a debt validation notice on May 1 and believes the amount is wrong. By about when should he send a written dispute so the collector must verify the debt before continuing?

A. By about May 31

B. By May 4

C. By about November 1

D. Any time, since there is no deadline

GO DEEPER 1 — Dealing with debt collectors

Question 3 of 5 · Learn and Apply

LEARN

Collectors may contact you to collect, but federal law bans harassment, threats, false statements, and unfair practices.

Which collector behavior is prohibited?

A. Calling repeatedly to harass

B. Sending a letter with the amount owed

C. Calling during normal hours to ask for payment

D. Offering a payment plan

GO DEEPER 1 — Dealing with debt collectors

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

The CFPB and state attorneys general accept complaints about debt collection.

Where can someone report a collector who breaks the rules?

A. The collector's own sales and marketing team

B. A social media influencer

C. The CFPB or the state attorney general

D. The IRS

GO DEEPER 1 — Dealing with debt collectors

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

A settlement is an agreement to pay less than the full balance. Get the terms in writing before paying, and keep proof of payment.

A collector offers to settle a $2,000 debt for $1,200. What should Sam get before paying?

A. Nothing; a phone promise is enough

B. A promise over the phone only

C. A new credit card from the collector

D. The settlement agreement in writing

GO DEEPER 2 — Long-term consequences and recovery

Question 1 of 5 · Learn and Apply

LEARN

Most negative items can stay on a credit report for about 7 years. For a collection account, the period is measured from the original delinquency that led to it; selling the debt to a collector does not restart the clock.

Sam's account first became delinquent 3 years ago and later went to collections. Under the usual 7-year rule, measured from that original delinquency, about how many more years will it typically stay on his credit report?

A. About 4 years

B. 7 years

C. 10 years

D. 0 years

GO DEEPER 2 — Long-term consequences and recovery

Question 2 of 5 · Learn and Apply

LEARN

The impact of old negative items fades over time, especially when new on-time payments build a better record.

Which action usually helps a credit report recover over time?

A. Opening many new cards at once

B. Ignoring all mail from creditors

C. Paying a company to erase accurate negatives

D. Making every new payment on time

GO DEEPER 2 — Long-term consequences and recovery

Question 3 of 5 · Learn and Apply

LEARN

You can dispute inaccurate information for free. Accurate negative information generally can stay for the time the law allows. You have no right to demand its removal, and no paid service can guarantee it, although a creditor may sometimes choose to update or remove an item.

A company promises to remove ACCURATE, current negative information from a credit report for $500. What should a consumer know?

A. Paying more guarantees removal

B. It is the only way to fix credit

C. No one can legally force removal of accurate information

D. The credit bureaus require consumers to buy this service

GO DEEPER 2 — Long-term consequences and recovery

Question 4 of 5 · Learn and Apply

LEARN

A statute of limitations limits how long a creditor can sue over a debt. It varies by state, and in some states a payment can restart the clock.

In some states, making a small payment on a very old debt can do what?

A. Erase the debt entirely

B. Guarantee a perfect credit score

C. Make the debt illegal to collect from that point on

D. Restart the time limit for a lawsuit on that debt

GO DEEPER 2 — Long-term consequences and recovery

Question 5 of 5 · Learn and Apply

LEARN

Chapter 13 bankruptcy reorganizes debts: a person with regular income repays creditors through a court-approved plan.

Which statement about Chapter 13 bankruptcy is TRUE?

A. It erases every debt instantly

B. It is the same as a debt management plan from a counselor

C. It sets a court-approved repayment plan, often 3–5 years

D. It has no effect on credit

SET 35 · Credit Cards and Credit Scores

What a credit card is

MAIN skill: Explain how a credit card works: credit limit, revolving balance, and grace period

Outcome FL.CREDIT.35 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain how credit cards work: credit limits, revolving balances, grace periods, and APR

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Credit versus debit (5 questions)
  - Why: The most common credit card misconception is treating credit as one's own money.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Available credit subtracts the balance from the limit.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: What is APR on a credit card? (5 questions)
- Go Deeper 2: Cash advances (5 questions)

Practical skills beyond the standards: Choosing a card by how you will use it

Content status: time-sensitive

Source: CFPB (Credit card key terms) — Explains APR, grace period, minimum payment, and other card terms; statements show a minimum payment warning. https://www.consumerfinance.gov/consumer-tools/credit-cards/answers/key-terms/

Source: CFPB (Regulation Z, 12 CFR 1026.51) — A card applicant under 21 must show independent income or assets enough to make the required payments, or have a cosigner or joint applicant who is 21 or older and able to pay (if the issuer allows it). https://www.consumerfinance.gov/rules-policy/regulations/1026/51/

Source: CFPB (Credit card grace period) — A grace period, if the card offers one, lets you avoid interest on new purchases by paying the full statement balance by the due date; it usually does not apply to cash advances. https://www.consumerfinance.gov/ask-cfpb/what-is-a-grace-period-for-a-credit-card-en-47/

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period

Question 1 of 5 · Learn and Apply

LEARN

A credit card lets you borrow up to a credit limit to make purchases. The card issuer pays the store, and you owe the issuer. Each month you get a statement and can pay the full balance or a smaller amount (at least the minimum). Any unpaid balance "revolves" to the next month, usually with interest.

Leo uses a credit card to buy a $90 jacket. What happens to his money right away?

A. Nothing yet; he now owes the card issuer $90

B. $90 leaves his checking account immediately, as with a debit card

C. The store waits to be paid until Leo pays his bill

D. The jacket is free if he pays the minimum each month

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period

Question 2 of 5 · Learn and Apply

LEARN

The credit limit is the most you can owe on the card at one time. Available credit = credit limit − current balance.

Mia's card has a $1,500 credit limit and a $620 balance. How much more can she charge?

A. $620

B. $880

C. $1,500

D. $2,120

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period

Question 3 of 5 · Learn and Apply

LEARN

Most cards offer a grace period on purchases: if you pay the full statement balance by the due date, you are not charged interest on those purchases. Grace periods usually do not apply to cash advances. The law requires statements to be sent at least 21 days before the due date. Carrying a balance usually ends the grace period until the card is paid in full again.

Ben's card offers a grace period on purchases. He makes only purchases (no cash advances or balance transfers) and pays the full statement balance by the due date every month. How much interest does he pay on purchases?

A. The full APR on every purchase

B. Half the APR, because he pays on time

C. $0

D. $25 a month, the minimum payment

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period

Question 4 of 5 · Learn and Apply

LEARN

Credit comes in two main forms. Installment credit (car loans, student loans) is one amount repaid in fixed payments. Revolving credit (credit cards, lines of credit) can be used again and again up to a limit, with payments that change with the balance.

Which statement describes "revolving" credit?

A. You borrow one fixed amount and repay it on a schedule

B. You can only use it once, then the account closes

C. The balance is paid automatically by the bank

D. You can borrow, repay, and borrow again up to a limit

MAIN — Explain how a credit card works: credit limit, revolving balance, and grace period

Question 5 of 5 · Learn and Apply

LEARN

The Credit CARD Act says applicants under 21 must show independent income or assets enough to make the minimum payments, or have a cosigner or joint applicant who is at least 21 and able to pay, if the issuer allows that.

Jada is 19, has no income, and has no savings or other assets of her own. She applies for a credit card. Under federal law, what does she need?

A. A cosigner or joint applicant 21 or older

B. Only a school ID, because students get automatic approval

C. Nothing; anyone over 18 must be approved

D. A parent's permission slip signed at school

BACKWARD B1 · concept review — Credit versus debit

Question 1 of 5 · Learn and Apply

LEARN

A debit card takes money from your own account. A credit card borrows money you must repay.

With a DEBIT card, where does the money come from?

A. The cardholder's own bank account

B. A loan from the card issuer, repaid next month

C. The store's savings account

D. The government

BACKWARD B1 · concept review — Credit versus debit

Question 2 of 5 · Learn and Apply

LEARN

Every credit card purchase is borrowing. The amount is added to your card balance, which you owe the card issuer.

With a CREDIT card, what does the cardholder create with each purchase?

A. A deposit into savings

B. A gift from the store

C. A reduction in their bank balance right away

D. A debt owed to the card issuer

BACKWARD B1 · concept review — Credit versus debit

Question 3 of 5 · Learn and Apply

LEARN

A credit limit is a borrowing maximum, not money you own.

Sam's credit limit is $2,000. Does that mean he has $2,000 of his own money?

A. Yes; the limit is deposited into his account

B. Yes, but only on weekends

C. No; it is the most he can borrow

D. No; it is the minimum he must spend

BACKWARD B1 · concept review — Credit versus debit

Question 4 of 5 · Learn and Apply

LEARN

Interest is charged on borrowed money that is not repaid on time.

Which payment method can lead to paying INTEREST if the bill is not paid in full?

A. A debit card

B. Cash

C. A credit card

D. A prepaid gift card

BACKWARD B1 · concept review — Credit versus debit

Question 5 of 5 · Learn and Apply

LEARN

Federal law caps your liability for unauthorized credit card charges at $50. Debit card limits depend on how fast you report a problem.

Which card typically has STRONGER federal protection against unauthorized charges?

A. A debit card

B. A store gift card

C. A library card

D. A credit card

GO DEEPER 1 — What is APR on a credit card?

Question 1 of 5 · Learn and Apply

LEARN

A credit card's APR is its yearly interest rate. Interest for about a month ≈ balance × (APR ÷ 12). (Many cards actually figure interest daily.)

A card has a 24% purchase APR. If Kai carries a $500 balance for a whole month, about how much interest is charged (monthly rate = APR ÷ 12)?

A. $1

B. $10

C. $24

D. $120

GO DEEPER 1 — What is APR on a credit card?

Question 2 of 5 · Learn and Apply

LEARN

Cards can have different APRs for purchases, cash advances, and balance transfers, plus a penalty APR that can apply after a late payment, often 60 days late for existing balances.

A card lists several APRs: purchase APR 21.99%, cash advance APR 29.99%, penalty APR 29.99%. When does the PENALTY APR usually apply?

A. After a serious late payment

B. On every purchase made on weekends

C. Only on balance transfers made in the first month

D. Never; it is only shown for decoration

GO DEEPER 1 — What is APR on a credit card?

Question 3 of 5 · Learn and Apply

LEARN

The best card depends on how you use it. If you keep a purchase grace period by always paying in full on time, the APR rarely matters, but fees do.

Two cards, both with a grace period on purchases: Card A 18% APR, $0 annual fee; Card B 15% APR, $95 annual fee. Ana uses the card only for purchases and pays the full statement balance on time every month. Which costs her less?

A. Card B, because 15% is lower than 18%

B. They cost the same

C. Card B, because annual fees are refunded

D. Card A, because she pays no interest

GO DEEPER 1 — What is APR on a credit card?

Question 4 of 5 · Learn and Apply

LEARN

Under the Credit CARD Act, issuers generally must give 45 days' notice before a significant change such as a higher APR on new purchases.

Maya's card issuer plans to raise the APR on new purchases starting July 1. Under the CARD Act, by about when must she receive notice?

A. By June 24

B. By June 30

C. By about May 17

D. Notice is not required before the change

GO DEEPER 1 — What is APR on a credit card?

Question 5 of 5 · Learn and Apply

LEARN

Daily interest = balance × (APR ÷ 365).

A 24% APR card charges interest daily on a $500 balance. About what is the daily interest (APR ÷ 365)?

A. $0.03

B. $0.33

C. $3.29

D. $10.00

GO DEEPER 2 — Cash advances

Question 1 of 5 · Learn and Apply

LEARN

A cash advance means using your credit card to get cash (at an ATM or bank). It is borrowing. Cash advances usually have a fee, a higher APR, and no grace period: interest starts right away.

A cash advance is...

A. borrowing cash against your credit card

B. withdrawing your own savings with a debit card

C. a free bonus paid by the card issuer

D. a refund of a returned purchase

GO DEEPER 2 — Cash advances

Question 2 of 5 · Learn and Apply

LEARN

Cash advance fees are often the larger of a percent of the amount or a minimum dollar amount.

Tom takes a $200 cash advance. The fee is 5% (minimum $10). What is the fee?

A. $5

B. $10

C. $20

D. $200

GO DEEPER 2 — Cash advances

Question 3 of 5 · Learn and Apply

LEARN

Interest on a cash advance starts the day it is taken. Interest ≈ amount × (APR ÷ 365) × days.

A $400 cash advance has a 5% fee and a 29.99% APR with no grace period. About how much interest accrues in 30 days (daily rate = APR ÷ 365)?

A. $0

B. $9.86

C. $20.00

D. $119.96

GO DEEPER 2 — Cash advances

Question 4 of 5 · Learn and Apply

LEARN

The total cost of a cash advance includes both the fee and the interest.

Tom's $400 cash advance cost a $20 fee plus about $9.86 of interest after 30 days. What was the total cost?

A. $9.86

B. $20.00

C. $29.86

D. $429.86

GO DEEPER 2 — Cash advances

Question 5 of 5 · Knowledge Check

Which is usually a cheaper way to get $100 cash quickly than a credit card cash advance?

A. Taking a cash advance on two cards instead of one

B. A payday loan

C. A title loan

D. Withdrawing from your own savings or checking

SET 36 · Credit Cards and Credit Scores

Reading a credit card statement

MAIN skill: Read a credit card statement and decide how much to pay and when

Outcome FL.CREDIT.36 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Read a credit card statement and explain the cost of making only minimum payments

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Due dates, balances, and payments on a bill (5 questions)
  - Why: Reading a statement requires telling apart the balance, the minimum, and the due date.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Carried balances subtract payments from the statement balance.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Disputing a credit card billing error (5 questions)
- Go Deeper 2: Statement dates and payment timing (5 questions)

Practical skills beyond the standards: Reading a card statement line by line; Disputing a billing error

Content status: time-sensitive

Source: CFPB (Credit card key terms) — Explains APR, grace period, minimum payment, and other card terms; statements show a minimum payment warning. https://www.consumerfinance.gov/consumer-tools/credit-cards/answers/key-terms/

Source: CFPB (Credit card grace period) — A grace period, if the card offers one, lets you avoid interest on new purchases by paying the full statement balance by the due date; it usually does not apply to cash advances. https://www.consumerfinance.gov/ask-cfpb/what-is-a-grace-period-for-a-credit-card-en-47/

MAIN — Read a credit card statement and decide how much to pay and when

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

A credit card statement lists the previous balance, payments, new purchases, fees, interest, the new (statement) balance, the minimum payment, and the due date. Paying the full statement balance by the due date avoids interest on purchases (the grace period).

Credit card statement (closing date May 20): Previous balance $640.00 | Payments −$640.00 | Purchases +$412.75 | Fees $0.00 | Interest charged $0.00 | New balance $412.75 (purchases only; no cash advances) | Minimum payment due $25.00 | Payment due date June 15 | Purchase APR 22.99% | Grace period on purchases: yes, when the statement balance is paid in full by the due date
How much must Rosa pay by June 15 to avoid ANY interest on these purchases?

A. $25.00

B. $387.75

C. $412.75

D. $640.00

MAIN — Read a credit card statement and decide how much to pay and when

Question 2 of 5 · Learn and Apply

LEARN

The minimum payment due is the smallest amount that avoids a late fee that month. Paying only the minimum leaves the rest of the balance owed, and interest is charged on it.

Credit card statement (closing date May 20): Previous balance $640.00 | Payments −$640.00 | Purchases +$412.75 | Fees $0.00 | Interest charged $0.00 | New balance $412.75 (purchases only; no cash advances) | Minimum payment due $25.00 | Payment due date June 15 | Purchase APR 22.99% | Grace period on purchases: yes, when the statement balance is paid in full by the due date
What is the LEAST Rosa can pay by June 15 and keep her account in good standing?

A. $0.00

B. $25.00

C. $412.75

D. $640.00

MAIN — Read a credit card statement and decide how much to pay and when

Question 3 of 5 · Knowledge Check

Credit card statement (closing date May 20): Previous balance $640.00 | Payments −$640.00 | Purchases +$412.75 | Fees $0.00 | Interest charged $0.00 | New balance $412.75 (purchases only; no cash advances) | Minimum payment due $25.00 | Payment due date June 15 | Purchase APR 22.99% | Grace period on purchases: yes, when the statement balance is paid in full by the due date

If Rosa pays only the $25 minimum, what balance carries into next month before interest?

A. $387.75

B. $412.75

C. $437.75

D. $615.00

MAIN — Read a credit card statement and decide how much to pay and when

Question 4 of 5 · Learn and Apply

LEARN

When the previous statement balance was paid in full by its due date, new purchases usually get a grace period, so no purchase interest appears on the next statement.

Credit card statement (closing date May 20): Previous balance $640.00 | Payments −$640.00 | Purchases +$412.75 | Fees $0.00 | Interest charged $0.00 | New balance $412.75 (purchases only; no cash advances) | Minimum payment due $25.00 | Payment due date June 15 | Purchase APR 22.99% | Grace period on purchases: yes, when the statement balance is paid in full by the due date
The statement shows "Interest charged $0.00." Why?

A. Paying the last balance in full kept the grace period

B. Her card has no interest rate at all

C. Interest is only charged in June

D. The card issuer forgot to add this month's interest charge

MAIN — Read a credit card statement and decide how much to pay and when

Question 5 of 5 · Learn and Apply

LEARN

Federal law requires statements to show how long it would take to pay off the balance making only minimum payments, and the total cost, compared with a payment that pays it off in 3 years.

A statement's "minimum payment warning" says paying only the minimum will take 9 years and cost $2,100 in total on a $1,000 balance. What does this tell the cardholder?

A. The minimum payment is always the best choice

B. The remaining balance will be forgiven after 9 years

C. The minimum route costs far more and takes longer

D. The interest rate will drop to 0%

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill

Question 1 of 5 · Learn and Apply

LEARN

The due date is the deadline for the payment. Paying after it can bring late fees and other consequences.

On a bill, what is the "due date"?

A. The deadline to make a payment

B. The date the purchase was made

C. The date the card expires

D. The day interest is waived forever

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill
Question 2 of 5 · Learn and Apply

LEARN
The balance is the total owed. Paying the full balance clears the debt.

A bill shows a balance of $300 and a minimum payment of $25. Which payment pays it off?

A. $25
B. $275
C. $300
D. $325

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill
Question 3 of 5 · Learn and Apply

LEARN
The new balance (statement balance) is everything owed as of the closing date.

Which number on a statement is the total amount owed at closing?

A. The minimum payment due this month
B. The credit limit
C. The new (statement) balance
D. The APR

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill

Question 4 of 5 · Knowledge Check

A $412.75 balance is paid with $100. What remains?

A. $100.00

B. $312.75

C. $412.75

D. $512.75

BACKWARD B1 · concept review — Due dates, balances, and payments on a bill

Question 5 of 5 · Knowledge Check · Practical how-to

Why read every line of a card statement?

A. Because statements are entertainment

B. Because reading lowers the APR

C. Because the minimum payment changes once you read it

D. To catch errors, unauthorized charges, and fees

GO DEEPER 1 — Disputing a credit card billing error

Question 1 of 5 · Learn and Apply

LEARN

The Fair Credit Billing Act lets you dispute billing errors on credit card statements, such as charges for goods not received, returned items not credited, or wrong amounts. Send a written dispute within 60 days after the statement with the error was sent.

Ana sees a $59 charge on her card statement for an item she returned. Under the Fair Credit Billing Act, how long does she generally have to dispute it in writing?

A. 60 days after the statement was sent

B. Within 2 business days after the purchase

C. 1 year after the purchase

D. There is no time limit

GO DEEPER 1 — Disputing a credit card billing error

Question 2 of 5 · Learn and Apply

LEARN

During a billing dispute, you can withhold payment of the disputed amount (and related charges) but must pay the undisputed part of the bill.

While Ana's $59 billing dispute is investigated, what must she pay?

A. Nothing at all on the whole account until it is settled

B. The disputed $59 first

C. A $59 dispute fee

D. The rest of the bill, but not the disputed $59

GO DEEPER 1 — Disputing a credit card billing error

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Your statement lists where to send billing questions. A written dispute to that address protects your rights under the Fair Credit Billing Act.

Where should Ana send a billing-error dispute?

A. To the store's social media page

B. To the IRS

C. The issuer's billing-inquiries address

D. To the three credit bureaus, but not the issuer

GO DEEPER 1 — Disputing a credit card billing error

Question 4 of 5 · Knowledge Check

Which situation is a billing error Ana can dispute?

A. She regrets buying a jacket she wore

B. She forgot she made a purchase but did make it

C. She was charged twice for one purchase

D. She wishes the APR were lower

GO DEEPER 1 — Disputing a credit card billing error

Question 5 of 5 · Learn and Apply

LEARN

For unauthorized credit card charges, federal law caps your liability at $50. Many issuers offer $0 liability as a policy.

A fraudulent $300 charge appears on Ana's credit card. Under federal law, what is the most she can be held responsible for?

A. $300

B. $500

C. $0 in every case by law

D. $50

GO DEEPER 2 — Statement dates and payment timing

Question 1 of 5 · Learn and Apply

LEARN

The closing date ends a billing cycle. Purchases after the closing date appear on the next statement.

A statement closes May 20, and payment is due June 15. Rosa makes a $200 purchase on May 22. On which statement will it first appear?

A. The statement that closes June 20

B. The statement that closed May 20

C. It will never appear

D. A separate bill mailed the next day

GO DEEPER 2 — Statement dates and payment timing

Question 2 of 5 · Learn and Apply

LEARN

The legal minimum time between mailing a statement and its due date is 21 days.

How many days are there from a May 20 closing date to a June 15 due date?

A. 26 days

B. 21 days

C. 15 days

D. 31 days

GO DEEPER 2 — Statement dates and payment timing

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

A payment counts when the issuer receives it. Paying a few days early avoids late fees from processing delays.

Rosa's payment is due June 15. Her bank says online payments take 1–2 business days to arrive. When should she pay to be safe?

A. On June 16

B. Exactly at 11:59 p.m. on June 15, the last minute

C. Any time in June

D. A few business days before June 15

GO DEEPER 2 — Statement dates and payment timing

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Most card issuers let you set autopay for the minimum, a fixed amount, or the full statement balance. Autopay lowers the risk of a late payment, but it still depends on enough money in the account and the payment going through, so check statements each month.

Leo has enough money in checking each month and wants the best chance of never paying a late fee or purchase interest. Which autopay setting fits best?

A. Autopay for the minimum payment only, every month

B. Autopay for $10 a month

C. Autopay for the full statement balance

D. No autopay, paying when remembered

GO DEEPER 2 — Statement dates and payment timing

Question 5 of 5 · Learn and Apply

LEARN

The grace period on new purchases usually applies only when the previous statement balance was paid in full.

If Rosa pays $300 toward a $412.75 statement balance, what happens to the grace period on new purchases?

A. It stays the same, since she paid more than the minimum

B. It doubles

C. It applies only to purchases over $100

D. It is usually lost until she pays a full balance again

SET 37 · Credit Cards and Credit Scores

How credit card interest is calculated

MAIN skill: Calculate credit card interest using the daily periodic rate and the average daily balance

Outcome FL.CREDIT.37 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Calculate credit card interest and explain how payment timing affects it

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Weighted averages and daily rates (5 questions)
  Why: Average daily balance is a weighted average; students who average only the listed balances get it wrong.
- B2 · Math link → G6-S77-M (Grade 6 6.SP.B.5.c): Find the mean of a data set
  Why: Average daily balance is a (weighted) mean of daily balances.
- B3 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: The daily periodic rate divides the APR by 365.
- B4 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Interest multiplies the ADB, the daily rate, and the days.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Interest on a carried balance, month after month (5 questions)
- Go Deeper 2: How payments are applied to different APRs (5 questions)

Practical skills beyond the standards: Average daily balance calculation

Content status: time-sensitive

Source: CFPB (Credit card key terms) — Explains APR, grace period, minimum payment, and other card terms; statements show a minimum payment warning. https://www.consumerfinance.gov/consumer-tools/credit-cards/answers/key-terms/

Source: CFPB (Credit card grace period) — A grace period, if the card offers one, lets you avoid interest on new purchases by paying the full statement balance by the due date; it usually does not apply to cash advances. https://www.consumerfinance.gov/ask-cfpb/what-is-a-grace-period-for-a-credit-card-en-47/

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance

Question 1 of 5 · Learn and Apply

LEARN

Most credit cards charge interest using a daily periodic rate (DPR): DPR = APR ÷ 365. Interest for a billing cycle ≈ average daily balance × DPR × number of days in the cycle.

A card has a 21.9% APR. What is the daily periodic rate (APR ÷ 365) as a percent?

A. 0.06%

B. 0.6%

C. 1.825%

D. 21.9%

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance

Question 2 of 5 · Learn and Apply

LEARN

The average daily balance (ADB) is the sum of each day's balance divided by the number of days in the cycle. When balances last different numbers of days, weight each balance by its days.

In a 30-day cycle, a card balance is $500 for 10 days, $800 for 10 days (after a $300 purchase), and $600 for 10 days (after a $200 payment). What is the average daily balance?

A. $600.00

B. $633.33

C. $650.00

D. $1,900.00

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance

Question 3 of 5 · Learn and Apply

LEARN

Interest for a billing cycle = average daily balance × (APR ÷ 365) × days in the cycle.

Using an average daily balance of $633.33, a 21.9% APR, and a 30-day cycle, what is the interest charge (nearest cent)?

A. $0.38

B. $11.40

C. $11.56

D. $138.70

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance

Question 4 of 5 · Learn and Apply

LEARN

With the average daily balance method, the balance on every day of the cycle counts, so the timing of payments and purchases matters.

A card figures interest on the average daily balance. In a 30-day cycle, Ivy carries a balance and makes a $200 payment. How would paying on day 11 instead of day 21 change that cycle's interest?

A. Lower it, because the balance is lower for more days

B. Raise it, because payments add interest

C. No change at all, because only the ending balance matters

D. Double it

MAIN — Calculate credit card interest using the daily periodic rate and the average daily balance

Question 5 of 5 · Knowledge Check

Which choice is the daily periodic rate for a 18.25% APR card?

A. 0.05%

B. 0.5%

C. 1.52%

D. 18.25%

BACKWARD B1 · concept review — Weighted averages and daily rates

Question 1 of 5 · Learn and Apply

LEARN

A weighted average multiplies each value by how long it lasts, adds, then divides by the total time.

A balance is $100 for 20 days and $400 for 10 days. Which calculation gives the average daily balance over 30 days?

A. (100 + 400) ÷ 2

B. (100 + 400) ÷ 30

C. (100 × 20 + 400 × 10) ÷ 30

D. 100 × 20 + 400 × 10

BACKWARD B1 · concept review — Weighted averages and daily rates

Question 2 of 5 · Learn and Apply

LEARN

Average daily balance = (balance × days, added for each period) ÷ total days.

What is the average daily balance in that example (a balance of $100 for 20 days and $400 for 10 days)?

A. $16.67

B. $200

C. $250

D. $6,000

BACKWARD B1 · concept review — Weighted averages and daily rates

Question 3 of 5 · Learn and Apply

LEARN

Daily rate = APR ÷ 365.

An APR of 36.5% is how much per day (APR ÷ 365)?

A. 0.1%

B. 1%

C. 3.04%

D. 36.5%

BACKWARD B1 · concept review — Weighted averages and daily rates

Question 4 of 5 · Learn and Apply

LEARN

Interest = balance × daily rate × days.

A balance of $1,000 at 0.1% per day for 30 days earns about how much interest (simple)?

A. $1

B. $3

C. $30

D. $300

BACKWARD B1 · concept review — Weighted averages and daily rates
Question 5 of 5 · Knowledge Check

Which lowers a cycle's interest the MOST, if the amount is the same?

A. Paying early in the cycle
B. Paying on the last day of the cycle
C. Making purchases early in the cycle
D. Paying after the due date

GO DEEPER 1 — Interest on a carried balance, month after month

Question 1 of 5 · Learn and Apply

LEARN

When a balance is carried and not paid, interest is added to the balance, and next month interest is charged on the larger balance (compounding).

Ivy carries $1,000 at 24% APR and makes no payments or purchases. About how much interest is added after one month (APR ÷ 12)?

A. $2

B. $20

C. $24

D. $240

GO DEEPER 1 — Interest on a carried balance, month after month

Question 2 of 5 · Learn and Apply

LEARN

With monthly compounding, each month's interest is figured on the balance including earlier interest.

Ivy carries $1,000 at 2% per month with no payments or purchases. What is the balance after two months of compounding?

A. $1,020.00

B. $1,040.00

C. $1,040.40

D. $1,480.00

GO DEEPER 1 — Interest on a carried balance, month after month

Question 3 of 5 · Knowledge Check

After 12 months at 2% per month with no payments, what is a $1,000 balance (nearest cent)?

A. $1,024.00

B. $1,200.00

C. $1,240.00

D. $1,268.24

GO DEEPER 1 — Interest on a carried balance, month after month

Question 4 of 5 · Learn and Apply

LEARN

Effective annual rate = (1 + monthly rate)^12 − 1.

What effective annual rate does 2% per month compounded produce (nearest tenth of a percent)?

A. 2.0%

B. 24.0%

C. 26.8%

D. 28.0%

GO DEEPER 1 — Interest on a carried balance, month after month

Question 5 of 5 · Knowledge Check

Why does a carried credit card balance grow even without new purchases?

A. Card issuers add a monthly bonus

B. The credit limit grows

C. Interest is added and then charged interest itself

D. The APR rises a little every month under federal law

GO DEEPER 2 — How payments are applied to different APRs

Question 1 of 5 · Learn and Apply

LEARN

When a card has balances with different APRs, the Credit CARD Act requires issuers to apply payments above the minimum to the balance with the highest APR first. The minimum itself can be applied however the issuer chooses.

A card has $1,000 at a 0% promotional APR and $500 at a 22% purchase APR. Ella pays $300, of which $40 is the minimum. Under federal rules, where must the amount ABOVE the minimum go?

A. To the 0% balance first

B. Split evenly between both

C. To fees only

D. To the 22% balance first

GO DEEPER 2 — How payments are applied to different APRs

Question 2 of 5 · Learn and Apply

LEARN

The issuer may apply the minimum payment as it chooses, but payments above the minimum must be applied to the highest-APR balance first (with some exceptions for deferred-interest balances near their end date).

Ella's card has $1,000 at a 0% promotional APR and $500 at a 22% purchase APR. She pays $300; her minimum payment is $40. Federal rules say any amount above the minimum must go to the highest-APR balance first. At least how much of her payment goes toward the 22% balance?

A. $40

B. $150

C. $260

D. $300

GO DEEPER 2 — How payments are applied to different APRs

Question 3 of 5 · Knowledge Check

Why does this payment rule help cardholders?

A. It raises the promotional rate

B. It removes the minimum payment

C. It lets card issuers charge more interest on old balances

D. It reduces the most expensive balance first

GO DEEPER 2 — How payments are applied to different APRs

Question 4 of 5 · Learn and Apply

LEARN

Monthly interest on a carried balance ≈ balance × (APR ÷ 12).

Ella's $500 at 22% APR is paid off. About how much interest per month does that save compared with carrying it (APR ÷ 12)?

A. $0.92

B. $9.17

C. $22.00

D. $110.00

GO DEEPER 2 — How payments are applied to different APRs

Question 5 of 5 · Knowledge Check

Which balance should a cardholder target first with extra payments, if allowed to choose?

A. The newest balance

B. The balance that is oldest, regardless of rate

C. The highest-APR balance

D. The 0% balance

SET 38 · Credit Cards and Credit Scores

The minimum payment trap

MAIN skill: Compare the cost of paying the minimum with paying more each month

Outcome FL.CREDIT.38 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Explain the cost of paying only the minimum and plan to repay credit card debt

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: A payment is split between interest and balance (5 questions)
  Why: The trap makes sense only when students see how little of a minimum payment reduces the balance.
- B2 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  Why: Minimum payments combine percent, interest, and subtraction steps.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Minimums and interest are percents of the balance.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Building a payoff plan (5 questions)
- Go Deeper 2: Credit card statement detective (5 questions)

Practical skills beyond the standards: Building a fixed-payment payoff plan

Content status: stable

MAIN — Compare the cost of paying the minimum with paying more each month

Question 1 of 5 · Learn and Apply

LEARN

Many cards set the minimum payment as a small percent of the balance plus the month's interest, with a dollar floor such as $25. A small minimum keeps the account current but pays off the balance very slowly.

Kai owes $3,000 at 20% APR. His card's minimum payment is the greater of $25 or 1% of the balance plus that month's interest. What is his first minimum payment?

A. $25

B. $30

C. $50

D. $80

MAIN — Compare the cost of paying the minimum with paying more each month

Question 2 of 5 · Learn and Apply

LEARN

Each payment first covers that month's interest; only the rest reduces the balance.

Of Kai's first $80 minimum payment on a $3,000 balance at 20% APR, how much actually reduces the balance?

A. $0

B. $30

C. $50

D. $80

MAIN — Compare the cost of paying the minimum with paying more each month

Question 3 of 5 · Learn and Apply

LEARN

Because minimum payments shrink as the balance shrinks (until they reach the dollar floor), paying only the minimum can take many years.

Kai owes $3,000 at 20% APR (interest figured monthly). His minimum is the greater of $25 or 1% of the balance plus that month's interest, and the last payment just clears the balance. Paying only the minimum, a computer model shows payoff takes 176 months and costs $6,983.44 in total. About how many years is that?

A. About 14.7 years

B. About 1.8 years

C. About 176 years

D. About 3 years

MAIN — Compare the cost of paying the minimum with paying more each month

Question 4 of 5 · Learn and Apply

LEARN

Paying a fixed amount above the minimum shortens payoff time and cuts total interest dramatically.

Kai owes $3,000 at 20% APR (interest figured monthly). Paying only the minimum (the greater of $25 or 1% of the balance plus interest), he pays $6,983.44 in total. Paying a fixed $150 a month instead, he pays $3,679.82. How much interest does the $150 plan save?

A. $679.82

B. $3,000.00

C. $3,303.62

D. $3,983.44

MAIN — Compare the cost of paying the minimum with paying more each month

Question 5 of 5 · Knowledge Check

Which statement about minimum payments is TRUE?

A. They avoid late fees but repay very slowly

B. They pay off the whole balance in about a year

C. They are the cheapest way to repay

D. They stop interest from being charged

BACKWARD B1 · concept review — A payment is split between interest and balance

Question 1 of 5 · Learn and Apply

LEARN

Each payment first covers the month's interest. The remainder reduces what you owe.

A $40 payment includes $25 of interest. How much goes to the balance?

A. $15

B. $25

C. $40

D. $65

BACKWARD B1 · concept review — A payment is split between interest and balance

Question 2 of 5 · Learn and Apply

LEARN

Monthly interest ≈ balance × APR ÷ 12.

A $2,000 balance at 18% APR. What is one month's interest (APR ÷ 12)?

A. $3

B. $18

C. $30

D. $360

BACKWARD B1 · concept review — A payment is split between interest and balance

Question 3 of 5 · Learn and Apply

LEARN

Paying only the interest leaves the principal unchanged.

If the payment equals the month's interest exactly, what happens to the balance?

A. It goes to zero

B. It is cut in half

C. It stays the same

D. It doubles

BACKWARD B1 · concept review — A payment is split between interest and balance
Question 4 of 5 · Knowledge Check

Which payment reduces a $1,000 balance the most if interest is $15 this month?

A. $15
B. $25
C. $50
D. $200

BACKWARD B1 · concept review — A payment is split between interest and balance

Question 5 of 5 · Knowledge Check

Why do small minimum payments make repayment slow?

A. The card issuer ignores payments below a set amount

B. Balances are not reduced by law

C. Minimums are paid to the store

D. Most of each payment goes to interest

GO DEEPER 1 — Building a payoff plan

Question 1 of 5 · Learn and Apply

LEARN

A fixed payment that is higher than the minimum sets a clear payoff date. Small increases in the payment can save a lot of interest.

A computer model shows $3,000 at 20% APR is paid off in 42 months at $100 a month (total paid $4,193.50) or 25 months at $150 a month (total paid $3,679.82). How much more interest does the $100 plan cost than the $150 plan?

A. $50.00

B. $513.68

C. $679.82

D. $1,193.50

GO DEEPER 1 — Building a payoff plan

Question 2 of 5 · Learn and Apply

LEARN

At 0% interest, payment = balance ÷ months.

Kai wants to pay off $1,200 at 0% APR in 8 months. What fixed monthly payment does he need?

A. $100

B. $120

C. $150

D. $9,600

GO DEEPER 1 — Building a payoff plan

Question 3 of 5 · Knowledge Check · Practical how-to

Which step should come with a payoff plan to keep the balance from growing again?

A. Raise the credit limit

B. Open another card

C. Stop adding new charges to the card

D. Pay late some months to keep more cash on hand

GO DEEPER 1 — Building a payoff plan

Question 4 of 5 · Learn and Apply

LEARN

Statements show the total cost of a 3-year payoff plan alongside the cost of paying only the minimum.

A card's statement shows: "If you pay $106 each month, you will pay off the balance in 3 years and pay $3,816." The balance is $3,000. What is the interest under the 3-year plan?

A. $106

B. $816

C. $3,000

D. $3,816

GO DEEPER 1 — Building a payoff plan

Question 5 of 5 · Knowledge Check

What is a sensible first move for someone with a large card balance and a small emergency fund?

A. Keep a small cushion and pay well above the minimum

B. Pay only the minimum forever

C. Spend the cushion on wants

D. Skip card payments for a few months to build savings

GO DEEPER 2 — Credit card statement detective

Question 1 of 5 · Learn and Apply

LEARN

On a statement, the interest charge is the cost of carrying a balance from the last cycle.

A statement shows: Previous balance $1,000; Payment −$50; Purchases +$120; Interest +$19; New balance $1,089. Which line shows the cost of carrying a balance?

A. Purchases +$120

B. Payment −$50

C. Previous balance $1,000

D. Interest +$19

GO DEEPER 2 — Credit card statement detective

Question 2 of 5 · Learn and Apply

LEARN

New balance = previous balance − payments + purchases + fees + interest.

Check the statement: $1,000 − $50 + $120 + $19 = ?

A. $931

B. $1,069

C. $1,089

D. $1,189

GO DEEPER 2 — Credit card statement detective

Question 3 of 5 · Learn and Apply

LEARN

A balance grows whenever new charges plus interest are larger than payments.

On a statement with a previous balance of $1,000, a $50 payment, and $120 of new purchases, the balance rose to $1,089. What does this show?

A. The card issuer made an error in adding up the balance

B. Payments increase balances

C. The APR must be 0%

D. Payments are smaller than new charges plus interest

GO DEEPER 2 — Credit card statement detective

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Fees charged in error are billing errors that can be disputed with the card issuer.

A statement line reads "Late fee $30" though the payment was on time according to the bank's records. What should the cardholder do?

A. Call the issuer and, if needed, dispute it in writing

B. Pay it and ignore it

C. Stop paying the card entirely until the fee is removed

D. Report it to the IRS

GO DEEPER 2 — Credit card statement detective

Question 5 of 5 · Learn and Apply

LEARN

Refunds appear as credits that lower the balance.

Which statement line would show money returned for an item Ana sent back?

A. A new purchase

B. Interest charged on the remaining balance

C. A credit, shown with a minus sign

D. A fee

SET 39 · Credit Cards and Credit Scores

Card fees, balance transfers, and promotional offers

MAIN skill: Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest

Outcome FL.CREDIT.39 · National topic: Managing Credit · NJSLS 9.1.12: CDM
Learning target: Compare credit card fees and promotional offers

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percent fees on balances (5 questions)
  Why: Card fees are mostly percents of an amount; computing them is the core skill.
- B2 · Math link → G7-S65-M (Grade 7 7.RP.A.3): Find a percent fee and the total with the fee
  Why: Transfer, cash advance, and foreign transaction fees are percent fees.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Comparing a transfer requires interest over months and a fee.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Deferred interest versus a true 0% intro APR (5 questions)
- Go Deeper 2: Using a balance transfer wisely (5 questions)

Practical skills beyond the standards: Balance transfer decision; Recognizing deferred interest

Content status: time-sensitive
Source: CFPB (Understanding special promotional financing offers) — With deferred interest, if the promotional balance is not paid in full by the end of the period, interest is charged back to the purchase date.
https://www.consumerfinance.gov/archive/blog/how-understand-special-promotional-financing-offers-credit-cards/

MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest

Question 1 of 5 · Learn and Apply

LEARN

A balance transfer moves debt from one card to another, often to get a low promotional APR. Most transfers charge a fee, commonly 3% to 5% of the amount moved. The low rate lasts only for the promotional period.

Nia moves a $4,000 balance at 22% APR to a new card with 0% APR for 15 months and a 3% balance transfer fee. What is the fee?

A. $12

B. $120

C. $880

D. $1,200